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Investor Presentation | Asia Pacific

Asia EM Equity Strategy 2026 October Update – Retain Capex vs. Consumer Preference

The capex super cycle is the dominant theme though monetary policy tightening and higher real yields are a headwind for parts of our coverage.

Our focus lists are geared to core MS research themes and centred on a preference for Capex vs. Consumer and Goods over Services, and concentrated in Semis/Memory, Tech Hardware, Industrials/Cap Goods, Materials and Energy.

We continue to be negative on Autos, Consumer including e-Commerce, IT Services and Financials other than in our OW markets as well as Downstream industries generally.

In early September, we downgraded our China/HK targets as deflationary pressures continue to affect earnings. Meanwhile, Korea and Taiwan continue to enjoy the strongest positive breadth.

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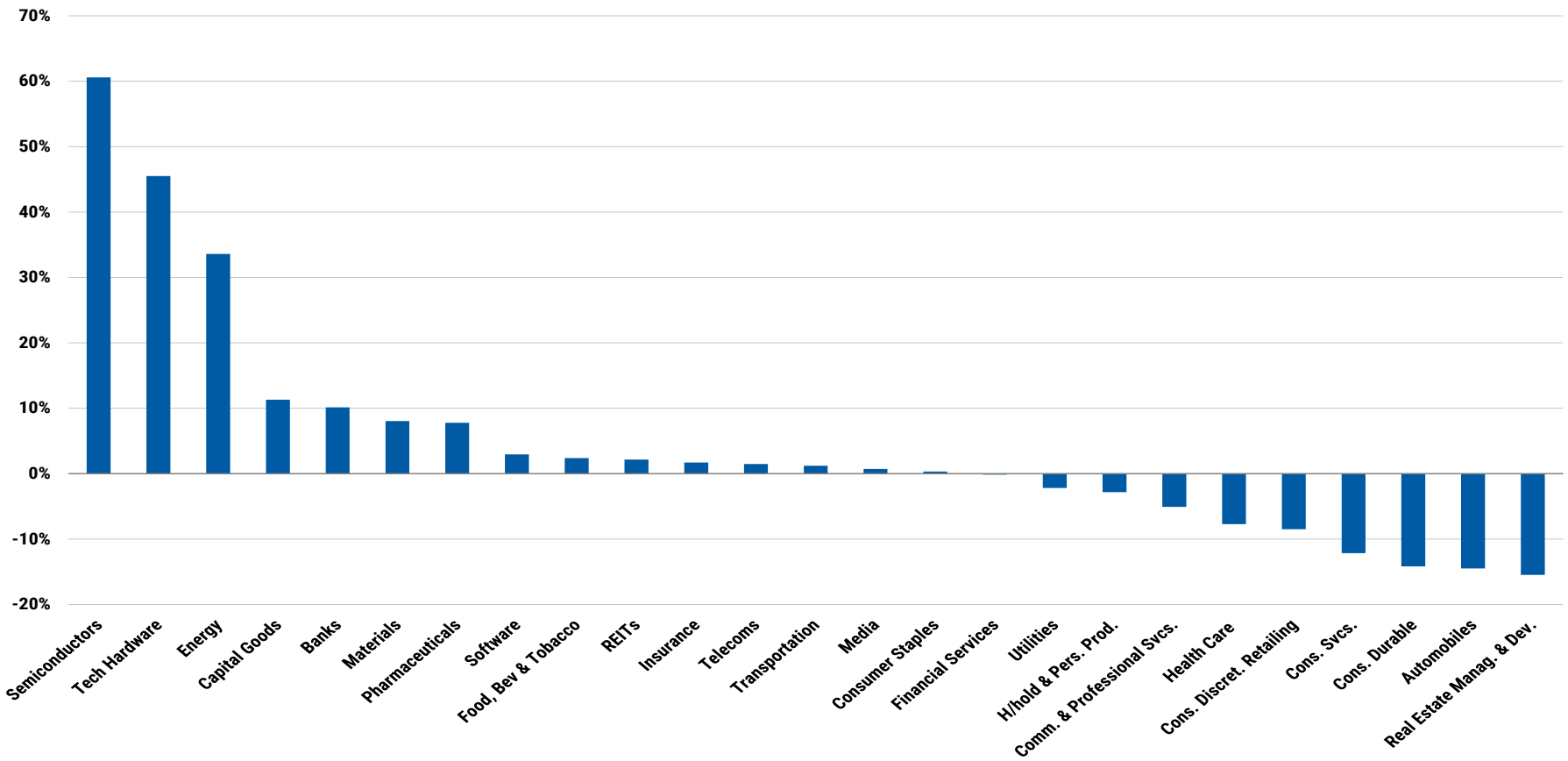
Still Seeking a Robust Approach for an Uncertain World

- Earnings estimates for EM (skewed to Korea and Taiwan) and Japan continue to rise strongly. Forward P/E valuations are lower than average. We think July's setback was a correction based on leverage unwind and positioning, particularly in Korea.
- The debate is therefore about the sector skew to Semis/IT and sustainability of earnings in 2027 and 2028. Overall, we are constructive but highlight that the current environment is exceptionally uncertain due to the combined effect of AI capex and disruption, energy price volatility, monetary policy tightening and higher real yields.
- Overall, our focus lists remain geared to Capex vs. Consumer and Goods vs. Services and concentrated in Semis/Memory, Tech Hardware, Industrials/Cap Goods, Materials (Copper and Gold) and Energy.
- Japan has multiple sectors/stocks exposed to core MS themes and leveraged to PM Takaichi's agenda. Our FX team see the Yen remaining broadly weak through its forecast horizon.
- We are constructive on North Asia (OW Japan and Korea and Taiwan IT) versus India, Australia and HK/China. We prefer Singapore and Thailand in Asean, Chile and Brazil in Latam, Greece and Hungary versus the rest of EEMEA.
- In September, we downgraded our China/HK targets and remain EW. China deflationary pressures are intensifying with weak aggregate earnings revisions although valuations are low. Higher rates are challenging parts of the HK market.
- We are negative on Autos, Consumer and IT Services, including e-Commerce, and downstream industries affected by higher commodity prices. We favour Financials within our OW markets, particularly those with a wholesale-market focus, versus Financials elsewhere.

Recent Reports

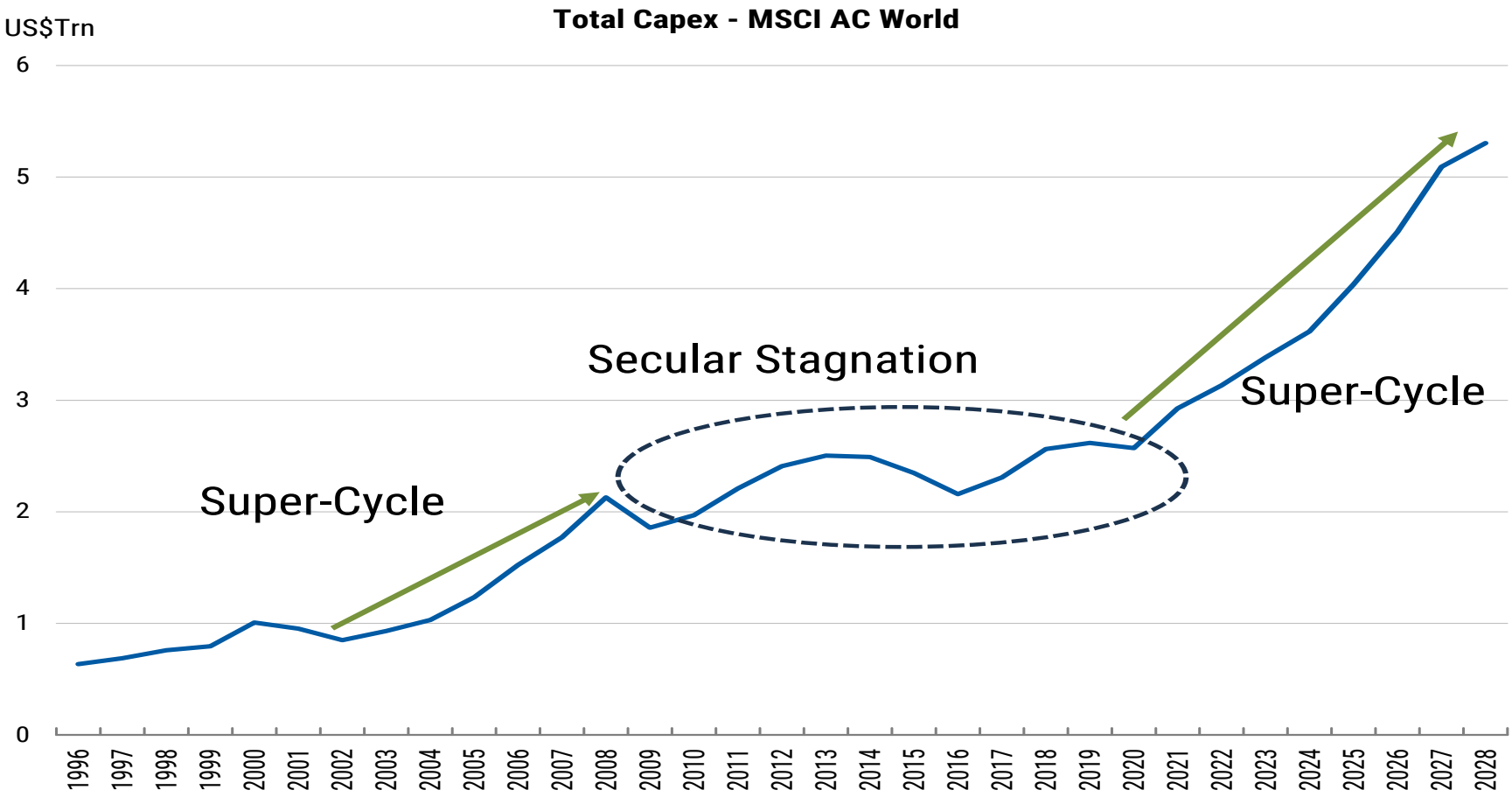
- Asia EM Equity Strategy: Garner Alpha Bites (135) – Batten down the hatches on new high in real yields (24 Sep 2026)
- Asia EM Equity Strategy: Garner Alpha Bites (134) – A hawkish Fed hike adds to downside risks (17 Sep 2026)
- Asia Thematic Alpha: Broaden Exposures to AI Adoption Beneficiaries, but Hold onto Core AI Enablers (4 Sep 2026)
- Asia EM Equity Strategy: Earnings Roadmap - Very Strong Thematic & Financial Results, but Less Broadening than DM (3 Sep 2026)
- Global Thematics: The Thematic Map – Scaling Themes into AlphaSignals (17 Aug 2026)
- Asia EM Equity Strategy: Upgrade Korea and Thailand to overweight; fund with Australia underweight (3 Aug 2026)
- Global Thematics: Playing the AI Infrastructure Dip: Where to Invest and Where We See Risk (27 Jul 2026)
- Asia Thematic Alpha: AI Supply Chain and Energy Security Still Preferred (27 Jul 2026)
- Indonesia – Economics, Macro & Equity Strategy: Value Re-established but Stay Underweight for Now (18 Jun 2026)
- Asia Energy Security and AI: Energy Meets Compute: Supercycle Recharges (21 May 2026)
- 2026 Global Strategy Mid-Year Outlook: Constructive, Not Complacent (12 May 2026)

Global Equities Industry Group Performance Year to Date – Major Sector Performance Dispersion by Capex versus Consumer / Rate Sensitive



Source: Bloomberg, Morgan Stanley Research. Note: Data as of Oct 5, 2026. *Universe is MSCI All Country World index.

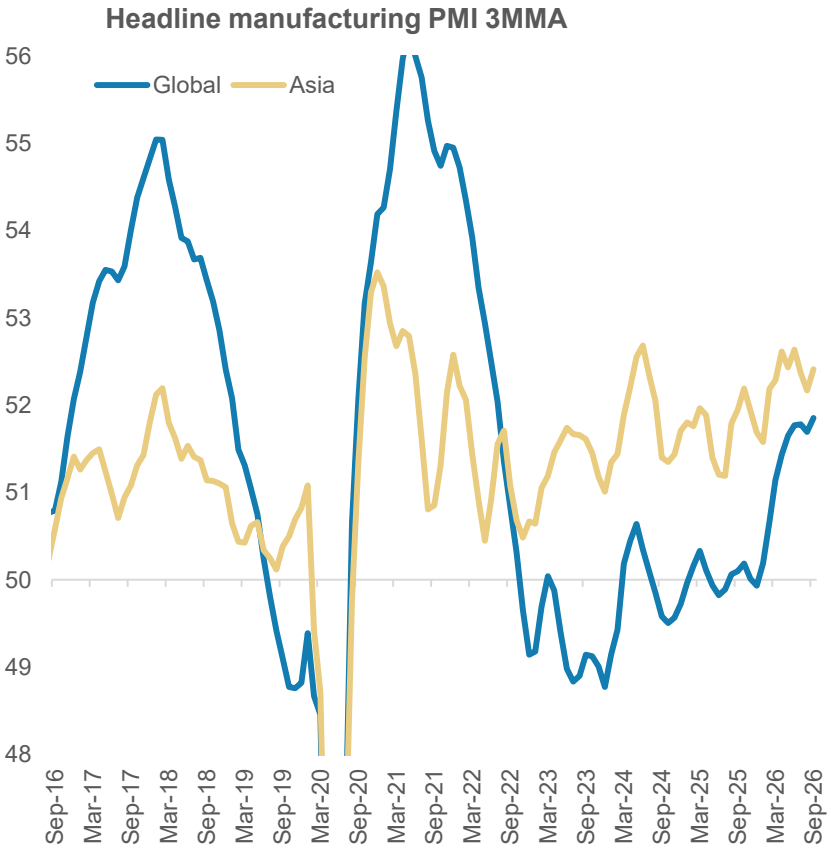
A Global Super-cycle of Corporate Capex Is Well Underway and Likely Continues



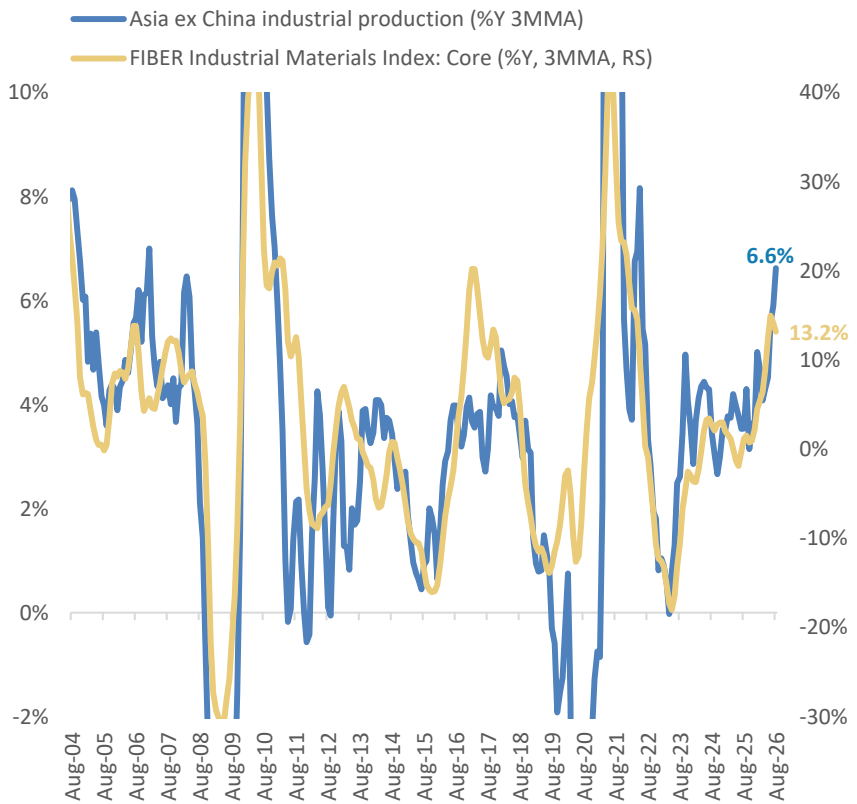
Source: FactSet, Morgan Stanley Research.

This Is Shaping Up To Be the Most Powerful Industrial Cycle since the 2000s

Asia and global manufacturing PMIs continue to expand



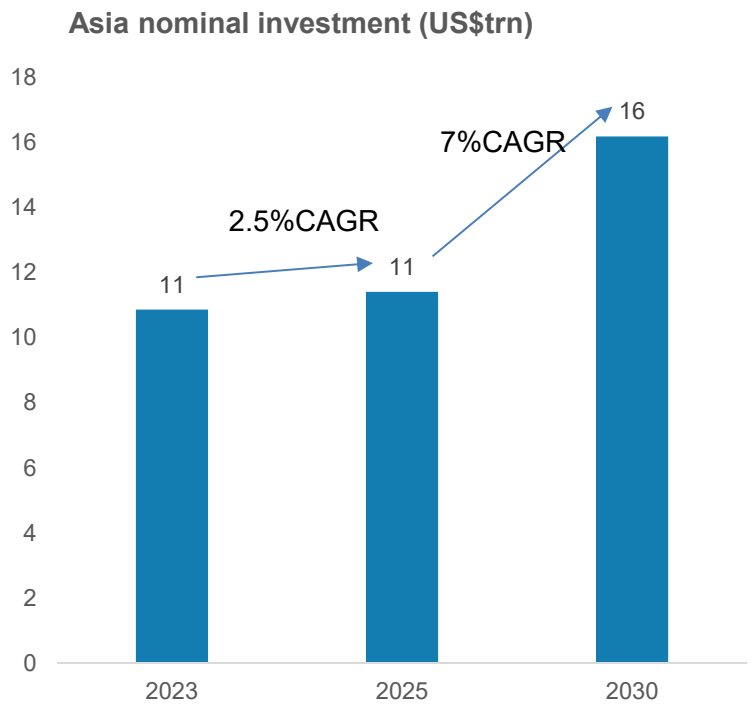
Asia's industrial production growth at a four-year high



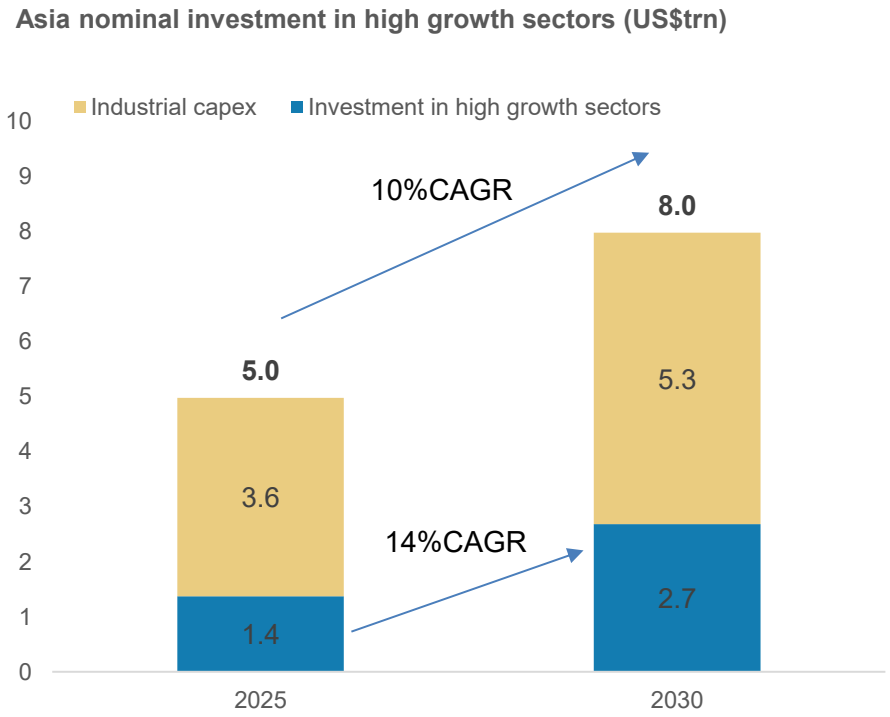
Source: Haver, Morgan Stanley Research

We Project Asia Capex to Grow at 3x the Pace of Recent Years over 2026-30

Asia's gross fixed investment CAGR of 7% from 2026-30e vs. 2.5% in 2023-25e



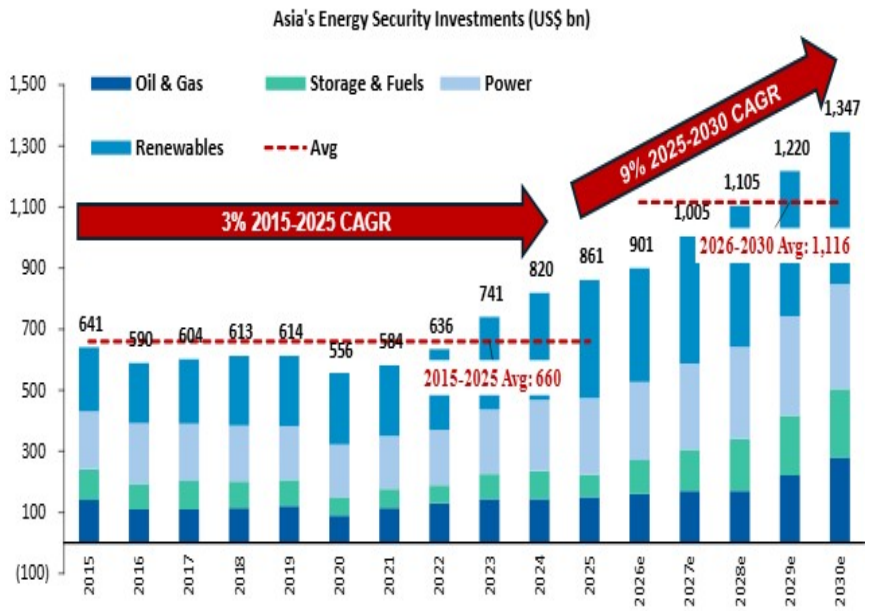
The rise in capex to be driven by new structural demand drivers – AI and AI-related digital infrastructure spending, energy, and defense spending



Source: CEIC, Haver, IEA, Lowy Institute, Morgan Stanley Research estimates; Note: *We exclude China's real estate capex given the structural decline in property demand.

Energy-related Capex To Be Most Important Driver, Supercharged by the Energy Shock

We expect Asia's energy investment CAGR of 9% through 2030, 3x the pace of the past decade



Source: World Statistical Review of Energy, IEA, CEIC, e = Morgan Stanley Research estimates

We see four key drivers to energy-related capex

1. **Steady state power demand growth:** Asia's power demand reached 4.5% CAGR in 2023-25 vs. 2.6% in the US and 1.8% in Europe, and is expected to record a 5% CAGR for 2026-30e.

2. **Powering AI:** As AI adoption picks up with 75GW data center capacity set to come online by 2030, power supply tightness will accelerate new dependable energy investments in fossil fuels, energy storage and grids infrastructure.

3. **Energy transition** with capex in renewables and nuclear supply chains.

4. **Energy security** is being supercharged by the energy shock, as most economies are working to substitute imported oil and gas with alternatives. In particular, coal-related investments, gas storage infrastructure investments and fuel refinery investments will make a comeback. Oil and gas exploration capex in Asia should also pick up.

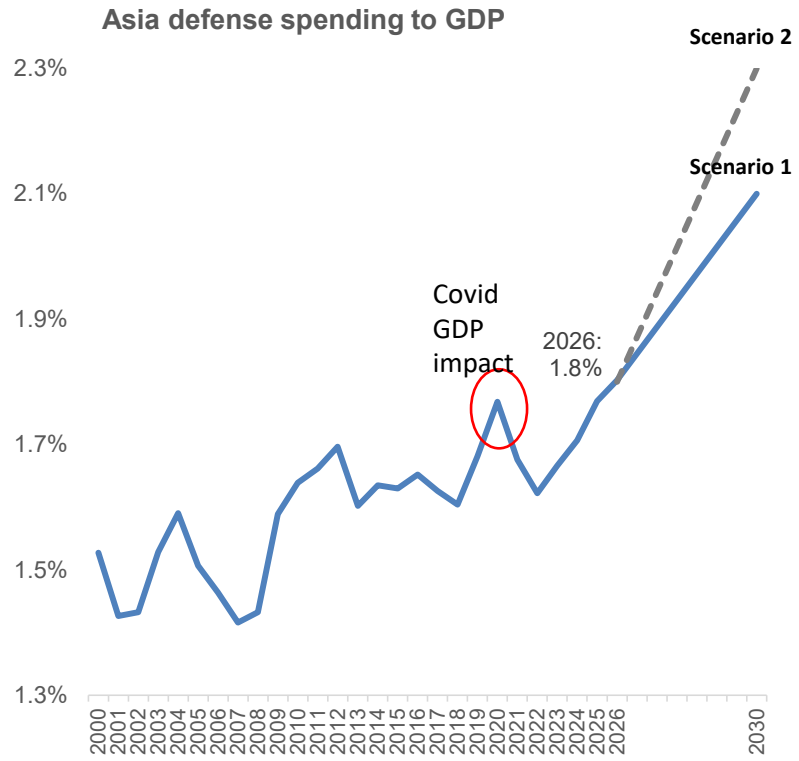
Sizing Asia's Capex Across Drivers

US$bn									
	Total capex (f+g+h)	AI hyperscaler spending (a)	Semis mfg capex (b)	Hyperscaler and semis manufacturing capex (a+b=c)	Energy capex (d)	Defense capex (e)	New structural demand drivers (c+d+e =f)	Broader machinery, equipment and IIP capex (g)	Remaining capex (h)
2025	11,340	80	180	260	860	240	1,360	3,740	6,240
2026E	12,130	200	250	450	900	260	1,610	4,000	6,520
2030E	15,950	400	430	830	1,350	570	2,750	5,240	7,960
Delta (2030E vs. 2025)	4,620	320	260	580	490	330	1,400	1,500	1,720
% increase (2030E vs. 2025)	41%	400%	145%	225%	56%	140%	103%	40%	28%

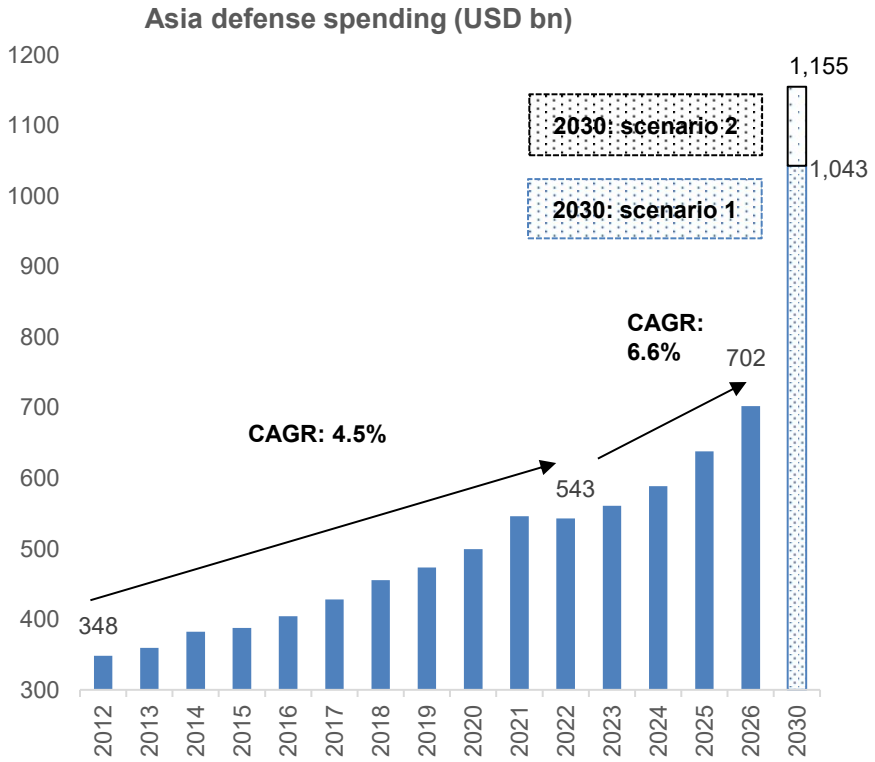
Source: CEIC, Haver, IEA, Lowy Institute, Morgan Stanley Research estimates; Note: *We exclude China's real estate capex given the structural decline in property demand.

Defense Spending – Shifting into a Higher Gear

2022 marked an inflection point in Asia's defense spending, defense spending to GDP expected to rise to 2.1-2.3% of GDP

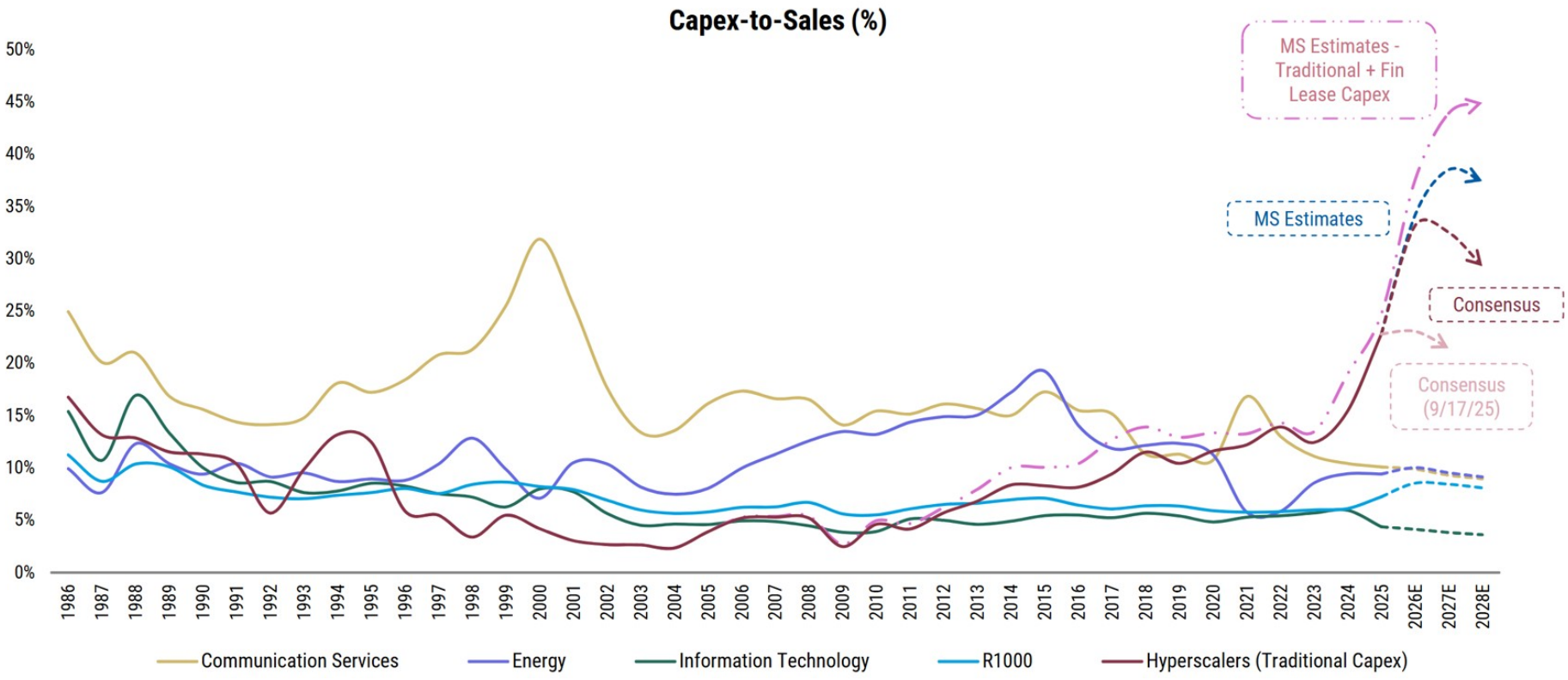


We expect defense spending to reach US$1-1.2trn by 2030e, up from US$700bn in 2026



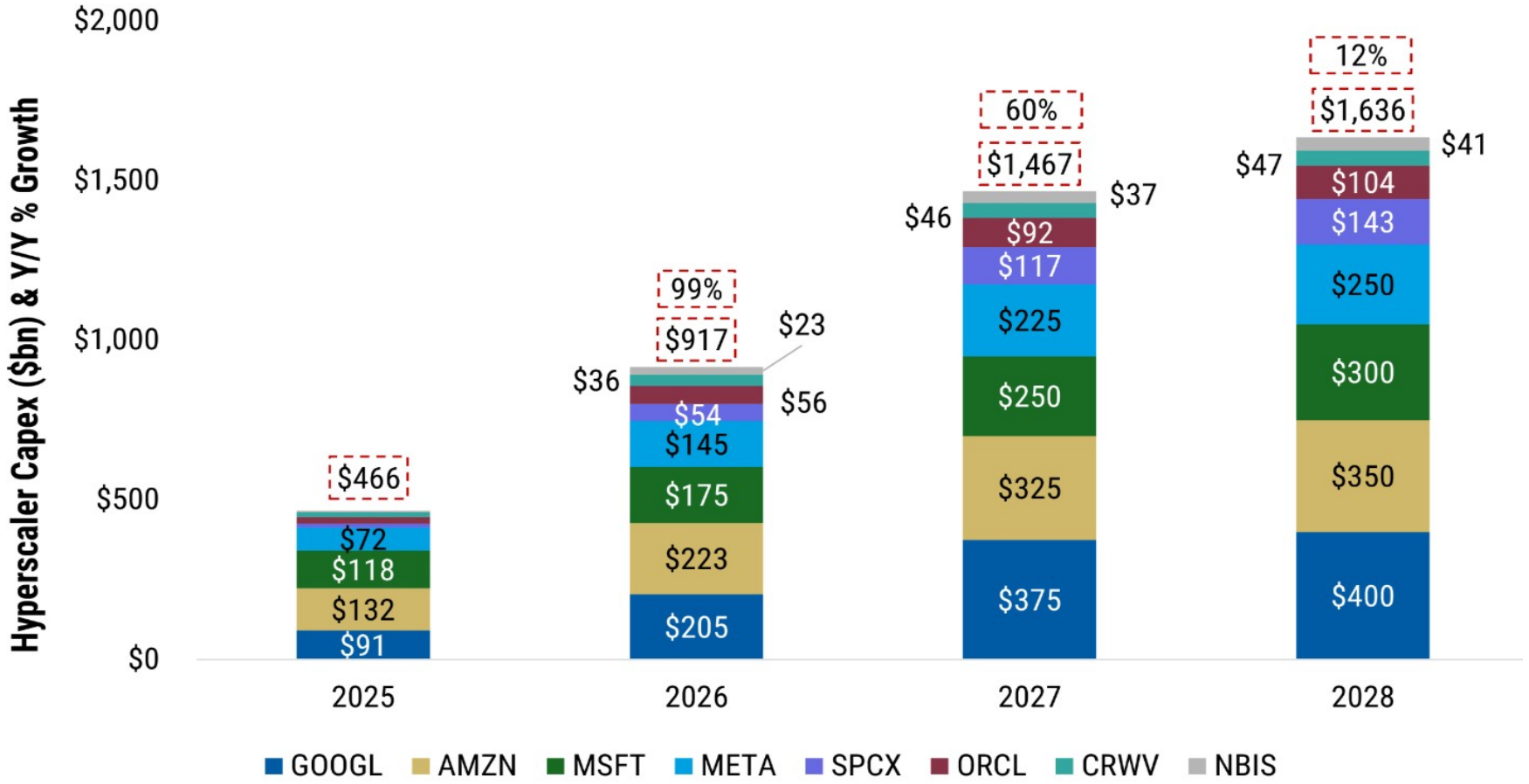
Source: SIPRI, CEIC, Budget documents, e = Morgan Stanley Research estimates

Capital Intensity – Hyperscaler Capex Spending Poised to Overtake Dot-Com Peak, Based on MSe, Particularly Factoring in Widespread Lease Utilisation



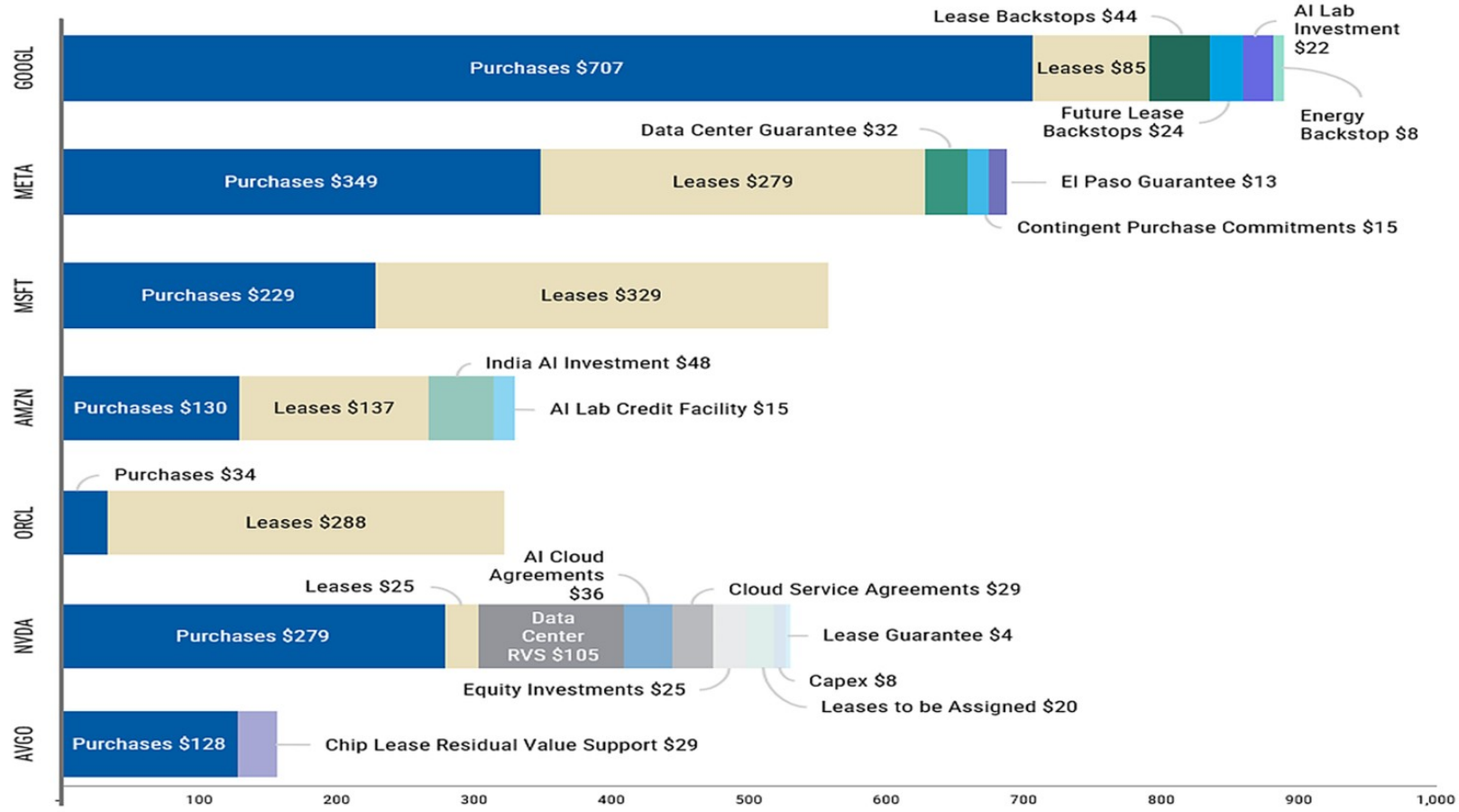
Source: The hyperscalers group includes AMZN, GOOGL, META, MSFT, & ORCL and are excluded from the other sector groups. Only MSFT and ORCL finance lease estimates are included. R1000 excludes Real Estate and Financials. Source: Morgan Stanley Research estimates and FactSet

Hyperscaler Capex – Our Team Now Forecasts AI Spending to Rise Another 60% to US$1.5trn in 2027 and a further 12% to US$1.6trn in 2028



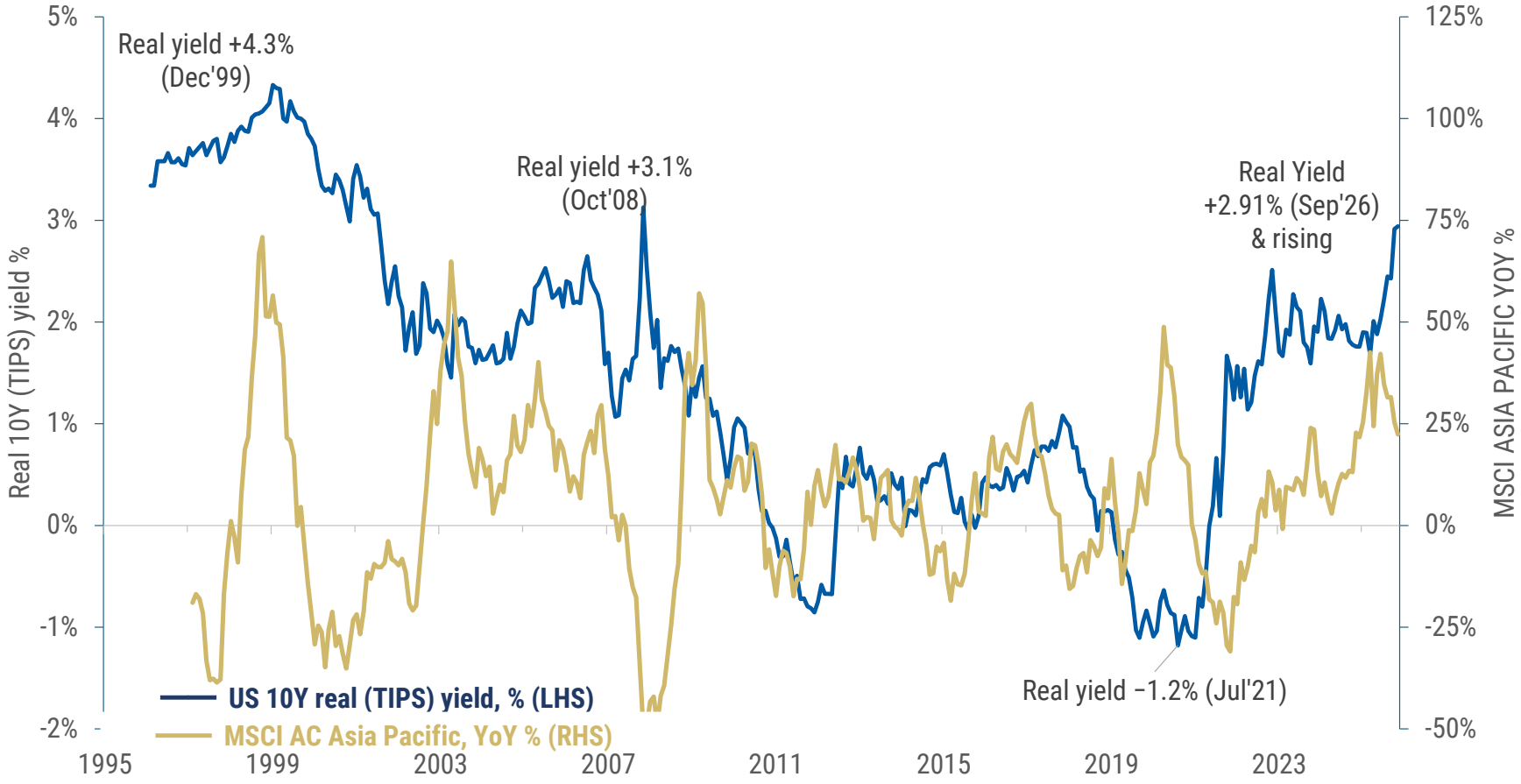
Source: Company data, Morgan Stanley Research estimates. Note: AMZN = Total Company Capex excluding proceeds from property and equipment sales and incentives. Note ORCL capex is projected using consensus estimates

Hyperscalers, NVDA, AVGO Disclose More than US$3.4tn of Off-Balance Sheet Commitments and Guarantees



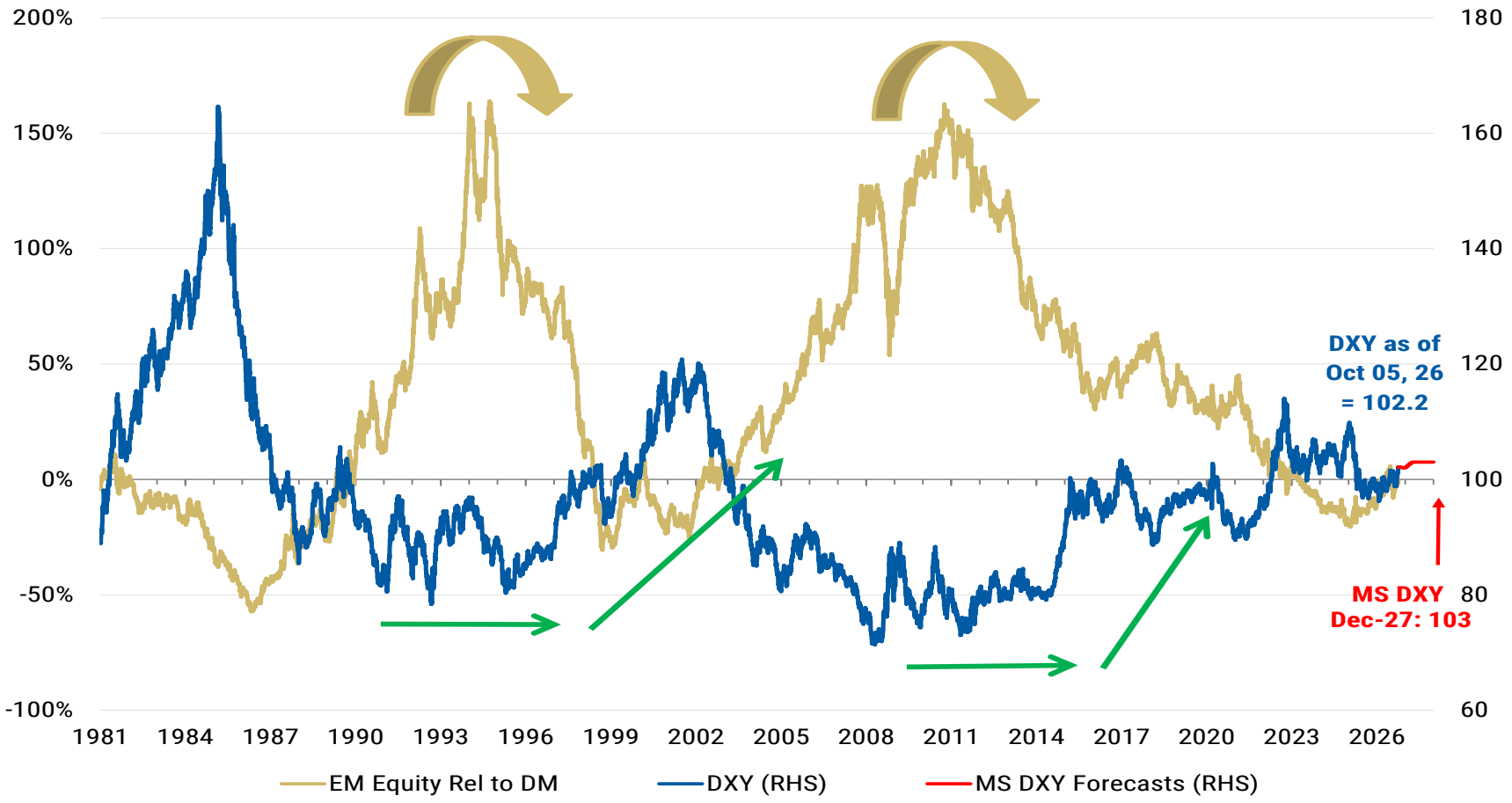
Source: Morgan Stanley Research, Company Filings and Statements.

US 10-year TIPs Real Yields vs. MSCI AC Asia Pacific YoY – High and Rising Real Yields Are Associated with Market Pullbacks and Vice Versa



Source: Bloomberg, Morgan Stanley Research. Data as of Oct 5, 2026.

EM vs. DM Equity Relative Performance vs. DXY



Source: Datastream, FactSet, Morgan Stanley Research forecasts. Data as of Oct 5, 2026.

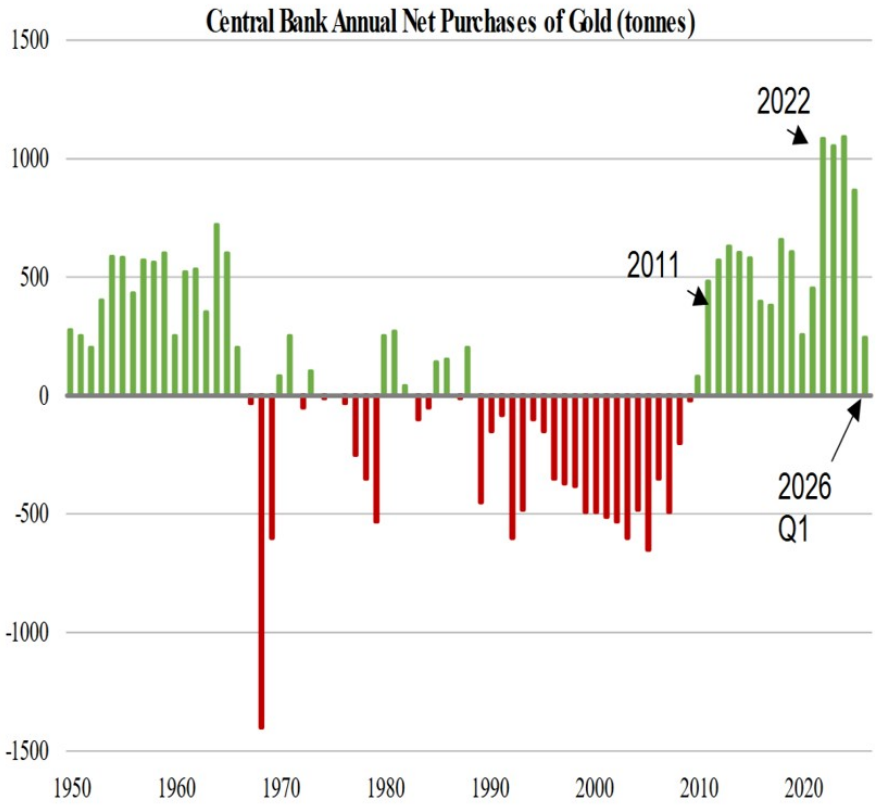
FX Forecast

G10	4Q26	1Q27	2Q27	3Q27	4Q27
EURUSD	1.12	1.11	1.10	1.10	1.10
USDJPY	159	163	162	162	162
GBPUSD	1.30	1.28	1.27	1.27	1.27
EURCHF	0.93	0.92	0.91	0.90	0.89
EURSEK	11.20	11.00	10.90	10.80	10.70
EURNOK	10.50	10.30	10.30	10.20	10.20
USDCAD	1.40	1.40	1.40	1.40	1.40
AUDUSD	0.71	0.72	0.72	0.72	0.73
NZDUSD	0.57	0.57	0.58	0.59	0.59
USDCHF	0.83	0.83	0.83	0.82	0.81
AxJ					
USDCNY	6.65	6.65	6.64	6.62	6.60
USDHKD	7.00	7.00	7.00	7.00	7.00
USDIDR	18100	18200	18300	18350	18350
USDINR	97.0	97.0	98.0	98.0	98.0
USDKRW	1380	1390	1400	1400	1400
USDMYR	4.10	4.10	4.10	4.20	4.20
USDPHP	62.9	63.4	63.6	63.7	63.7
USDSGD	1.300	1.300	1.300	1.300	1.300
USDTHB	34.0	34.3	34.5	34.5	34.5
USDTWD	32.0	32.2	32.3	32.3	32.4
LatAm					
USDBRL	5.00	4.95	4.90	4.85	4.80
USDMXN	18.30	19.00	19.30	19.00	18.50
USDARS	1632	1732	1784	1938	1937
USDCLP	975	980	970	960	945
USDCOP	3350	3400	3450	3500	3550
USDPEN	3.50	3.60	3.50	3.50	3.40
CEEMEA					
USDZAR	16.5	16.6	16.8	16.8	16.8
USDTRY	50.6	53.0	55.4	58.0	60.5
USDEGP	53.5	55.0	54.0	53.0	52.0
USDILS	3.05	3.05	3.05	3.05	3.05
EURCZK	24.4	24.4	24.4	24.4	24.4
EURHUF	360	355	350	347	347
EURPLN	4.39	4.42	4.45	4.47	4.47
DXY	**102**	**103**	**103**	**103**	**103**
ECB EUR TWI	**97.7**	**97.3**	**96.7**	**96.5**	**96.3**
Broad USD (Fed)	**121**	**122**	**123**	**122**	**122**

Source: Morgan Stanley Research

Gold – Central Banks Re-engaging But Higher Real Rates Are a Challenge this Year

We observed a strategic shift in central bank gold buying in 2022



Source: World Gold Council

Gold Spot Price vs. Real Interest Rates (10 Year TIPs)



Source: Bloomberg, Morgan Stanley Research. Data as of Oct 5, 2026

Morgan Stanley Asia Pacific ex Japan Focus List

Company Name	Ticker	Rating	Market	GICS Sector	Mkt Cap (US$bn)	Date Added	Total US$ Returns Since Added	12M Total Return Perf.		Last Price	Upside to Target Price	MS P/E		MS P/Book	MS ROE	MS Div. Yld	MS P/Sales	Analyst
												2026E	2027E	2026E	2026E	2026E	2026E	
ASPEED Technology	5274.TWO	OW	Taiwan	Information Technology	23.1	28-Jul-26	50.7%	277.3%	✓	19,520.0	23.0%	93.9x	62.3x	55.6x	59.3%	0.9%	39.2x	Yen, Daniel
BHP Group	BHP.AX	OW	Australia	Materials	222.5	29-Jan-26	24.8%	61.5%	✓	61.9	9.9%	16.7x	17.0x	4.1x	24.8%	3.8%	3.8x	Anand, Rahul
Contemporary Amperex Technology	300750.SZ	OW	China	Industrials	209.1	25-Mar-26	-23.3%	-21.6%		291.1	104.4%	14.0x	10.8x	-	NA	3.6%	2.3x	Lu, Jack
Delta Electronics	2308.TW	OW	Taiwan	Information Technology	167.9	26-Mar-25	435.8%	104.2%	✓	2,005.0	24.7%	50.4x	31.0x	12.0x	23.8%	0.6%	6.9x	Yang, Derrick
Gulf Development	GULF.BK	OW	Thailand	Utilities	26.5	30-Jul-26	-9.3%	40.4%		59.8	42.3%	25.0x	22.4x	2.5x	10.1%	2.0%	5.5x	Maheshwari, Mayank
Hana Financial Group	086790.KS	OW	S. Korea	Financials	25.3	21-Jul-25	51.7%	57.3%	✓	129,100.0	16.2%	7.7x	7.0x	0.7x	9.3%	3.7%	2.5x	Seok, Joon
Hanwha Aerospace	012450.KS	OW	S. Korea	Industrials	38.7	26-Sep-25	8.2%	2.1%		1,072,000.0	30.6%	22.8x	17.0x	4.6x	20.3%	0.7%	1.7x	Seok, Joon
Larsen & Toubro	LART.NS	OW	India	Industrials	53.6	15-Apr-26	-10.2%	-6.7%		3,740.0	19.9%	26.7x	22.6x	4.3x	16.2%	1.3%	1.7x	Achhipalia, Girish
LS Electric	010120.KS	OW	S. Korea	Industrials	24.3	28-Jul-26	29.3%	275.9%	✓	209,500.0	28.9%	56.6x	42.7x	14.4x	25.3%	1.0%	5.3x	Kim, Ryan
NAURA Technology Group	002371.SZ	OW	China	Information Technology	66.6	16-Jun-26	-7.6%	44.7%		616.0	27.9%	56.3x	34.8x	8.9x	15.8%	0.4%	8.9x	Zhao, Henry
PTT Exploration & Prod	PTTEP.BK	OW	Thailand	Energy	17.2	24-Feb-26	1.2%	30.9%		145.5	12.0%	10.6x	10.3x	1.1x	10.1%	5.4%	2.0x	Maheshwari, Mayank
Samsung Electronics	005930.KS	OW	S. Korea	Information Technology	1459.0	21-Jul-25	324.3%	224.6%	✓	276,000.0	38.0%	5.7x	3.8x	2.7x	48.3%	1.5%	2.7x	Kim, Shawn
Singapore Exchange	SGXL.SI	OW	Singapore	Financials	17.6	18-Nov-24	89.5%	22.1%	✓	20.8	33.3%	29.4x	26.3x	8.8x	30.1%	2.2%	14.9x	Lord, Nick
SK hynix	000660.KS	OW	S. Korea	Information Technology	941.8	19-May-26	17.8%	384.0%	✓	1,841,000.0	41.2%	5.1x	4.1x	3.4x	67.0%	0.3%	3.8x	Kim, Shawn
Standard Chartered	2888.HK	OW	Hong Kong	Financials	65.5	5-Aug-26	-2.3%	53.0%		228.6	15.0%	12.5x	10.9x	1.4x	10.8%	2.5%	2.9x	Lord, Nick
Taiwan Semiconductor Manufacturing	2330.TW	OW	Taiwan	Information Technology	2113.4	5-Aug-26	9.2%	77.7%	✓	2,575.0	19.9%	22.3x	16.9x	8.5x	38.1%	1.0%	12.0x	Chan, Charlie
Wiwynn	6669.TW	OW	Taiwan	Information Technology	36.5	19-May-26	34.6%	81.9%	✓	2,150.0	17.0%	17.9x	13.7x	7.3x	40.5%	2.3%	0.9x	Kao, Howard
Zijin Mining Grp Co Ltd	2899.HK	OW	China	Materials	116.0	18-Aug-26	-9.4%	-1.6%		32.2	89.7%	9.6x	8.5x	2.9x	30.6%	2.6%	1.6x	Zhang, Rachel

Source: ModelWare, RIMES, FactSet, Morgan Stanley Research. Note: OW = Overweight, Data as of Oct 5, 2026. The US$ total return of the Morgan Stanley Asia Pacific ex Japan Equity Strategy Focus List since inception on April 23, 2009, is 675.60% (MSCI APxJ Index total return is 475.46%). This assumes the Focus List constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute return (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. The tick mark indicates the stock has outperformed MSCI Asia Pacific ex Japan Index since inclusion in the Focus List. For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures.

Morgan Stanley GEM Focus List

Company Name	Ticker	Rating	Market	GICS Sector	Mkt Cap (US$bn)	Date Added	Total US$ Returns Since Added	12M Total Return Perf.		Last Price	Upside to Target Price	MS P/E		MS P/Book	MS ROE	MS Div. Yld	MS P/Sales	Analyst
												2026E	2027E	2026E	2026E	2026E	2026E	
Contemporary Amperex Technology	300750.SZ	OW	China	Industrials	209.1	25-Mar-26	-23.3%	-21.6%		291.11	104.4%	14.0x	10.8x	-	NA	3.6%	2.3x	Lu, Jack
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Embraer	EMBJ.N	OW	Brazil	Industrials	13.5	5-Mar-26	13.7%	32.6%		75.27	32.9%	23.9x	20.9x	3.6x	15.0%	0.6%	1.6x	Liwag, Kristine
Gulf Development	GULF.BK	OW	Thailand	Utilities	26.5	30-Jul-26	-9.3%	40.4%		59.75	42.3%	25.0x	22.4x	2.5x	10.1%	2.0%	5.5x	Maheshwari, Mayank
Hana Financial Group	086790.KS	OW	S. Korea	Financials	25.3	21-Jul-25	51.7%	57.3%	✓	129,100.00	16.2%	7.7x	7.0x	0.7x	9.3%	3.7%	2.5x	Seok, Joon
Hanwha Aerospace	012450.KS	OW	S. Korea	Industrials	38.7	26-Sep-25	8.2%	2.1%		1,072,000.00	30.6%	22.8x	17.0x	4.6x	20.3%	0.7%	1.7x	Seok, Joon
Larsen & Toubro	LART.NS	OW	India	Industrials	53.6	15-Apr-26	-10.2%	-6.7%		3,740.00	19.9%	26.7x	22.6x	4.3x	16.2%	1.3%	1.7x	Achhipalia, Girish
NAURA Technology Group	002371.SZ	OW	China	Information Technology	66.6	16-Jun-26	-7.6%	44.7%		615.97	27.9%	56.3x	34.8x	8.9x	15.8%	0.4%	8.9x	Zhao, Henry
Petroleo Brasileiro	PBR.N	OW	Brazil	Energy	155.6	28-Jul-26	36.9%	109.5%	✓	24.14	28.4%	4.6x	5.1x	1.6x	34.3%	8.8%	1.2x	Montanari, Bruno
Ping An Insurance Group	2318.HK	OW	China	Financials	133.8	5-Mar-26	-15.0%	2.3%		51.75	70.0%	5.3x	4.8x	-	NA	6.5%	0.8x	Xu, Richard
Prologis Property Mexico	FIBRAPL14.MX	OW	Mexico	Real Estate	7.0	28-Aug-25	18.7%	8.9%		75.19	19.7%	21.2x	13.2x	1.0x	4.6%	4.9%	9.9x	Obregon, Alejandra
PTT Exploration & Prod	PTTEP.BK	OW	Thailand	Energy	17.2	24-Feb-26	1.2%	30.9%		145.50	12.0%	10.6x	10.3x	1.1x	10.1%	5.4%	2.0x	Maheshwari, Mayank
Samsung Electronics	005930.KS	OW	S. Korea	Information Technology	1459.0	21-Jul-25	324.3%	224.6%	✓	276,000.00	38.0%	5.7x	3.8x	2.7x	48.3%	1.5%	2.7x	Kim, Shawn
SK hynix	000660.KS	OW	S. Korea	Information Technology	941.8	19-May-26	17.8%	384.0%	✓	1,773,000.00	46.6%	4.9x	3.9x	3.3x	67.0%	0.3%	3.8x	Kim, Shawn
Taiwan Semiconductor Manufacturing	2330.TW	OW	Taiwan	Information Technology	2113.4	5-Aug-26	9.2%	77.7%	✓	2,575.00	19.9%	22.3x	16.9x	8.5x	38.1%	1.0%	12.0x	Chan, Charlie
Wiwynn	6669.TW	OW	Taiwan	Information Technology	36.5	19-May-26	34.6%	81.9%	✓	2,150.00	17.0%	17.9x	13.7x	7.3x	40.5%	2.3%	0.9x	Kao, Howard
XP	XP.O	OW	Brazil	Financials	14.7	24-Oct-25	64.0%	66.2%	✓	28.15	-18.3%	13.6x	11.9x	2.9x	21.3%	2.2%	3.7x	Kuri, Jorge
Zijin Mining Grp Co Ltd	2899.HK	OW	China	Materials	116.0	18-Aug-26	-9.4%	-1.6%		32.16	89.7%	9.6x	8.5x	2.9x	30.6%	2.6%	1.6x	Zhang, Rachel

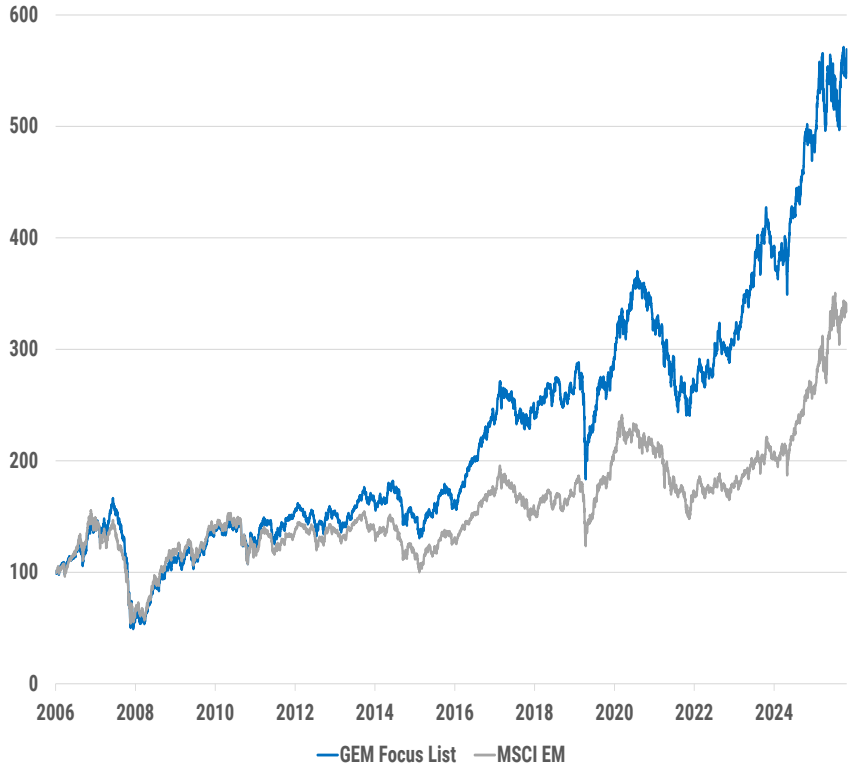
Source: ModelWare, RIMES, FactSet, Morgan Stanley Research. Note: OW = Overweight. Data as of Oct 5, 2026. The US$ total return of the Morgan Stanley EM Equity Strategy Focus List since inception on December 11, 2006, is 469.04% (MSCI EM Index total return is 240.70%). This assumes the Focus List constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute return (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. The tick mark indicates stock has outperformed MSCI EM Index since inclusion in the Focus List. For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures.

Morgan Stanley APxJ and GEM Focus Lists – Cumulative Total Returns Since Inception

APxJ Focus List Performance



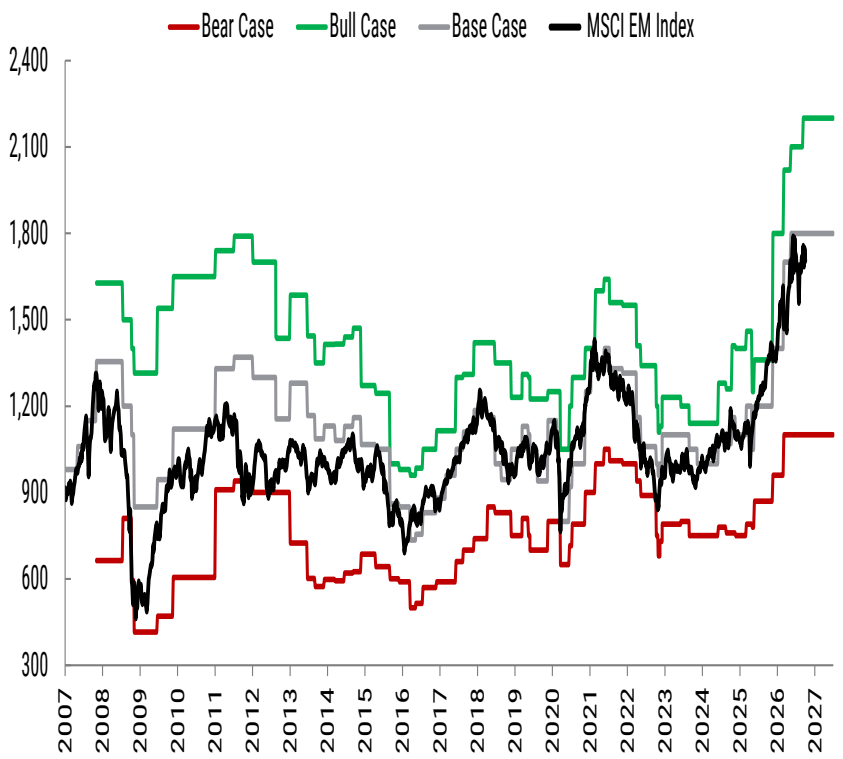
GEM Focus List Performance



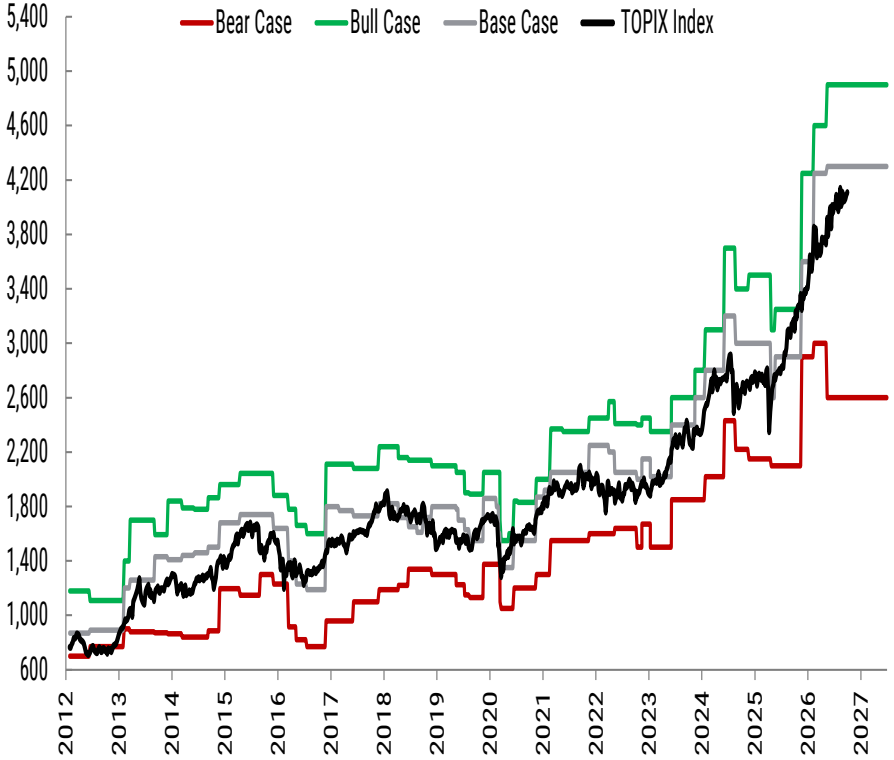
Source: Bloomberg, MSCI, Morgan Stanley Research. Note: MS APxJ Focus List delivered a Sharpe Ratio of 0.6 in the last 3 months and 0.5 in the last 12 months, with a CAGR of 12.4% since its inception on April 23, 2009; MS GEM Focus List delivered a Sharpe Ratio of 1.6 in last 3 months and 0.7 in the last 12 months, with a CAGR of 9.2% since its inception on December 11, 2006. Data as of Oct 5, 2026; Past performance is no guarantee of future results.

Morgan Stanley Target Price History for EM and Japan Since Initiation of Coverage

MSCI EM – We continue with a wide bear to bull range for June 2027



TOPIX – Also set a wide range for June 2027



Source: FactSet, Morgan Stanley Research. Note: Weekly data as of Oct 5, 2026. Coverage Initiated in November 2006 for MSCI EM and December 2012 for TOPIX

Morgan Stanley Base-case Earnings, Valuations and Targets for June 2027

Index	Current Price	MS Target Price Jun-27	MS Top-Down EPS			Consensus EPS			MS Target Fwd P/E Jun-27	MS Target P/E 10yr Hist. %ile	Consensus Fwd P/E Current
			Dec-25	Dec-26	Dec-27	Dec-25	Dec-26	Dec-27			
TOPIX	4,145	4,300	198	216	235	204	239	269	17.5x	95%	15.8x
		4%	*8%*	*9%*	*9%*	*10%*	*17%*	*13%*			
MSCI EM	1,740	1,800	89	145	172	86	149	185	10.4x	5%	9.9x
		3%	*13%*	*63%*	*19%*	*9%*	*74%*	*24%*			
MSCI APxJ	891	900	42	65	80	40	71	88	11.0x	2%	10.6x
		1%	*11%*	*55%*	*23%*	*7%*	*76%*	*25%*			
Hang Seng	24,040	26,550	2,060	2,184	2,336	2,043	2,295	2,505	10.9x	52%	9.9x
		10%	*2%*	*6%*	*7%*	*-2%*	*12%*	*9%*			
HSCEI	8,052	8,900	870	900	941	879	925	983	9.3x	80%	9.1x
		11%	*-1%*	*3%*	*4%*	*0%*	*5%*	*6%*			
MSCI China	71	80	5.9	6.2	6.7	5.7	6.5	7.4	11.2x	39%	10.0x
		12%	*0%*	*6%*	*8%*	*-3%*	*14%*	*14%*			
CSI300	4,358	4,880	260	282	314	299	362	421	14.5x	94%	0.0x
		12%	*-4%*	*8%*	*11%*	*10%*	*21%*	*16%*			

Source: MSCI, IBES, FactSet, Morgan Stanley Research. Note: Data as of Oct 5, 2026. Our top-down fiscal year TOPIX EPS for F3/26, F3/27 and F3/28 are ¥203 (+8%), ¥221 (+9%), and ¥240 (+9%), Bottom-up Consensus EPS for F3/26, F3/27 and F3/28 are ¥208(+10%), ¥249(+15%) and ¥276(+11%).

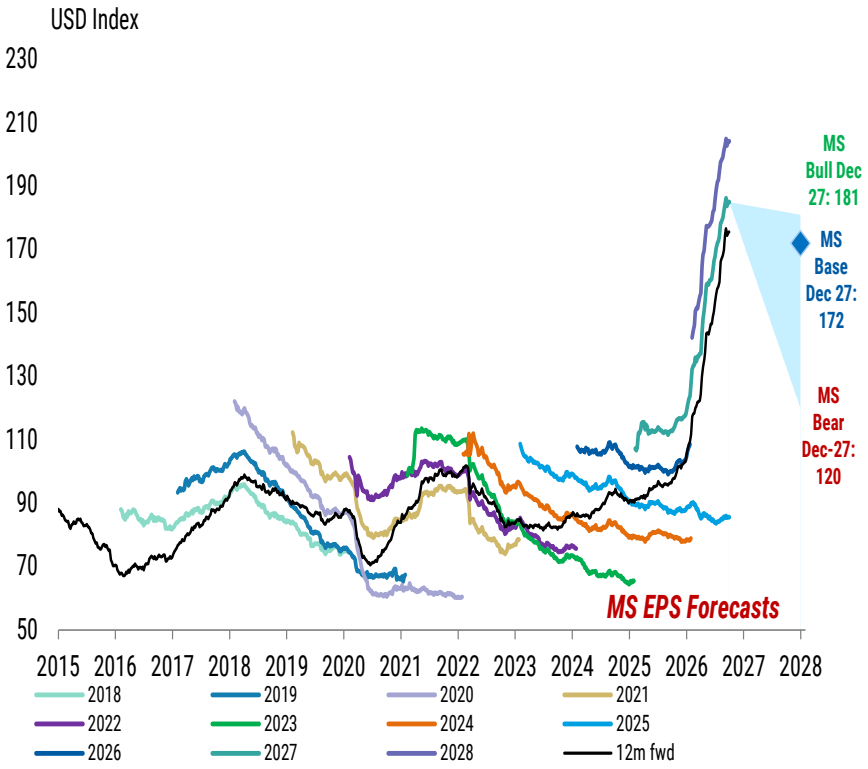
Asia/EM Equity Markets: Morgan Stanley Bull- and Bear-case Earnings, Valuations and Index Targets for June 2027

	Index	Current Price	MS Target Price (Jun-2027)	MS Top-Down EPS YoY %			Consensus EPS Forecast YoY %			MS Target Fwd P/E Jun - 2027	Consensus 12m Fwd P/E Current
				Dec-26	Dec-27	Dec-28	Dec-26	Dec-27	Dec-28		
Bull Case	TOPIX	4,145	**4,900** *18%*	224 *13%*	255 *14%*	290 *14%*	239 *17%*	269 *13%*	299 *11%*	18.0x	15.8x
	MSCI EM	1,740	**2,200** *26%*	145 *61%*	181 *25%*	186 *3%*	149 *74%*	185 *24%*	204 *10%*	12.0x	9.9x
	MSCI APxJ	891	**1,120** *26%*	65 *53%*	84 *29%*	88 *5%*	71 *76%*	88 *25%*	97 *10%*	13.0x	10.6x
	Hang Seng	24,040	**31,900** *33%*	2,227 *7%*	2,430 *9%*	2,675 *10%*	2,295 *12%*	2,505 *9%*	2,754 *10%*	12.5x	9.9x
	HSCEI	8,052	**10,400** *29%*	918 *5%*	960 *4%*	1,021 *6%*	925 *5%*	983 *6%*	1,053 *7%*	10.6x	9.1x
	MSCI China	71	**97** *35%*	6.3 *7%*	6.9 *9%*	7.6 *11%*	6.5 *14%*	7.4 *14%*	8.4 *13%*	13.3x	10.0x
	CSI300	4,358	**5,640** *29%*	288 *10%*	327 *14%*	378 *16%*	362 *21%*	421 *16%*	487 *16%*	16.0x	12.4x
Bear Case	TOPIX	4,145	**2,600** *-37%*	202 *2%*	209 *4%*	222 *6%*	239 *17%*	269 *13%*	299 *11%*	12.0x	15.8x
	MSCI EM	1,740	**1,100** *-37%*	131 *48%*	120 *-8%*	110 *-8%*	149 *74%*	185 *24%*	204 *10%*	9.5x	9.9x
	MSCI APxJ	891	**590** *-34%*	59 *41%*	56 *-4%*	56 *1%*	71 *76%*	88 *25%*	97 *10%*	10.5x	10.6x
	Hang Seng	24,040	**17,700** *-26%*	2,074 *3%*	2,173 *5%*	2,378 *9%*	2,295 *12%*	2,505 *9%*	2,754 *10%*	7.8x	9.9x
	HSCEI	8,052	**5,900** *-27%*	855 *1%*	875 *2%*	893 *2%*	925 *5%*	983 *6%*	1053 *7%*	6.7x	9.1x
	MSCI China	71	**60** *-16%*	5.8 *3%*	5.9 *3%*	6.4 *7%*	6.5 *14%*	7.4 *14%*	8.4 *13%*	9.1x	10.0x
	CSI300	4,358	**3,290** *-24%*	272 *6%*	289 *6%*	314 *9%*	362 *21%*	421 *16%*	487 *16%*	10.9x	12.4x

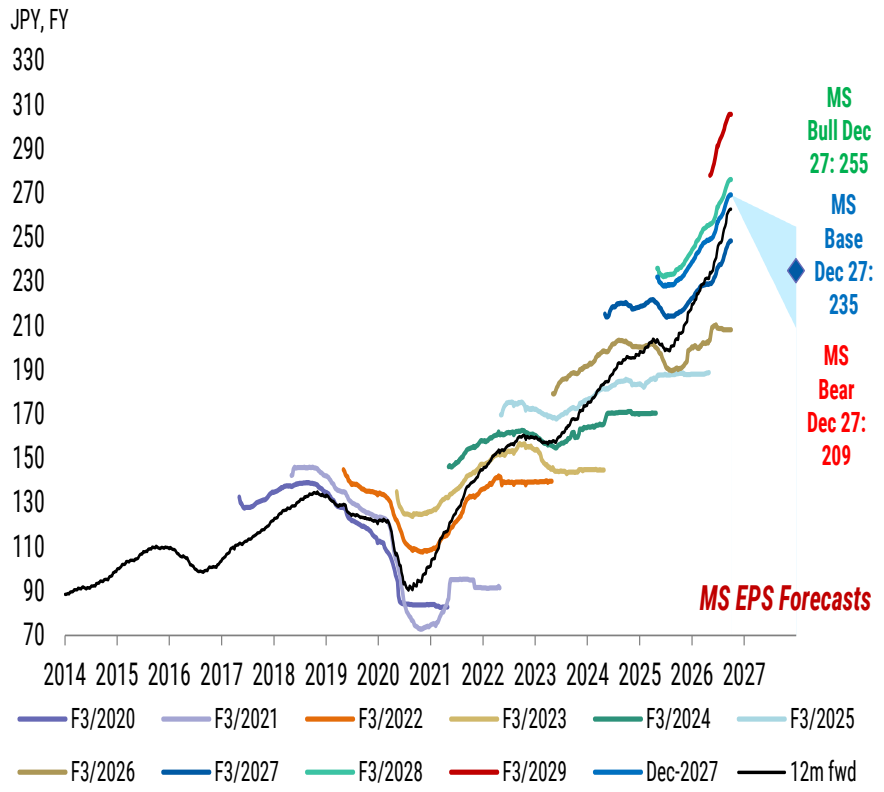
Source: MSCI, IBES, FactSet, Morgan Stanley Research. Note: Data as of Oct 5, 2026. Our top-down fiscal year TOPIX EPS for F3/26, F3/27 and F3/28 are ¥203 (+8%), ¥221 (+9%), and ¥240 (+9%), Bottom-up Consensus EPS for F3/26, F3/27 and F3/28 are ¥208(+10%), ¥249(+15%) and ¥276(+11%).

MSCI EM and TOPIX Consensus EPS vs. MS Forecasts – EM Revisions Are Highly Skewed to Korea / Taiwan

MSCI EM

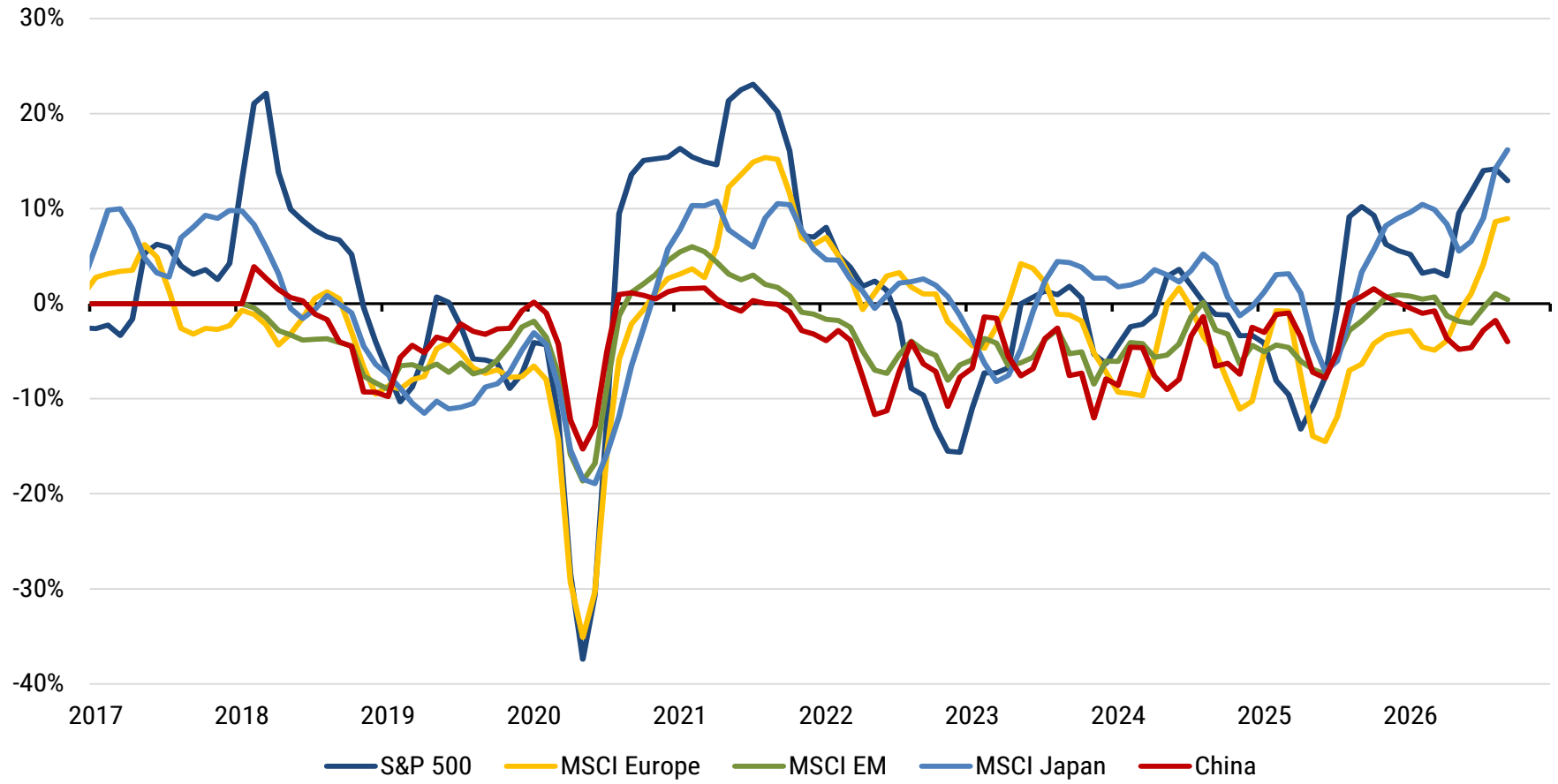


TOPIX



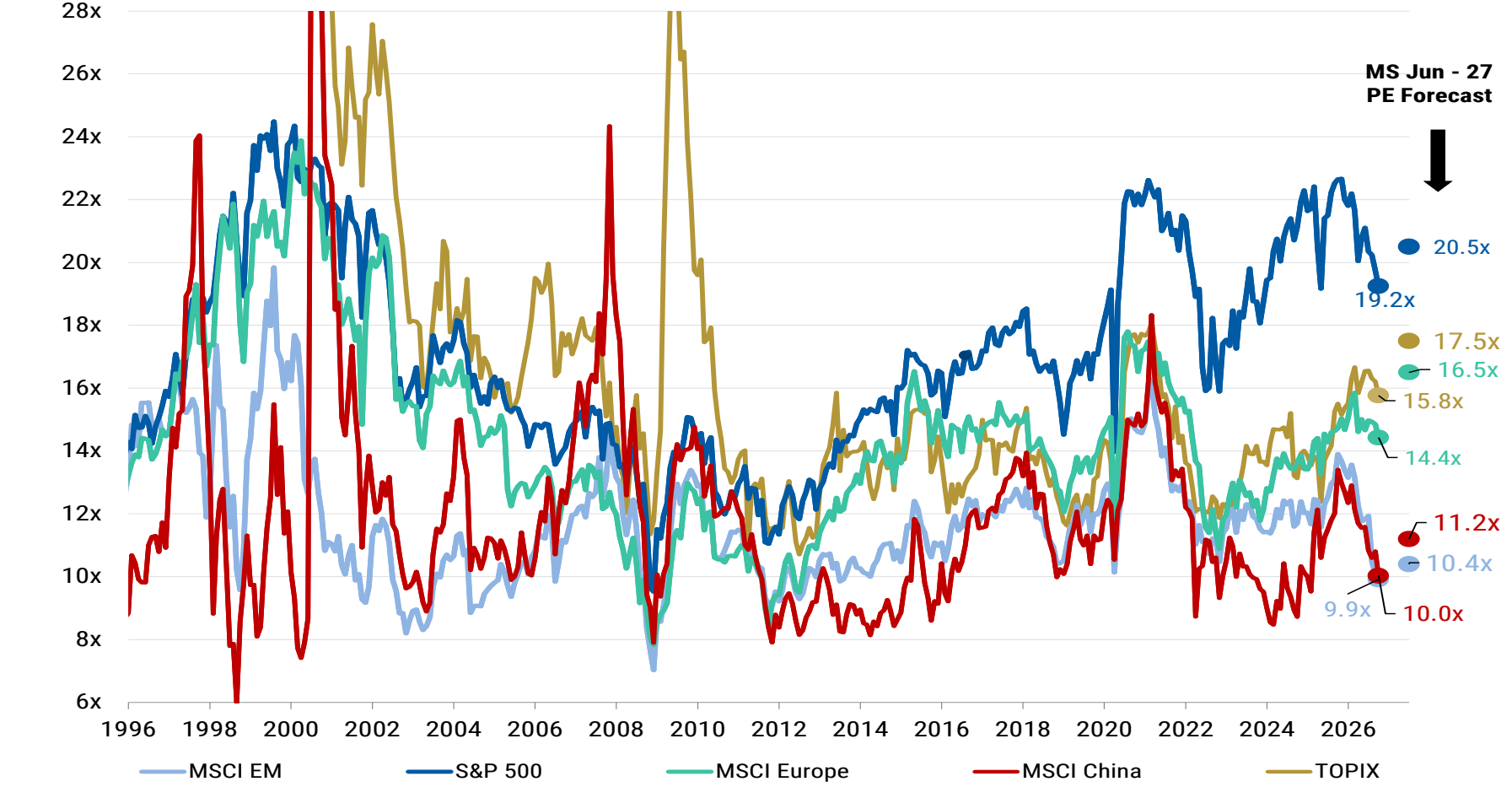
Source: IBES consensus, Datastream, Morgan Stanley Research. Note: Weekly data as of Sep 24, 2026.

Earnings Revision Breadth Positive for EM and Japan and Slipping China



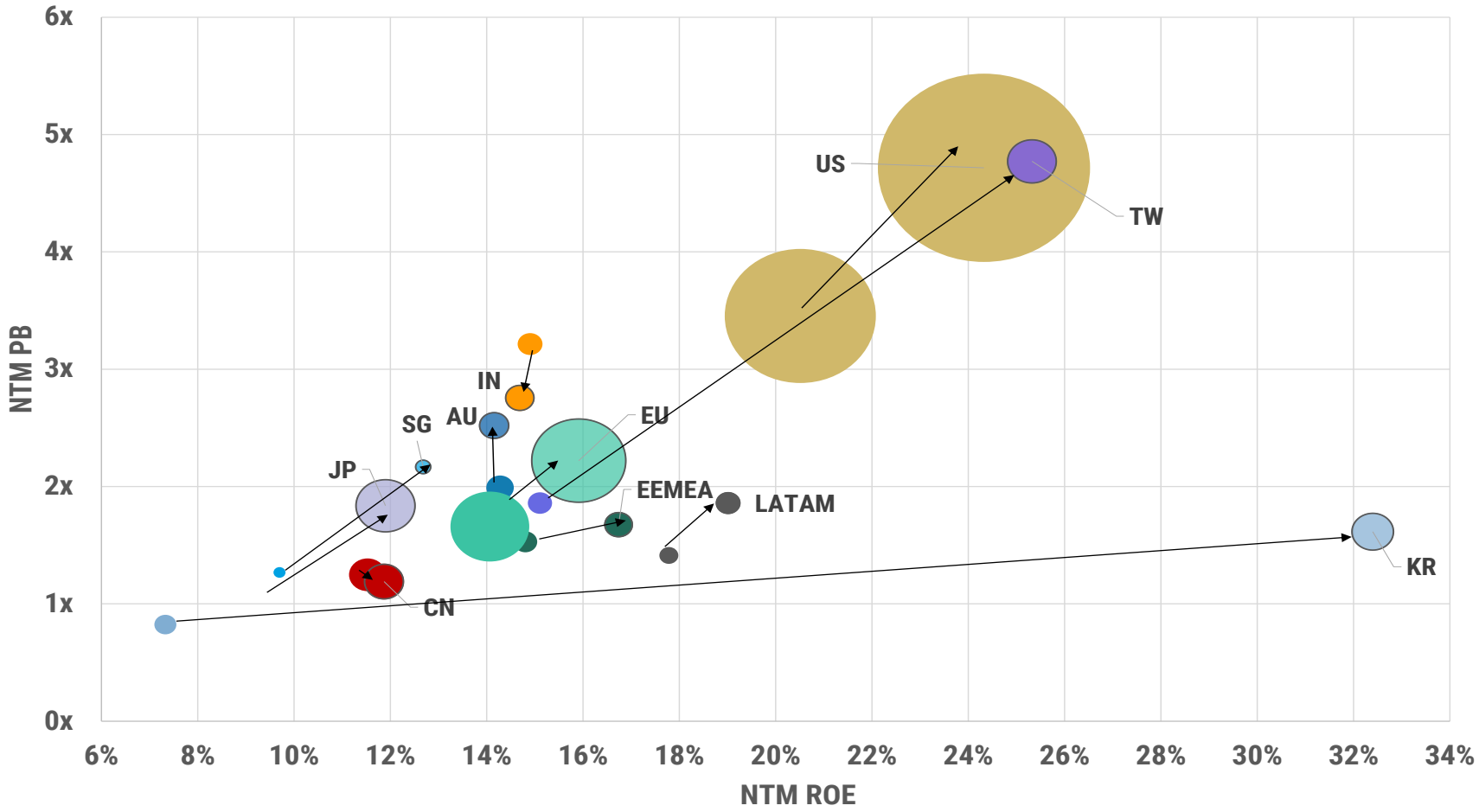
Source: FactSet, IBES consensus, Morgan Stanley Research. Monthly data as of September 2026. Note: Earnings revision breadth is calculated using the 3-month moving average of upgrades less downgrades divided by the total universe of forward earnings estimates.

Consensus 12-month Forward P/E, by Region, with MS June 2027 Targets



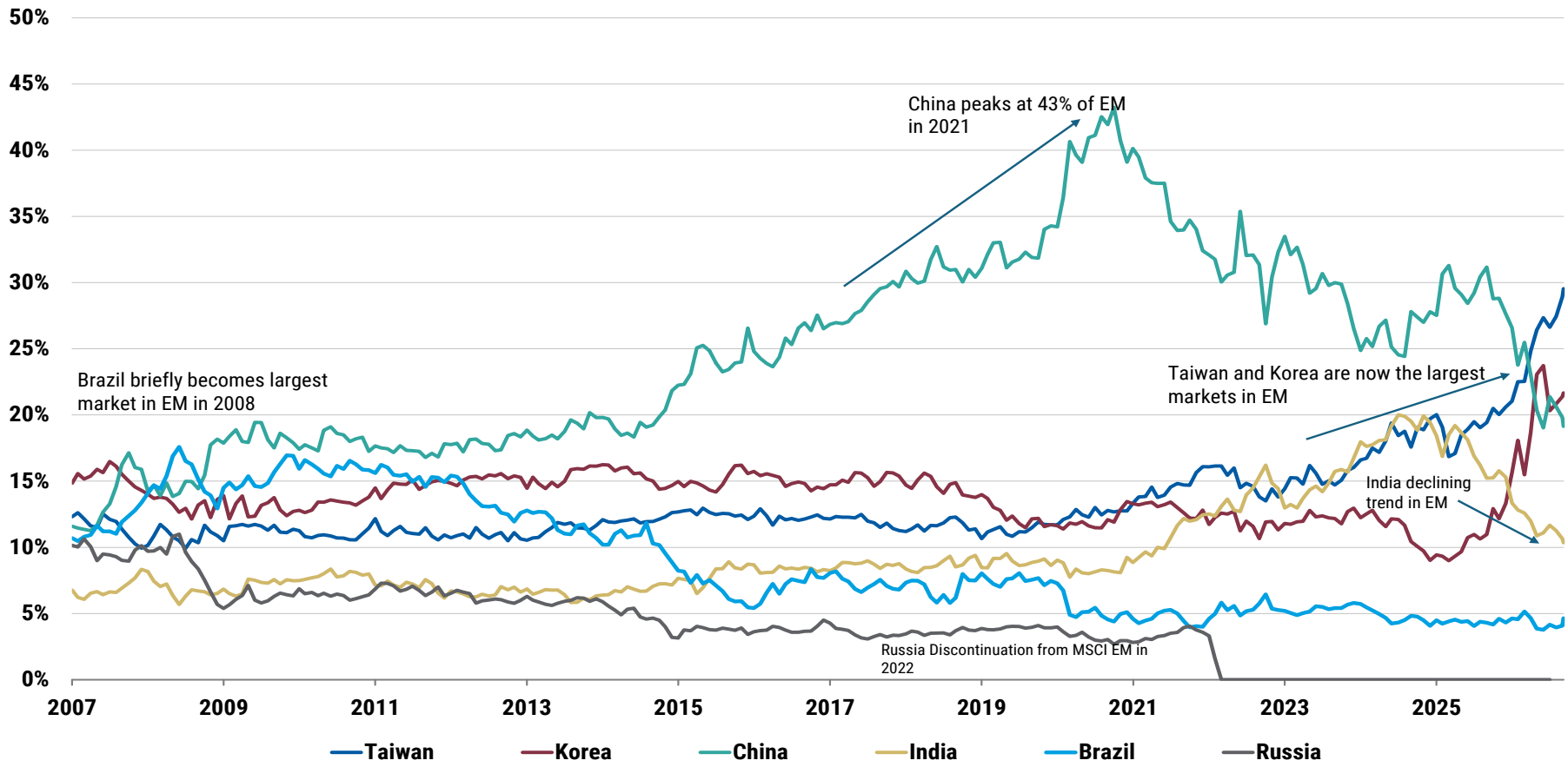
Source: IBES, MSCI, FactSet, Morgan Stanley Research. Note: Data as of Oct 5, 2026.

Changes from End-2022 on Price/Book vs. ROE Scatterplot – Capex Super Cycle & Capital Market Reform Programs Supporting ROE Gains in Japan, Korea, Taiwan and Singapore



Source: FactSet, Morgan Stanley Research. Data as of Oct 5, 2026.. Bubble size represents free float market capitalization.

Thematics Driving MSCI EM Shifts in Index Weight – Taiwan > China> Korea >India



Source: FactSet, Morgan Stanley Research. Data as of Oct 5, 2026.

Asia EM Market Recommendations and Valuation Dashboard

	MSCI Indices	Japan	China	Hong Kong	Taiwan	Korea	India	Australia	Singapore	Malaysia	Thailand	Indonesia	Philippines	Brazil	Mexico	South Africa	Saudi Arabia	UAE	MSCI EM	MSCI APxJ	USA	Europe
MS Rating	vs Asia/EM	OW	EW	EW	EW	OW	EW	UW	OW	EW	OW	UW	UW	OW	EW	EW	EW	EW	EW	-	-	-
Index Weight	% of APAC-EM	27%	12%	2%	18%	14%	7%	7%	2%	1%	1%	0%	0%	2%	1%	2%	1%	1%	12.0% (ACWI)	12.1% (ACWI)	64.2% (ACWI)	13.3% (ACWI)
Earnings Revisions & Growth	CY2 EPS Rev Breadth (3ma)	41%	-7%	17%	47%	12%	7%	-17%	17%	6%	28%	-14%	-12%	-9%	-23%	-7%	-10%	17%	3%	3%	25%	18%
	3m Δ of 12mf EPS	8%	3%	2%	15%	10%	2%	-2%	4%	0%	4%	-4%	1%	0%	0%	-1%	0%	3%	11%	12%	7%	4%
	12mf EPS growth	16%	14%	7%	36%	58%	15%	5%	11%	8%	7%	6%	8%	8%	9%	18%	9%	8%	32%	33%	20%	12%
ROE	Level	10.3%	10.6%	8.7%	20.3%	22.4%	14.1%	14.0%	11.7%	11.3%	11.8%	15.9%	15.1%	19.3%	16.6%	19.7%	14.3%	18.9%	16.0%	15.0%	22.3%	14.9%
	10yr %'ile	*94%*	*27%*	*73%*	*98%*	*98%*	*50%*	*82%*	*86%*	*98%*	*71%*	*72%*	*98%*	*70%*	*98%*	*98%*	*93%*	*96%*	*98%*	*98%*	*98%*	*98%*
12mf PE	Level	15.9x	10.0x	13.3x	19.4x	5.1x	18.8x	18.0x	17.3x	13.4x	16.5x	8.7x	9.7x	9.6x	12.2x	8.7x	13.1x	8.9x	10.0x	10.7x	19.7x	13.9x
	10yr %'ile	*79%*	*17%*	*25%*	*95%*	*2%*	*32%*	*76%*	*95%*	*11%*	*64%*	*2%*	*5%*	*53%*	*27%*	*10%*	*2%*	*16%*	*2%*	*2%*	*51%*	*43%*
P/Book	Level	2.1x	1.4x	1.2x	6.6x	2.7x	3.1x	2.6x	2.4x	1.5x	2.1x	1.5x	1.5x	2.1x	2.3x	2.2x	2.1x	1.9x	2.5x	2.5x	6.0x	2.5x
	10yr %'ile	*99%*	*17%*	*49%*	*99%*	*98%*	*27%*	*93%*	*98%*	*41%*	*75%*	*2%*	*7%*	*85%*	*76%*	*71%*	*36%*	*87%*	*98%*	*98%*	*99%*	*94%*
P/Sales	Level	1.6x	1.3x	2.4x	3.8x	2.3x	2.2x	2.4x	3.4x	2.2x	1.3x	1.7x	2.1x	1.2x	1.1x	1.6x	3.0x	2.4x	2.1x	2.3x	3.6x	1.6x
	10yr %'ile	*98%*	*45%*	*30%*	*98%*	*96%*	*51%*	*73%*	*98%*	*50%*	*59%*	*2%*	*31%*	*56%*	*62%*	*47%*	*10%*	*23%*	*97%*	*97%*	*98%*	*92%*
Div Yield	Level	1.9%	2.1%	3.2%	1.6%	0.9%	1.2%	3.2%	3.0%	3.7%	2.9%	7.2%	2.9%	6.4%	3.8%	3.6%	3.9%	5.1%	2.1%	1.9%	1.2%	2.7%
	10yr %'ile	*7%*	*48%*	*52%*	*7%*	*6%*	*36%*	*8%*	*8%*	*53%*	*49%*	*95%*	*82%*	*64%*	*84%*	*73%*	*82%*	*74%*	*15%*	*11%*	*11%*	*17%*
Technicals	30 day RSI	57	32	25	68	51	25	38	46	32	42	35	38	76	49	25	33	53	52	49	54	38
	50/200d MA	6%	-5%	-1%	17%	8%	0%	2%	12%	0%	5%	-15%	2%	0%	-2%	-2%	-1%	1%	5%	5%	6%	4%
Perf.	1m	1%	-5%	-7%	7%	6%	-7%	-6%	-4%	-5%	-4%	-10%	-6%	13%	-6%	-13%	-5%	2%	1%	0%	1%	-6%
	Since June 22	2%	-3%	0%	4%	-15%	-8%	-2%	12%	-2%	-6%	-5%	-5%	24%	-7%	-5%	-5%	-1%	-3%	-4%	4%	-3%
	3m	5%	2%	2%	7%	6%	-7%	0%	9%	-1%	-5%	2%	-6%	24%	-5%	-3%	-2%	4%	3%	3%	4%	-4%
	YTD	22%	-15%	-1%	75%	102%	-16%	6%	19%	-2%	15%	-42%	-5%	34%	4%	-9%	1%	1%	24%	23%	14%	2%

Source: FactSet, Morgan Stanley Research. Data as of Oct 5, 2026.

MSCI EM Sector Recommendations and Valuation Dashboard

	MSCI EM Sectors & Industry Groups	Automobiles & Components	Cons. Discret. Retailing	Durables & Apparel	Consumer Staples	Consumer Services	Telecoms	Media & Entertainment	Software & Services	Semiconductors & Equipment	Tech Hardware & Equipment	Financials	Real Estate	Health Care	Utilities	Energy	Materials	Industrials
MS Rating		**UW**	**UW**	**UW**	**UW**	**UW**	**EW**	**EW**	**UW**	**OW**	**OW**	**EW**	**EW**	**EW**	**EW**	**OW**	**OW**	**OW**
Index Weight	% of MSCI EM	2.1%	3.3%	0.7%	2.5%	1.0%	2.0%	3.7%	1.0%	27.1%	16.6%	19.0%	0.9%	2.6%	1.9%	3.4%	5.7%	6.3%
Earnings Revisions & Growth	**CY2 EPS Revision Breadth (3ma)**	**-9%**	**-8%**	**-9%**	**-13%**	**-6%**	**-1%**	**-24%**	**-8%**	**24%**	**28%**	**14%**	**-3%**	**6%**	**-10%**	**13%**	**0%**	**2%**
	3m Δ of 12mf EPS	**5%**	**2%**	**2%**	**1%**	**8%**	**3%**	**-1%**	**-2%**	**18%**	**20%**	**4%**	**3%**	**5%**	**-5%**	**6%**	**2%**	**14%**
	12mf EPS growth	**24%**	**29%**	**14%**	**11%**	**53%**	**17%**	**8%**	**12%**	**51%**	**66%**	**9%**	**10%**	**16%**	**10%**	**-1%**	**104%**	**30%**
ROE	**Level**	**8.6%**	**8.2%**	**14.6%**	**15.7%**	**2.1%**	**16.0%**	**15.3%**	**17.6%**	**41.7%**	**22.0%**	**12.6%**	**8.9%**	**12.1%**	**11.3%**	**14.4%**	**13.4%**	**16.4%**
	10yr %'ile	*52%*	*25%*	*58%*	*88%*	*20%*	*98%*	*89%*	*23%*	*98%*	*98%*	*95%*	*36%*	*79%*	*93%*	*75%*	*79%*	*93%*
12mf PE	**Level**	**11.2x**	**11.0x**	**14.3x**	**16.7x**	**15.6x**	**14.9x**	**11.8x**	**18.8x**	**11.1x**	**6.9x**	**9.2x**	**9.4x**	**27.3x**	**13.0x**	**8.9x**	**10.8x**	**10.9x**
	10yr %'ile	*32%*	*14%*	*21%*	*1%*	*1%*	*26%*	*1%*	*7%*	*12%*	*2%*	*82%*	*61%*	*52%*	*88%*	*67%*	*42%*	*19%*
P/Book	**Level**	**1.9x**	**1.5x**	**2.4x**	**3.3x**	**2.0x**	**3.1x**	**2.5x**	**3.5x**	**11.1x**	**5.3x**	**1.2x**	**1.0x**	**3.5x**	**1.4x**	**1.2x**	**1.8x**	**3.0x**
	10yr %'ile	*90%*	*1%*	*16%*	*12%*	*13%*	*96%*	*10%*	*1%*	*99%*	*99%*	*65%*	*45%*	*36%*	*67%*	*58%*	*78%*	*99%*
P/Sales	**Level**	**0.7x**	**1.0x**	**1.1x**	**1.0x**	**1.6x**	**2.2x**	**3.4x**	**2.7x**	**11.1x**	**2.0x**	**1.8x**	**1.6x**	**3.6x**	**1.2x**	**0.9x**	**1.5x**	**1.6x**
	10yr %'ile	*26%*	*4%*	*49%*	*1%*	*1%*	*79%*	*6%*	*2%*	*97%*	*98%*	*95%*	*70%*	*87%*	*77%*	*85%*	*84%*	*93%*
Div Yield	**Level**	**2.1%**	**1.4%**	**2.6%**	**3.4%**	**1.3%**	**3.5%**	**1.3%**	**3.5%**	**0.8%**	**0.8%**	**3.6%**	**4.1%**	**1.0%**	**3.4%**	**4.0%**	**2.7%**	**1.8%**
	10yr %'ile	*80%*	*88%*	*86%*	*98%*	*93%*	*53%*	*97%*	*98%*	*2%*	*2%*	*36%*	*65%*	*47%*	*64%*	*35%*	*19%*	*32%*
Technicals	**30 day RSI**	**9**	**32**	**40**	**32**	**26**	**38**	**39**	**30**	**63**	**52**	**54**	**37**	**45**	**64**	**54**	**33**	**45**
	50dma / 200 dma	**-8%**	**-8%**	**2%**	**-3%**	**-5%**	**-1%**	**-10%**	**-9%**	**16%**	**14%**	**4%**	**-3%**	**5%**	**-2%**	**1%**	**-1%**	**-2%**
Perf.	**1m**	**-10%**	**-5%**	**-4%**	**-5%**	**-9%**	**-3%**	**-5%**	**-11%**	**9%**	**6%**	**-3%**	**-5%**	**-1%**	**1%**	**-1%**	**-8%**	**-1%**
	3m	**-10%**	**4%**	**4%**	**-3%**	**0%**	**-4%**	**-4%**	**-1%**	**3%**	**8%**	**5%**	**-3%**	**10%**	**3%**	**12%**	**4%**	**-3%**
	YTD	**-17%**	**-24%**	**1%**	**-9%**	**-28%**	**-3%**	**-30%**	**-35%**	**95%**	**103%**	**7%**	**-8%**	**8%**	**5%**	**11%**	**1%**	**13%**

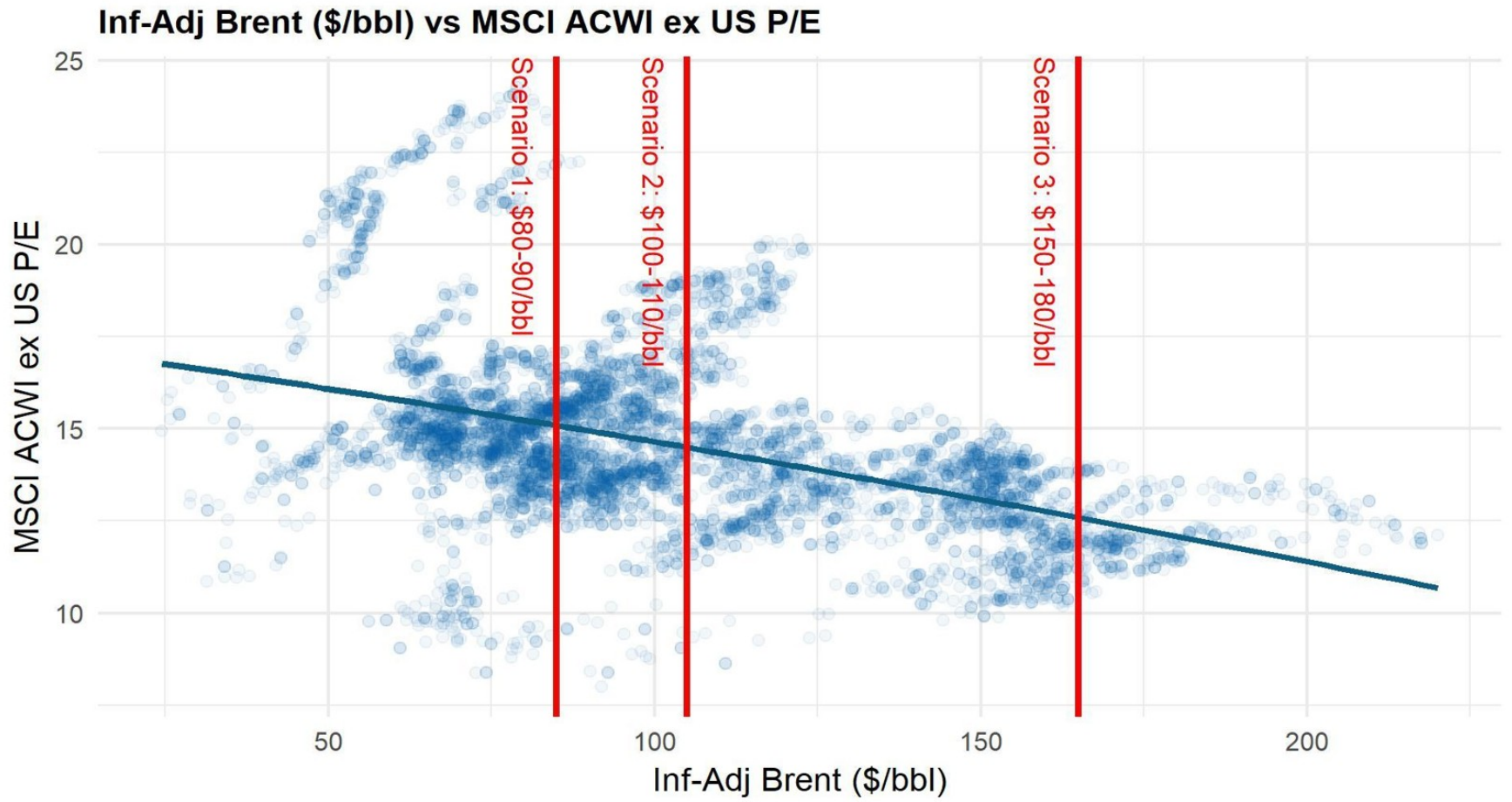
Source: FactSet, Morgan Stanley Research. Data as of Oct 5, 2026.

EM Macro, Fiscal, External & Structural Features – Considerable Heterogeneity Across Multiple Dimensions Argues Against the Concept of EM Convergence

	Macro Indicators			Fiscal Indicators				External Indicators			Structural Features	
Market	GDP per capita, 2025	GDP vol, 10y	CPI vol, 10y	Govt. debt, 2025	Govt. ext debt, 2025	Fiscal balance, 2025	Interest/revenues, 2025	CAB+FDI, 2025	Liquidity ratio, 2025	Reserves / CXP 2025	Corrupt. Percept. Index	V-Dem Democracy Score
Brazil	10,386	2.1	2.4	79	9	-8.0	20.0	-1.0	123	8.3	35	0.8
Chile	17,953	4.2	2.9	42	16	-2.4	5.1	-0.7	78	4.1	63	0.8
China	13,852	1.9	1.0	69	3	-8.4	5.2	2.8	211	11.9	43	0.1
Colombia	8,554	4.6	3.1	59	24	-5.5	12.9	-0.2	102	7.0	37	0.7
Egypt	3,227	1.2	9.6	81	38	-6.6	62.6	-1.0	98	4.5	30	0.2
Hungary	25,284	3.5	5.6	74	35	-5.0	10.7	-1.9	131	3.4	40	0.5
India	2,843	4.4	1.3	81	4	-7.3	23.4	-0.7	218	7.4	39	0.5
Indonesia	5,002	2.2	0.9	41	17	-2.8	17.1	0.6	106	5.1	34	0.6
Mexico	14,263	3.8	1.5	53	13	-4.7	17.4	1.7	140	3.8	27	0.6
Peru	9,514	5.9	2.2	30	22	-2.3	8.6	5.2	259	10.6	30	0.7
Philippines	4,275	5.0	1.7	55	18	-4.2	12.8	-1.4	261	7.1	32	0.5
Poland	28,559	2.7	4.3	59	17	-7.1	6.6	1.0	159	5.6	53	0.7
Qatar	67,930	2.4	2.2	48	18	2.6	5.7	12.8	64	6.1	58	0.1
Saudi Arabia	35,188	4.2	1.8	31	17	-5.1	4.9	-2.8	200	12.8	57	0.0
South Africa	6,764	2.8	1.3	79	20	-4.8	19.3	0.0	100	5.6	41	0.7

Source: Fitch, OECD, V-Dem Democracy Score - see https://www.v-dem.net/), Corruption Perception Index - see https://www.transparency.org/, Morgan Stanley Research forecasts

MSCI ACWI ex US Multiples vs. Inflation-adjusted Brent Prices



Source: Bloomberg, Morgan Stanley Research; Note: Daily data from 2005.

Assessing How Asian Economies Are Navigating the Ongoing Dislocation

	Crude Oil			Petroleum Products			Natural Gas			Propane			Fertilizer			Chemicals			Power		
Economy	1 Week	1 Month	2 Month	1 Week	1 Month	2 Month	1 Week	1 Month	2 Month	1 Week	1 Month	2 Month	1 Week	1 Month	2 Month	1 Week	1 Month	2 Month	1 Week	1 Month	2 Month
China																					
Japan																					
South Korea																					
India																					
Taiwan																					
Thailand																					
Indonesia																					
Malaysia																					
Philippines																					
Singapore										NA	NA	NA	NA	NA	NA						
Australia										NA	NA	NA									
Asia																					

Well Covered
Exposed, but Manageable
More Exposed
Challenged

Note: Our assessment is based most updated announcements by government/ministry/industry bodies on ongoing measures, inventory cover and initiatives under consideration. Also the data for the above assessment comes with time lag. India, Thailand, South Korea among others have given specific details around inventories and sourcing, while comments from other economies are more anecdotal in nature.
Source: PIB, METI, Taiwan Minister of Economic Affairs, Ministry of Industry and Trade of the Socialist Republic of Vietnam, Ministry of Trade, Industry and Resources South Korea, MoPnG India, Department of Climate Change, Energy, the Environment and Water (Australia), Presidential Communications Office (Philippines), Ministry of Economic Affairs Taiwan, Bernama, Ministry of Energy (Thailand), Cabinet of Secretariat of the Republic of Indonesia, Ministry of Energy and Science and Technology (Singapore), Morgan Stanley Research estimates. Latest available data as of March 2026.

Asia and EM Market Estimate Revisions Breadth (3mma) and Consensus EPS Growth

	MSCI Asia/EM Market Breakdown 12mf 3MMA Earnings Revisions Breadth																					EPS Growth		
	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	CY2026E	CY2027E	CY2028E
MSCI Japan	**1.2%**	**3.1%**	**3.1%**	**1.1%**	**-4.0%**	**-7.1%**	**-6.0%**	**-1.6%**	**3.3%**	**5.7%**	**8.2%**	**9.0%**	**9.6%**	**10.4%**	**9.9%**	**8.4%**	**5.5%**	**6.5%**	**9.0%**	**14.2%**	**16.2%**	**19.7%**	**15.0%**	**11.4%**
MSCI EM	**-5.1%**	**-4.3%**	**-4.6%**	**-6.0%**	**-6.9%**	**-7.4%**	**-5.6%**	**-2.8%**	**-1.8%**	**-0.6%**	**0.7%**	**0.9%**	**0.8%**	**0.5%**	**0.7%**	**-1.3%**	**-1.8%**	**-2.1%**	**-0.4%**	**1.1%**	**0.4%**	**74.5%**	**23.7%**	**10.9%**
MSCI APxJ	**-4.9%**	**-4.3%**	**-4.5%**	**-6.3%**	**-7.3%**	**-8.1%**	**-6.0%**	**-3.2%**	**-2.0%**	**-0.8%**	**0.6%**	**0.7%**	**0.6%**	**0.5%**	**1.0%**	**-0.9%**	**-1.6%**	**-2.1%**	**-0.6%**	**1.0%**	**0.4%**	**76.2%**	**24.4%**	**10.7%**
Australia	-0.2%	0.1%	-2.5%	-5.8%	-8.4%	-10.3%	-10.3%	-8.2%	-6.7%	-1.1%	-0.3%	1.6%	-2.3%	1.6%	2.4%	3.6%	-4.6%	-7.5%	-12.7%	-10.6%	-10.7%	2.0%	9.8%	4.3%
China	-3.0%	-1.1%	-1.0%	-3.5%	-7.2%	-7.8%	-5.1%	0.1%	0.8%	1.6%	0.7%	0.1%	-0.5%	-1.0%	-0.8%	-3.7%	-4.8%	-4.6%	-2.8%	-1.8%	-4.0%	14.1%	13.1%	13.1%
Hong Kong	0.8%	-4.2%	-4.7%	-5.5%	-4.6%	-1.6%	3.1%	3.5%	3.8%	1.0%	5.5%	1.0%	3.7%	1.2%	4.3%	2.2%	1.4%	-1.5%	-2.6%	0.5%	2.6%	20.5%	3.0%	7.4%
India	-11.2%	-12.1%	-11.8%	-13.3%	-8.8%	-10.6%	-7.8%	-8.2%	-6.1%	-5.2%	-1.7%	-1.5%	-0.7%	-1.1%	-1.5%	-3.9%	-6.0%	-7.0%	-5.2%	-1.7%	-0.1%	11.3%	17.7%	14.6%
Indonesia	-3.2%	-11.1%	-15.0%	-16.1%	-16.6%	-12.6%	-12.9%	-8.8%	-11.5%	-12.0%	-6.5%	-3.8%	-2.4%	-2.5%	-1.0%	-1.9%	-7.5%	-13.3%	-14.6%	-12.2%	-8.5%	-0.1%	7.0%	9.5%
Korea	-7.9%	-7.6%	-7.5%	-5.9%	-2.8%	-2.2%	-1.5%	0.0%	0.1%	1.9%	5.4%	6.1%	5.6%	5.1%	6.2%	6.0%	7.3%	8.0%	9.9%	9.7%	7.6%	333.5%	36.0%	4.8%
Malaysia	-1.6%	-2.2%	-2.5%	-4.2%	-4.6%	-11.8%	-11.0%	-9.7%	-2.6%	-2.0%	0.3%	2.4%	2.1%	-0.4%	-0.8%	-0.2%	0.6%	-0.2%	-0.9%	-1.3%	2.5%	9.0%	7.1%	6.7%
Singapore	6.5%	4.6%	9.4%	5.7%	-0.4%	-4.9%	-2.1%	-1.2%	0.1%	-1.7%	-2.6%	-4.2%	-3.8%	-0.1%	-2.0%	-1.7%	-1.4%	0.5%	4.1%	9.5%	10.3%	11.2%	11.8%	9.6%
Taiwan	-3.5%	1.6%	-3.7%	-6.0%	-10.2%	-8.4%	-8.3%	-6.6%	-5.0%	-1.5%	2.2%	4.7%	5.6%	8.9%	13.0%	14.1%	21.9%	21.3%	22.5%	22.0%	19.5%	65.2%	30.6%	26.1%
Thailand	-6.3%	-6.2%	-4.6%	-3.8%	-9.2%	-11.0%	-12.6%	-6.9%	-5.3%	-2.9%	-1.7%	0.0%	1.5%	-0.2%	-0.2%	-3.3%	2.0%	2.8%	8.3%	10.8%	10.9%	17.7%	3.1%	6.8%
MSCI EM EMEA	**-2.0%**	**-0.8%**	**-0.4%**	**-0.4%**	**-1.1%**	**0.8%**	**0.4%**	**2.1%**	**0.5%**	**2.4%**	**2.1%**	**3.1%**	**1.6%**	**1.9%**	**0.1%**	**-2.0%**	**-4.4%**	**-3.7%**	**-2.5%**	**1.1%**	**1.5%**	**22.4%**	**11.8%**	**8.7%**
Czech Republic	-1.0%	3.9%	6.0%	4.7%	6.2%	11.0%	11.0%	8.3%	1.9%	9.3%	11.1%	7.3%	-0.1%	-3.9%	-0.2%	-2.0%	-7.8%	-5.9%	-2.6%	12.5%	8.8%	10.1%	-0.9%	-2.4%
Egypt	0.0%	5.6%	-2.8%	0.9%	0.0%	6.7%	3.0%	6.7%	0.0%	3.3%	3.3%	5.9%	2.6%	8.6%	9.1%	9.1%	10.4%	7.4%	3.7%	11.1%	11.1%	0.6%	10.9%	16.9%
Greece	1.1%	3.2%	4.5%	5.1%	6.9%	7.0%	6.9%	11.6%	13.8%	14.0%	12.2%	9.0%	7.1%	-0.8%	-6.0%	-7.3%	-3.8%	0.6%	5.8%	9.1%	11.8%	18.2%	10.1%	7.0%
Hungary	7.6%	8.8%	7.3%	4.7%	14.1%	12.1%	12.1%	3.0%	6.1%	10.1%	12.4%	9.2%	3.6%	5.8%	-0.9%	2.3%	-3.7%	3.0%	-1.6%	4.2%	4.2%	16.3%	7.3%	3.4%
Poland	-0.3%	0.6%	4.5%	9.9%	8.9%	5.7%	-0.2%	0.5%	-3.2%	-3.1%	-6.1%	-1.6%	0.6%	2.5%	1.9%	2.1%	2.4%	7.1%	7.1%	13.2%	11.0%	49.8%	1.7%	3.4%
Qatar	-0.1%	-5.3%	-9.5%	-9.7%	-6.9%	-6.2%	-1.8%	-0.1%	-0.1%	0.0%	4.2%	3.4%	0.4%	-4.6%	-7.8%	-13.8%	-17.4%	-16.8%	-12.5%	-11.0%	-6.2%	-4.2%	15.9%	10.3%
Saudi Arabia	-4.1%	-4.0%	-3.2%	-7.4%	-10.0%	-9.3%	-5.5%	-5.3%	-7.0%	-4.3%	-2.9%	-0.8%	-2.2%	-0.4%	-2.4%	-2.8%	-4.3%	-2.8%	-3.1%	-2.1%	-4.0%	10.5%	8.9%	7.0%
South Africa	-4.4%	-2.5%	-3.7%	0.8%	-0.9%	6.7%	0.0%	1.4%	0.1%	6.0%	7.2%	8.0%	4.3%	6.5%	5.2%	1.8%	-2.4%	-5.2%	-8.4%	-5.4%	-3.1%	42.9%	14.2%	6.4%
Turkey	-9.8%	-8.4%	-7.9%	-11.0%	-7.9%	-6.5%	-5.1%	-2.9%	-1.8%	-3.9%	-8.2%	-10.6%	-10.6%	-10.7%	-8.8%	-9.9%	-4.5%	-5.9%	-2.0%	-6.6%	-4.7%	38.9%	39.7%	30.8%
United Arab Emirates	6.7%	8.4%	7.6%	6.2%	4.0%	6.2%	9.7%	16.0%	13.0%	11.2%	7.9%	8.9%	8.6%	7.4%	4.0%	-1.5%	-9.7%	-8.9%	-3.3%	4.7%	4.8%	0.8%	11.7%	10.3%
MSCI LatAM	**-3.2%**	**-4.6%**	**-6.3%**	**-6.0%**	**-6.4%**	**-4.7%**	**-4.7%**	**-4.7%**	**-4.7%**	**-3.6%**	**-0.7%**	**0.8%**	**1.1%**	**-0.2%**	**-1.2%**	**-1.6%**	**-2.8%**	**-3.6%**	**-4.9%**	**-7.1%**	**-7.1%**	**32.2%**	**1.8%**	**8.2%**
Brazil	-7.1%	-9.3%	-11.4%	-10.1%	-10.0%	-7.5%	-6.2%	-4.3%	-3.3%	-1.7%	2.0%	4.6%	4.3%	1.9%	0.0%	0.5%	-1.2%	-3.5%	-6.6%	-8.4%	-6.5%	42.0%	-0.2%	8.3%
Chile	2.7%	7.7%	8.4%	7.2%	2.0%	6.3%	4.3%	3.1%	-0.2%	1.3%	6.3%	5.7%	5.3%	-0.4%	-0.5%	1.0%	3.5%	2.4%	0.1%	-1.2%	1.0%	-4.9%	5.8%	8.1%
Colombia	4.8%	14.3%	14.3%	7.6%	-1.1%	-1.1%	11.1%	5.6%	5.6%	0.0%	0.0%	11.1%	19.4%	19.4%	13.1%	4.8%	4.8%	0.0%	0.0%	4.2%	-1.4%	26.6%	5.3%	13.2%
Mexico	-1.6%	-3.4%	-5.8%	-5.8%	-5.8%	-6.5%	-8.3%	-10.9%	-11.2%	-12.3%	-11.9%	-12.5%	-10.5%	-9.2%	-8.5%	-11.0%	-11.3%	-10.3%	-8.6%	-12.6%	-14.9%	14.7%	7.2%	7.5%
Peru	24.7%	7.6%	3.6%	-2.6%	3.6%	5.7%	5.7%	6.9%	10.9%	20.5%	26.4%	32.1%	27.7%	32.5%	28.3%	24.4%	11.5%	19.8%	24.7%	23.6%	7.6%	25.8%	6.0%	5.9%
S&P 500	**-4.2%**	**-8.1%**	**-9.6%**	**-13.2%**	**-10.8%**	**-7.7%**	**-0.3%**	**9.1%**	**10.2%**	**9.3%**	**6.3%**	**5.6%**	**5.2%**	**3.2%**	**3.5%**	**2.9%**	**9.5%**	**11.7%**	**14.0%**	**14.2%**	**12.9%**	**34.3%**	**17.2%**	**17.2%**
MSCI Europe	**-5.1%**	**-0.7%**	**-0.8%**	**-7.6%**	**-13.9%**	**-14.5%**	**-11.9%**	**-7.0%**	**-6.4%**	**-4.2%**	**-3.3%**	**-3.0%**	**-2.8%**	**-4.6%**	**-4.9%**	**-3.9%**	**-0.9%**	**1.0%**	**4.1%**	**8.6%**	**9.0%**	**20.7%**	**9.7%**	**10.3%**

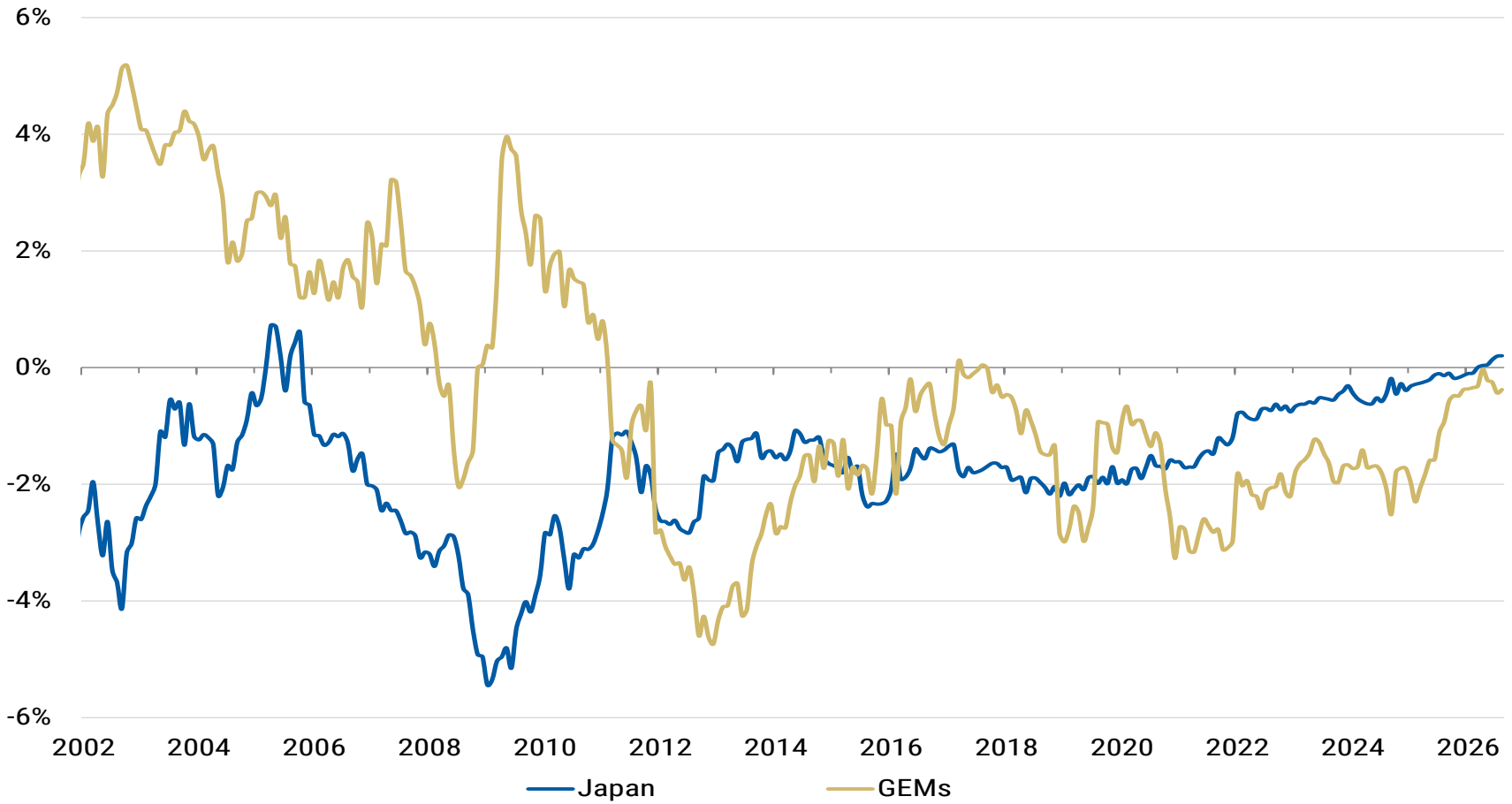
Source: FactSet, IBES consensus, Morgan Stanley Research. Note: Monthly data as of September 2026. Earnings revision breadth is calculated using the 3-month moving average of upgrades less downgrades divided by the total universe of forward earnings estimates.

Asia and EM Industry Estimate Revisions Breadth (3mma) and Consensus EPS Growth

	MSCI EM Industry Group 12mf 3MMA Earnings Revisions Breadth Breakdown																					Consensus EPS Growth		
	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	CY2026E	CY2027E	CY2028E
MSCI EM	**-5.1%**	**-4.3%**	**-4.6%**	**-6.0%**	**-6.9%**	**-7.4%**	**-5.6%**	**-2.8%**	**-1.8%**	**-0.6%**	**0.7%**	**0.9%**	**0.8%**	**0.5%**	**0.7%**	**-1.3%**	**-1.8%**	**-2.1%**	**-0.4%**	**1.1%**	**0.4%**	**74.5%**	**23.7%**	**10.9%**
Banks	-1.0%	-2.5%	-2.4%	-3.0%	-4.5%	-5.2%	-3.8%	-1.3%	-1.9%	-2.4%	-0.2%	1.3%	2.1%	2.2%	2.8%	0.9%	-0.8%	-2.3%	-0.6%	2.5%	3.7%	8.7%	9.9%	10.3%
Diversified Financials	3.0%	-0.1%	-0.8%	-1.0%	-0.9%	1.2%	1.7%	5.2%	8.0%	8.5%	11.3%	6.6%	6.7%	3.4%	4.6%	2.2%	1.6%	2.9%	5.0%	10.5%	11.0%	26.6%	8.6%	9.1%
Insurance	8.0%	3.7%	-2.1%	-4.2%	-5.8%	-2.7%	-0.4%	4.3%	7.1%	9.0%	11.6%	9.1%	10.1%	4.5%	3.2%	-3.8%	-4.1%	-2.1%	2.0%	5.2%	7.2%	8.9%	2.6%	4.3%
Real Estate	8.1%	8.1%	2.6%	8.3%	10.7%	10.7%	2.4%	9.5%	-0.3%	-4.2%	-15.7%	-5.9%	-7.8%	-5.9%	-8.3%	2.7%	-2.8%	-6.5%	-9.1%	-13.0%	-12.1%	-44.8%	12.9%	13.9%
Energy	-12.2%	-6.8%	-7.0%	-10.6%	-14.2%	-15.6%	-10.0%	-4.7%	-2.2%	-0.9%	2.9%	4.0%	3.4%	0.8%	4.1%	8.8%	10.3%	5.7%	0.6%	1.8%	3.7%	43.9%	-8.7%	1.2%
Materials	-11.9%	-10.4%	-10.2%	-9.2%	-6.5%	-6.4%	-4.9%	-1.4%	1.2%	2.4%	3.5%	3.0%	3.2%	3.1%	3.7%	3.9%	3.8%	5.4%	1.8%	2.3%	-0.2%	94.1%	10.3%	7.8%
Capital Goods	-7.0%	-5.1%	-4.3%	-6.7%	-6.0%	-7.1%	-3.3%	-1.9%	0.0%	-0.4%	3.5%	3.1%	3.1%	0.6%	0.7%	-1.4%	-2.3%	-3.1%	-0.8%	-0.2%	0.0%	113.9%	23.9%	13.5%
Commercial & Prof. Services	-13.6%	-3.0%	0.1%	-9.7%	-16.5%	-24.4%	-14.7%	-6.3%	10.0%	13.6%	15.9%	4.6%	1.1%	2.5%	-2.2%	0.3%	-0.7%	-3.4%	-4.1%	-10.0%	15.3%	12.5%	12.5%	13.3%
Transportation	-2.2%	-1.8%	-4.6%	-5.6%	-6.1%	-5.2%	-3.9%	-1.4%	-2.7%	-4.3%	-6.0%	-3.9%	-3.2%	-1.1%	0.1%	-2.6%	-6.7%	-7.6%	-2.0%	1.5%	1.5%	-2.1%	10.2%	11.6%
Utilities	-5.5%	-9.4%	-9.2%	-11.7%	-9.7%	-10.7%	-7.1%	-3.8%	-5.9%	-4.2%	-5.0%	-2.5%	-3.6%	-6.3%	-5.9%	-8.4%	-8.1%	-8.8%	-6.4%	-5.1%	-4.5%	-1.0%	14.2%	9.9%
Automobiles & Components	0.1%	-1.9%	-2.5%	-3.0%	-6.7%	-8.0%	-8.8%	-5.1%	-2.5%	0.9%	3.6%	1.9%	0.7%	-2.3%	-4.0%	-10.6%	-15.4%	-14.5%	-9.2%	-3.5%	-7.6%	22.0%	25.4%	16.3%
Consumer Durables & Apparel	-4.9%	-3.3%	-5.4%	-7.5%	-7.0%	-7.7%	-6.9%	-7.0%	-4.1%	-1.1%	-1.6%	-2.3%	-2.7%	-2.5%	-3.4%	-3.9%	-4.7%	-4.7%	-4.4%	-3.5%	-7.2%	17.4%	12.3%	13.0%
Consumer Services	4.6%	0.8%	-5.8%	-9.0%	-12.8%	-15.2%	-13.6%	-11.8%	-10.6%	-9.2%	-6.8%	-5.4%	-6.1%	-4.4%	-2.3%	-7.6%	-6.8%	-6.3%	-2.9%	-5.9%	-10.1%	27.1%	58.3%	31.3%
Food & Staples Retailing	-9.5%	-5.4%	-7.9%	-7.3%	-12.0%	-10.8%	-13.7%	-12.4%	-9.7%	-6.8%	-6.5%	-6.1%	-4.6%	-6.9%	-11.3%	-12.0%	-9.5%	-8.8%	-12.2%	-13.2%	-9.7%	13.7%	12.9%	14.1%
Food Beverage & Tobacco	-9.8%	-5.3%	-5.1%	-4.2%	-3.4%	-4.1%	-5.8%	-6.3%	-8.5%	-7.7%	-9.6%	-7.3%	-7.5%	-3.4%	-3.6%	-5.7%	-7.0%	-7.1%	-5.1%	-2.4%	-6.3%	9.5%	11.8%	10.0%
Household & Personal Products	-24.6%	-23.9%	-21.2%	-23.0%	-12.0%	-15.1%	-11.6%	-14.3%	-12.5%	-13.7%	-16.5%	-15.1%	-13.0%	-6.7%	-4.9%	-8.5%	-5.2%	-6.7%	-1.7%	4.4%	3.3%	5.5%	14.3%	13.1%
Retailing	-4.7%	-4.6%	-1.7%	-4.2%	-3.5%	-8.2%	-8.4%	-8.1%	-1.5%	1.2%	3.2%	0.6%	-1.7%	-2.8%	-2.7%	-7.0%	-8.3%	-10.8%	-3.0%	-0.6%	-1.5%	29.3%	27.1%	21.9%
Health Care Equip. & Services	-14.1%	-7.3%	-7.7%	-11.0%	-16.2%	-15.1%	-11.7%	-4.0%	-10.2%	-9.1%	-15.7%	-8.1%	-9.4%	-4.7%	-7.1%	-11.1%	-14.7%	-15.0%	-10.8%	-8.8%	-10.3%	7.9%	15.0%	13.8%
Pharma, Biotech & Life Sciences	-2.7%	-2.9%	-0.7%	-2.4%	-0.7%	-4.0%	-3.6%	-2.6%	1.1%	1.4%	0.2%	-1.3%	-1.6%	-0.3%	-0.3%	-1.2%	-2.1%	-3.8%	-3.2%	-1.2%	1.8%	17.0%	17.8%	19.6%
Media & Entertainment	0.2%	0.7%	3.7%	2.7%	2.1%	2.3%	2.7%	5.8%	5.3%	6.3%	3.7%	-0.2%	-1.2%	-2.3%	-5.6%	-11.1%	-12.5%	-11.8%	-7.9%	-12.1%	-12.3%	2.6%	9.1%	10.8%
Semis & Semi Equipment	-7.0%	-4.1%	-4.7%	-4.1%	-10.8%	-11.6%	-11.7%	-7.7%	-7.6%	-3.7%	2.1%	5.4%	4.9%	6.4%	7.7%	5.8%	7.5%	8.9%	11.7%	12.7%	9.7%	191.3%	34.4%	16.5%
Software & Services	-5.2%	-4.4%	-5.5%	-14.8%	-24.7%	-23.6%	-12.8%	-2.9%	-4.1%	1.8%	2.6%	4.8%	8.0%	12.7%	9.9%	7.6%	0.7%	1.4%	-2.8%	-4.4%	-4.2%	18.8%	9.3%	12.1%
Tech. Hardware & Equipment	-5.6%	-2.7%	-3.9%	-5.5%	-7.6%	-6.4%	-3.1%	1.7%	4.7%	6.8%	8.6%	7.4%	5.9%	5.7%	8.5%	9.3%	14.4%	15.5%	16.8%	14.9%	10.5%	348.2%	44.7%	2.8%
Telecommunication Services	2.3%	1.0%	2.0%	1.7%	1.0%	-0.5%	-0.5%	-1.3%	-1.1%	-2.3%	1.2%	2.1%	2.2%	-1.6%	-2.3%	-4.1%	-4.1%	-5.3%	-3.0%	-2.3%	-0.1%	17.3%	16.6%	13.4%

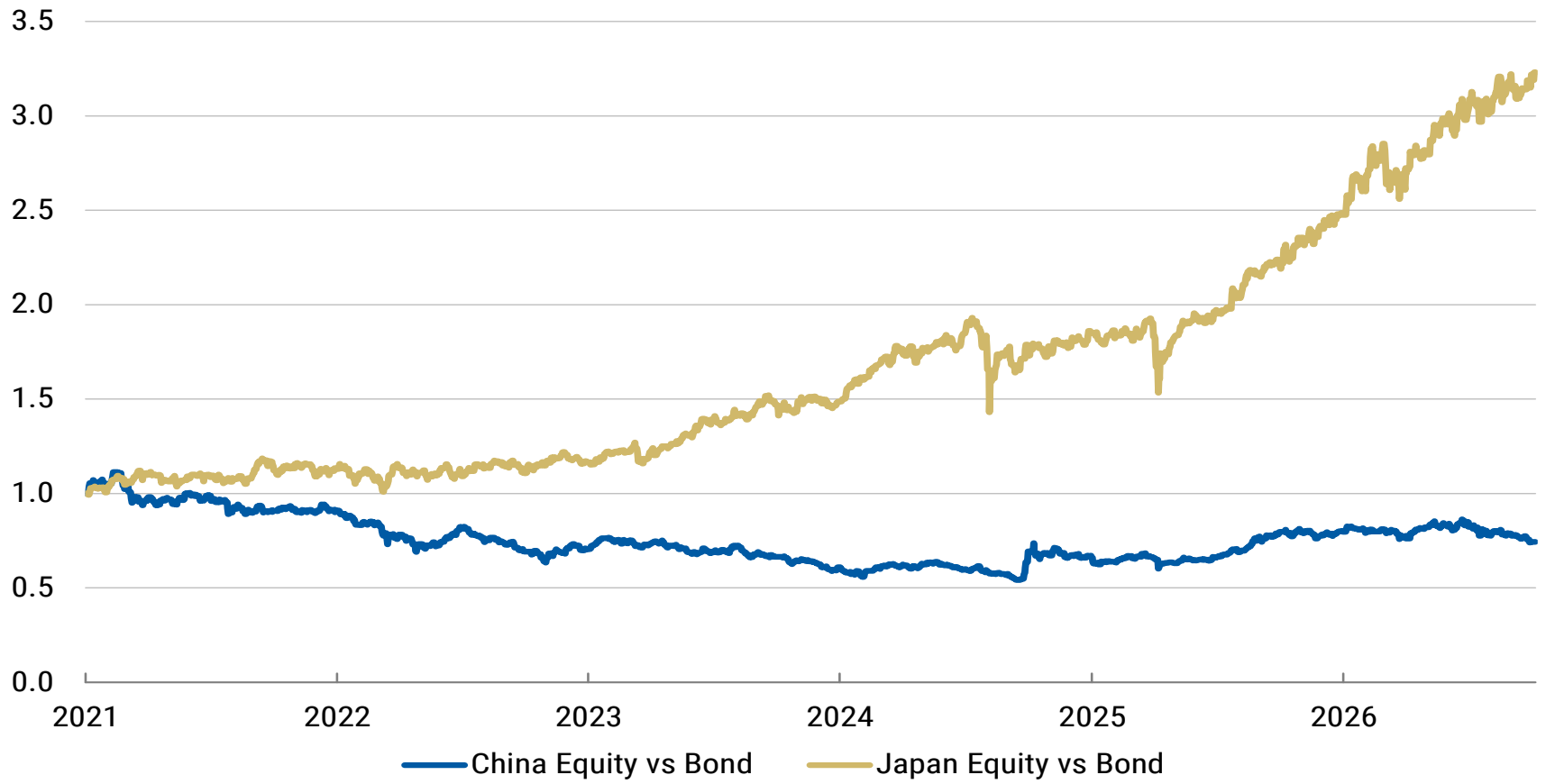
Source: FactSet, IBES consensus, Morgan Stanley Research. Note: Monthly data as of September 2026. Earnings revision breadth is calculated using the 3-month moving average of upgrades less downgrades divided by the total universe of forward earnings estimates.

Global Equity Funds Positioning – Global Investors Are Now 20bp OW Japan



Source: EPFR Global, Country Allocation Database, Morgan Stanley Research. Note: Fund Weights as of August end 2026. Global long-only funds sample benchmarked to MSCI World, MSCI ACWI ex-USA and MSCI EAFE.

China and Japan Equity vs. Bond Performance – Equities Outperforming Bonds in Japan and Equities Underperforming Bonds in China



Source: Bloomberg, Morgan Stanley Research Note: Data as of October 6, 2026. In local currency terms.

Active Fund Positions in EM Equities by Market and Changes QTD

	International & US Funds				International Funds - UCITS			US Funds		
Market	Portfolio Composite Weight	MSCI EM Index Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD
Brazil	**7.3%**	3.9%	3.4%	0.3%	6.7%	2.8%	0.3%	7.5%	3.6%	0.2%
Mexico	**2.7%**	1.7%	1.0%	0.1%	2.3%	0.7%	0.1%	2.8%	1.1%	0.1%
Hungary	**1.0%**	0.3%	0.7%	0.0%	1.1%	0.8%	0.1%	1.0%	0.6%	0.0%
Greece	**1.1%**	0.6%	0.5%	0.1%	0.9%	0.3%	0.0%	1.2%	0.6%	0.1%
Peru	**0.9%**	0.4%	0.5%	0.0%	0.8%	0.4%	0.0%	0.9%	0.5%	0.0%
Indonesia	**0.9%**	0.5%	0.4%	0.0%	0.9%	0.4%	0.1%	0.9%	0.4%	0.0%
Turkey	**0.8%**	0.4%	0.4%	0.0%	0.7%	0.3%	0.0%	0.8%	0.5%	-0.1%
Philippines	**0.7%**	0.3%	0.4%	0.0%	0.3%	0.1%	0.0%	0.8%	0.5%	0.0%
United Arab Emirates	**1.4%**	1.2%	0.3%	0.0%	1.0%	-0.1%	-0.1%	1.6%	0.4%	0.0%
Korea	**21.0%**	20.8%	0.1%	-0.8%	22.2%	1.4%	-0.6%	20.5%	-0.3%	-0.9%
Thailand	**1.0%**	0.9%	0.0%	0.0%	1.1%	0.1%	0.1%	0.9%	0.0%	0.0%
Egypt	**0.1%**	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%
Czech Republic	**0.0%**	0.1%	-0.1%	0.0%	0.1%	-0.1%	0.0%	0.0%	-0.1%	0.0%
Colombia	**0.0%**	0.2%	-0.1%	0.0%	0.1%	-0.1%	0.0%	0.0%	-0.2%	0.0%
Poland	**1.0%**	1.2%	-0.2%	0.0%	1.5%	0.3%	0.1%	0.8%	-0.4%	0.0%
Chile	**0.2%**	0.5%	-0.3%	0.0%	0.3%	-0.1%	0.0%	0.1%	-0.3%	0.0%
South Africa	**2.9%**	3.2%	-0.3%	-0.2%	3.2%	0.0%	-0.1%	2.8%	-0.5%	-0.2%
Qatar	**0.1%**	0.5%	-0.4%	0.0%	0.1%	-0.4%	0.0%	0.1%	-0.4%	0.0%
India	**10.8%**	11.3%	-0.4%	0.0%	10.2%	-1.1%	0.4%	11.1%	-0.2%	-0.2%
Kuwait	**0.0%**	0.5%	-0.5%	0.0%	0.1%	-0.4%	0.0%	0.0%	-0.5%	0.0%
China	**20.0%**	20.6%	-0.6%	0.8%	20.0%	-0.6%	0.0%	20.0%	-0.7%	1.0%
Malaysia	**0.3%**	1.0%	-0.7%	0.0%	0.5%	-0.4%	-0.1%	0.2%	-0.8%	0.0%
Saudi Arabia	**1.3%**	2.5%	-1.2%	0.0%	1.0%	-1.5%	0.0%	1.4%	-1.1%	0.0%
Taiwan	**24.6%**	27.4%	-2.8%	0.0%	24.8%	-2.6%	-0.2%	24.5%	-2.9%	0.1%

Source: FactSet, Morningstar, Morgan Stanley Research. Note: Data as of August 31, 2026. Please contact us if you would like to receive the full table. For more details see Asia EM Equity Strategy: Flows & Positioning Guide (6 Oct 2026).

Active Fund Positions in EM Equities by GICS Industry Group and Changes QTD

	International & US Funds				International Funds - UCITS			US Funds		
GICS Industry Group	Portfolio Composite Weight	MSCI EM Index Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD
Capital Goods	**7.9%**	5.1%	2.8%	-0.4%	7.7%	2.6%	-0.2%	8.0%	2.8%	-0.5%
Media & Entertainment	**4.6%**	4.1%	0.5%	0.2%	3.9%	-0.3%	0.0%	4.9%	0.8%	0.3%
Consumer Durables & Apparel	**1.2%**	0.7%	0.4%	0.1%	1.3%	0.6%	0.0%	1.1%	0.4%	0.1%
Financial Services	**2.8%**	2.4%	0.4%	0.1%	3.1%	0.8%	0.2%	2.7%	0.3%	0.0%
Transportation	**1.7%**	1.3%	0.4%	0.0%	1.3%	-0.1%	0.1%	1.9%	0.5%	0.0%
Energy	**3.8%**	3.4%	0.4%	0.3%	2.4%	-1.0%	0.0%	4.3%	0.9%	0.4%
Semiconductors & Semiconductor Equipment	**25.0%**	24.7%	0.3%	0.0%	22.2%	-2.5%	-0.5%	26.0%	1.3%	0.2%
Consumer Staples Distribution & Retail	**0.8%**	0.7%	0.2%	0.0%	0.8%	0.1%	0.0%	0.9%	0.2%	0.0%
Health Care Equipment & Services	**0.6%**	0.5%	0.2%	0.0%	0.6%	0.1%	0.0%	0.6%	0.2%	0.0%
Commercial & Professional Services	**0.2%**	0.1%	0.2%	0.0%	0.2%	0.1%	0.0%	0.2%	0.2%	0.0%
Food Beverage & Tobacco	**1.9%**	1.7%	0.1%	-0.1%	1.6%	-0.1%	0.0%	2.0%	0.2%	-0.1%
Telecommunication Services	**2.1%**	2.0%	0.1%	0.0%	1.8%	-0.2%	-0.1%	2.2%	0.2%	0.0%
Utilities	**1.9%**	1.9%	0.1%	-0.1%	1.3%	-0.5%	0.1%	2.1%	0.3%	-0.1%
Pharmaceuticals Biotechnology & Life Sciences	**2.3%**	2.3%	0.0%	0.1%	2.4%	0.1%	0.2%	2.3%	0.0%	0.1%
Household & Personal Products	**0.4%**	0.3%	0.0%	0.1%	0.4%	0.1%	0.1%	0.3%	0.0%	0.1%
Equity Real Estate Investment Trusts (REITs)	**0.1%**	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%
Real Estate Management & Development	**0.9%**	0.9%	0.0%	0.0%	1.1%	0.1%	0.0%	0.8%	-0.1%	0.0%
Consumer Services	**1.0%**	1.2%	-0.2%	0.0%	1.1%	-0.1%	0.0%	0.9%	-0.3%	0.0%
Insurance	**2.4%**	2.7%	-0.3%	-0.1%	2.6%	-0.1%	-0.1%	2.3%	-0.3%	-0.1%
Consumer Discretionary Distribution & Retail	**3.2%**	3.6%	-0.4%	-0.1%	3.8%	0.2%	0.0%	3.0%	-0.6%	-0.1%
Automobiles & Components	**2.1%**	2.5%	-0.4%	0.0%	2.9%	0.4%	0.1%	1.8%	-0.7%	-0.1%
Banks	**14.2%**	14.7%	-0.4%	-0.1%	15.3%	0.6%	0.3%	13.8%	-0.9%	-0.3%
Software & Services	**0.6%**	1.1%	-0.5%	0.0%	0.8%	-0.3%	0.0%	0.5%	-0.6%	0.0%
Materials	**4.7%**	6.3%	-1.6%	-0.1%	4.3%	-2.0%	-0.2%	4.9%	-1.4%	-0.1%
Technology Hardware & Equipment	**13.7%**	15.8%	-2.1%	0.0%	17.1%	1.3%	0.0%	12.4%	-3.4%	0.0%

Source: FactSet, Morningstar, Morgan Stanley Research. Note: Data as of August 31, 2026. Please contact us if you would like to receive the full table. For more details see Asia EM Equity Strategy: Flows & Positioning Guide (6 Oct 2026).

Asia Thematic Focus List – High Conviction Stock Opportunities With Diversified Exposure Across Morgan Stanley's Four Core Themes

Ticker	Company Name	Industry Group	Analyst	Market	MC US$bn	Last Price (LCY)	Upside to Base	Upside to Bull	Bull / Bear	Thematic Materiality			
										AI & Tech Diffusion	Multipolar World	Future of Energy	Societal Shifts
2330.TW	TSMC	Semiconductors	Chan, Charlie	Taiwan	2113.4	2585.0	19%	44%	1.28	Core			
005930.KS	Samsung Electronics	Tech. Hardware & Equipment	Kim, Shawn	S. Korea	1459.0	272000.0	40%	58%	1.93	Core	Core		
0700.HK	Tencent Holdings Ltd.	Media & Entertainment	Yu, Gary	China	506.4	428.2	28%	63%	9.64	Core	Signif.		
BABA.N	Alibaba Group Holding	Consumer Discretionary	Yu, Gary	China	274.2	110.8	62%	135%	7.17	Core	Signif.		
2454.TW	MediaTek	Semiconductors	Chan, Charlie	Taiwan	242.8	4920.0	26%	73%	2.02	Core			
BHP.AX	BHP Group Ltd	Materials	Anand, Rahul	Australia	222.5	62.9	8%	54%	2.09	Moderate	Signif.	Moderate	
300750.SZ	Contemporary Amperex Technology Co. Ltd.	Capital Goods	Lu, Jack	China	209.2	291.1	104%	132%	7.51			Core	
2308.TW	Delta Electronics Inc.	Tech. Hardware & Equipment	Yang, Derrick	Taiwan	167.9	2050.0	22%	61%	1.39	Core	Signif.	Core	
8031.T	Mitsui & Co.	Banks	Shirakawa, Yu	Japan	89.1	4962.0	13%	43%	1.76	Moderate	Moderate	Signif.	
7011.T	Mitsubishi Heavy Industries	Capital Goods	Kitaura, Takeshi	Japan	80.6	3787.0	56%	106%	-308.69	Signif.	Core	Core	Moderate
002371.SZ	NAURA Technology Group Co Ltd	Semiconductors	Zhao, Henry	China	66.6	616.0	28%	81%	2.86	Core	Core		
2359.HK	WuXi AppTec Co Ltd	Pharma, Biotech & Life Sciences	Tam, Laurence	China	73.2	218.6	1%	24%	0.34	Moderate	Moderate		Core
LART.NS	Larsen & Toubro Ltd	Capital Goods	Achhipalia, Girish	India	53.6	3750.0	20%	65%	2.53	Moderate	Core	Moderate	
6669.TW	Wiwynn Corp	Tech. Hardware & Equipment	Kao, Howard	Taiwan	36.5	2290.0	10%	40%	NA	Core	Signif.		
6701.T	NEC	Software & Services	Tsusaka, Tetsuro	Japan	41.4	4927.0	22%	62%	3.31	Signif.	Signif.		
012450.KS	Hanwha Aerospace	Capital Goods	Seok, Joon	S. Korea	38.7	1023000.0	37%	76%	3.48	Moderate	Core		Moderate
6954.T	Fanuc	Capital Goods	Kitaura, Takeshi	Japan	36.8	6220.0	17%	50%	5.40	Moderate	Signif.		Signif.
GULF.BK	Gulf Development PCL	Utilities	Maheshwari, Mayank	Thailand	26.5	59.8	42%	67%	4.13	Core		Core	
STEG.SI	ST Engineering	Capital Goods	Lee, Da Wei	Singapore	26.9	11.0	14%	73%	2.58	Moderate	Core		
5274.TWO	Aspeed Technology	Semiconductors	Yen, Daniel	Taiwan	22.5	18985.0	26%	54%	1.38	Core			
2888.HK	Standard Chartered	Banks	Lord, Nick	Hong Kong	17.4	236.4	11%	51%	0.76	Signif.			Signif.
1801.T	Taisei	Capital Goods	Yagi, Ryo	Japan	12.3	11930.0	85%	125%	3.56	Moderate	Signif.	Moderate	
010950.KS	S-Oil	Energy	Shin, Young Suk	S. Korea	13.9	165300.0	15%	45%	0.88		Signif.	Signif.	
2768.T	Sojitz	Capital Goods	Shirakawa, Yu	Japan	7.3	5523.0	-6%	38%	1.46	Moderate	Moderate	Moderate	

Source: FactSet, Morgan Stanley Research. Note: Data as of Oct 5, 2026.

Asia's Competitive Reinvention – Morgan Stanley's Core Themes Are Driving Transformation and Thematic Opportunity

Thematic Structure: Four Core Themes, 16 Sub-themes and a Disruption/Deflation Layer

AI & Tech Diffusion	Future of Energy	Societal Shifts	Multipolar World
AI Enablers	Powering AI	Diabesity & Nutrition	Rise in Defense Spending
AI Adopters	Nuclear Renaissance	AI & Smart Health Care	Critical Minerals
AI Compute Infrastructure	Renewable Energy & Storage	Preparing for an Aging Population	AI Sovereignty & Semi Localization
Humanoid & Embodied AI	Globalization of Natural Gas	AI & Future of Work	Economic Security & Reindustrialization

AI Challenged

Disrupted / Deflationary exposure can be assigned to any sub-theme

16 long opportunity baskets + dedicated AI Challenged assessment; Disrupted / Deflationary applies across sub-themes.

Materiality Scale: Separates Thematic Association From Investment Relevance

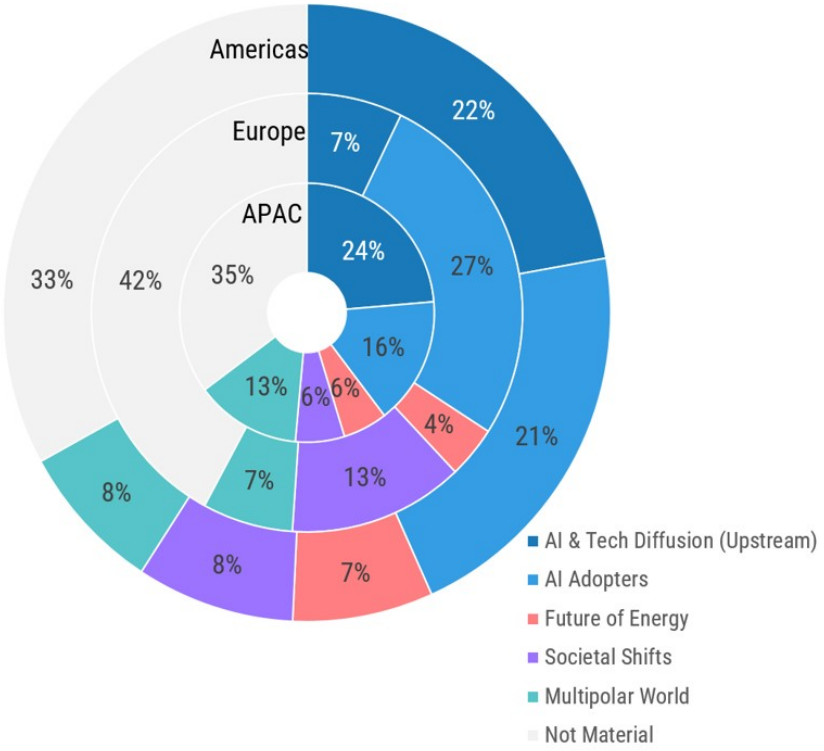
Core to Thesis	Significant	Moderate	Insignificant	Wildcard	Disrupted / Deflationary	Not Applicable
Core to investment debate and outcome	Among the most important debates	One of several relevant debates	Exposure exists; not important now	Relevant; positive or negative TBD	Net downward pressure on revenue / margins	No relevant impact

Positive materiality → Uncertain → Negative

Source: Morgan Stanley Research

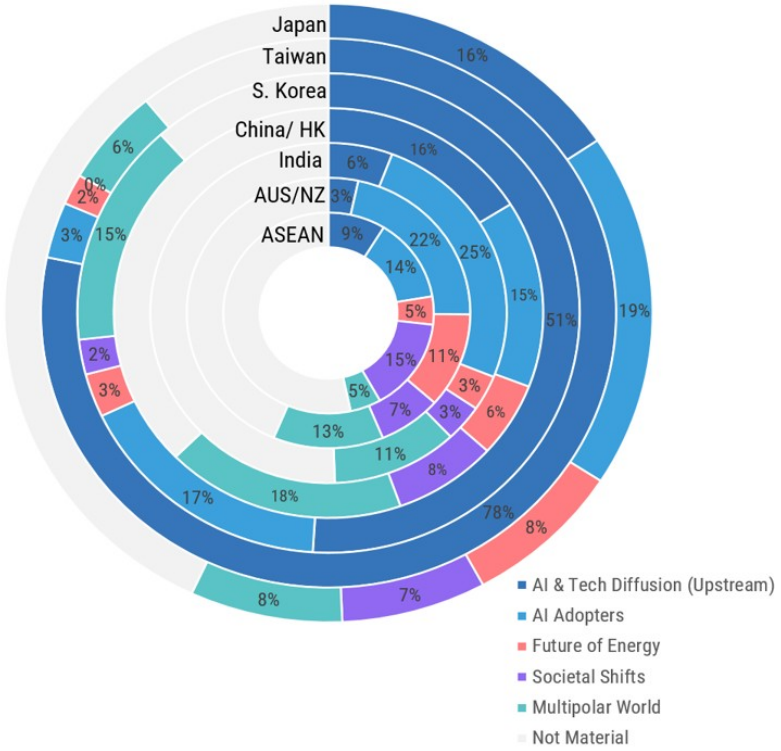
Regional Thematic Distribution

Thematic Mix, by Region (% of market cap) – Americas has higher skew to material AI Adoption beneficiaries, while APAC is skewed to upstream AI sub-themes



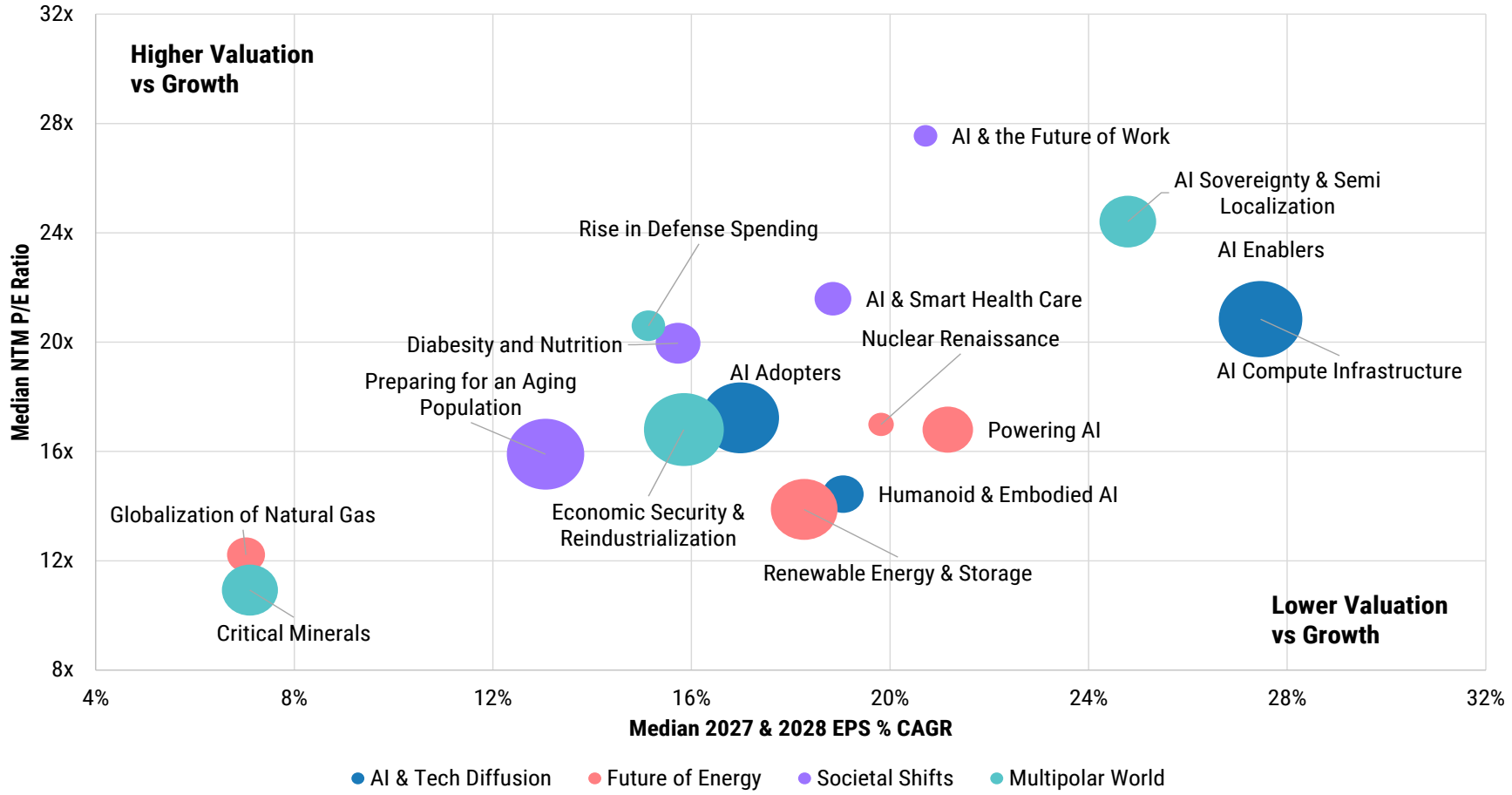
Source: FactSet, Morgan Stanley Research. Data as of Oct 5, 2026; Note includes companies with Core-to-thesis, Significant or Moderate materiality; Upstream AI & Tech Diffusion sub-themes are AI Enablers, AI Compute Infrastructure and Humanoids & Embodied AI.

APAC Thematic Exposure, by Market cap – Taiwan and Korea most thematically concentrated, with China/HK and Japan also offering broad exposure



Source: FactSet, Morgan Stanley Research. Data as of Oct 5, 2026; Includes Core-to-thesis, Significant and Moderate materiality

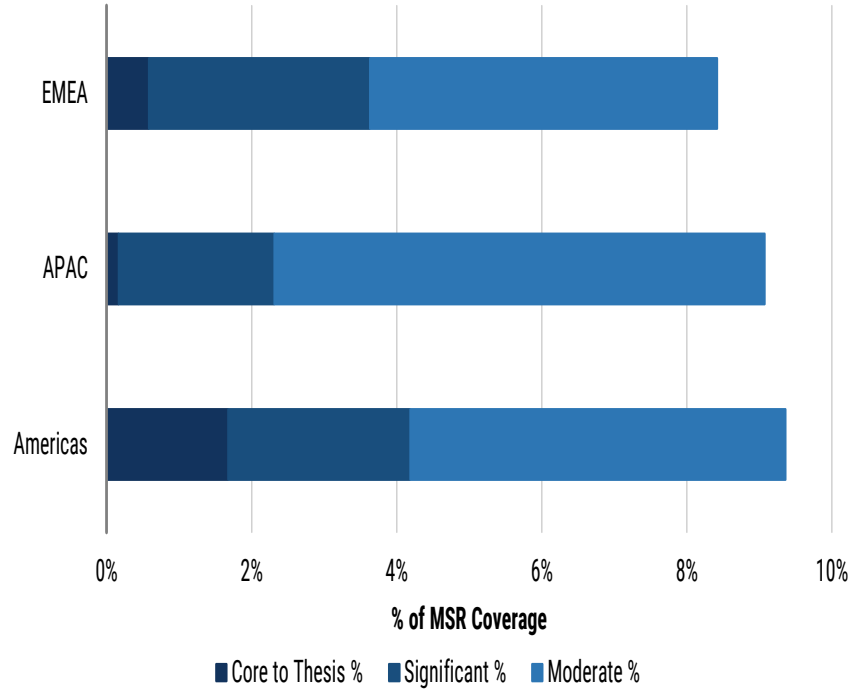
Thematic Forward P/E Ratio vs. Consensus EPS Growth (2027+28 CAGR) – Renewable Energy & Storage and AI & the Future of Work Offer Best Prospective Growth/Valuation Ratio



Source: FactSet, Morgan Stanley Research; Data as of Oct 5, 2026

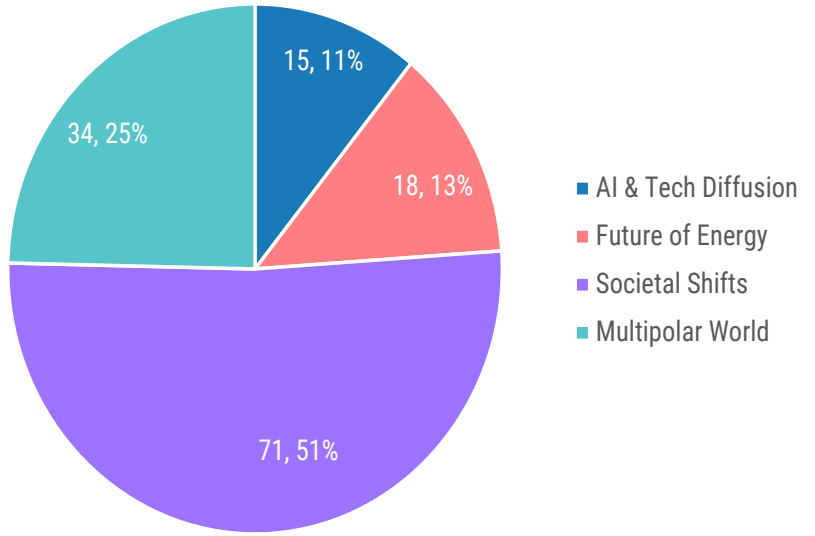
Most Challenged by AI and Thematic Disruption

AI Challenged companies, by region – Significant or Core-to-thesis disruption seen across 2-4% of our global coverage, with Moderate impacts running above 8%



Source: Morgan Stanley Research.

Global share of Disrupted/Deflationary companies, by Theme – Outside of AI challenges, we find the most headwinds from the Societal Shifts theme



Source: Morgan Stanley Research

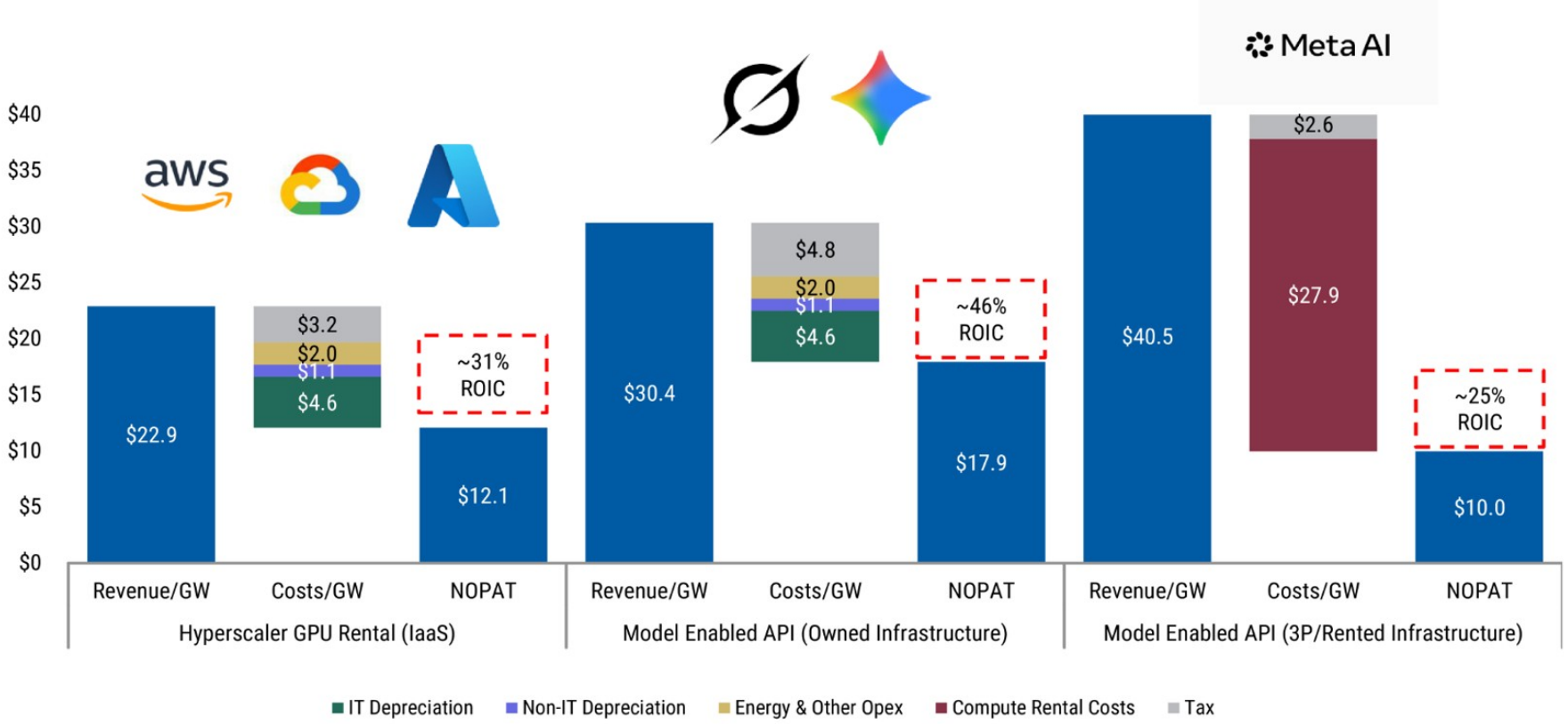
Ranking Morgan Stanley's APAC Sub-themes by Growth, Valuation and Reward/Risk

Asia-Pacific Sub-Themes (Core/Significant Materiality)	Rank	Growth 2yr CAGR		Revisions (FY2)			ROE	12m Forward Valuations				Target Prices			Technical
		Sales	EPS	Sales 3m % Δ	Net Inc 3m % Δ	ERB 3mma	2028	P/E	P/Sales	P/E 10y %ile	P/Sales 10y %ile	Upside to Base	Upside to Bull	Bull Bear Skew	13w/52w
China's AI Path	1	14.7%	21.5%	0.3%	0.2%	-3.3%	19.5%	15.6x	1.5x	1%	2%	37%	100%	4.0	2.3%
Powering AI	2	11.5%	21.2%	2.6%	4.2%	6.6%	18.6%	16.8x	2.3x	63%	90%	37%	89%	3.3	19.9%
AI Compute Infrastructure	3	18.4%	27.5%	6.9%	10.0%	13.5%	23.4%	20.8x	3.4x	90%	96%	23%	67%	1.9	29.4%
Humanoid & Embodied AI	4	13.3%	19.1%	-0.2%	-1.9%	-2.8%	15.9%	14.4x	1.2x	28%	18%	34%	88%	2.9	2.1%
AI Enablers	5	17.5%	25.7%	5.8%	7.2%	9.4%	21.1%	22.2x	2.7x	92%	94%	24%	68%	2.0	21.4%
AI Sovereignty & Semi Localization	6	16.7%	24.8%	6.7%	9.5%	7.6%	16.5%	24.4x	3.8x	95%	98%	25%	68%	2.3	20.4%
Renewable Energy & Storage	7	10.2%	18.3%	0.4%	-3.1%	-1.3%	13.7%	13.9x	1.5x	33%	73%	33%	79%	2.6	2.9%
Asian AI Adoption Leaders	8	9.0%	16.6%	-0.1%	-4.4%	7.7%	19.1%	18.7x	2.3x	13%	15%	31%	77%	2.3	1.4%
AI Adopters	9	10.1%	17.0%	2.4%	2.5%	2.6%	16.8%	17.2x	2.0x	17%	43%	20%	75%	2.3	-0.1%
Rise in Defense Spending	9	8.8%	15.1%	1.0%	2.1%	7.4%	17.2%	20.6x	2.0x	86%	89%	30%	76%	3.4	9.5%
Nuclear Renaissance	11	8.6%	19.8%	2.6%	5.5%	3.0%	14.9%	17.0x	2.3x	83%	97%	30%	100%	2.4	1.2%
Economic Security & Reindustrialization	11	8.6%	15.8%	3.3%	5.5%	6.1%	15.5%	16.8x	1.7x	81%	85%	21%	63%	2.2	14.0%
Korea Reform Renaissance	13	4.9%	10.7%	1.7%	4.2%	8.8%	10.2%	9.7x	1.1x	38%	97%	24%	55%	2.6	16.6%
Preparing for an Aging Population	14	8.2%	13.1%	-0.1%	0.5%	0.3%	13.8%	15.9x	1.7x	2%	1%	29%	72%	2.9	-4.6%
China's SOE Reform	15	4.4%	11.9%	-1.6%	-2.9%	-2.0%	12.2%	9.1x	1.1x	35%	86%	37%	87%	3.6	-2.4%
Asia Climate Adaption	16	7.0%	14.5%	-1.1%	-1.2%	-5.3%	13.7%	12.7x	1.2x	3%	89%	26%	78%	2.8	2.7%
AI & Smart Health Care	17	11.1%	18.8%	-1.0%	-0.1%	3.7%	13.9%	21.6x	2.9x	26%	66%	25%	77%	3.0	-7.6%
Diabesity and Nutrition	18	9.3%	15.7%	1.3%	1.5%	0.9%	15.8%	20.0x	3.0x	15%	89%	19%	64%	2.0	2.9%
Japan's Corporate Reform	19	4.3%	8.7%	1.9%	3.7%	11.6%	11.1%	13.3x	1.2x	28%	96%	10%	49%	1.8	9.9%
Globalization of Natural Gas	20	3.3%	7.0%	1.1%	2.2%	8.2%	9.7%	12.2x	0.9x	56%	78%	12%	53%	1.6	7.7%
Critical Minerals	20	3.5%	7.1%	0.4%	2.5%	-0.6%	14.0%	10.9x	1.3x	35%	73%	23%	56%	1.9	1.9%
AI & the Future of Work	22	11.1%	20.7%	0.2%	-0.6%	-6.9%	16.1%	27.6x	6.3x	15%	34%	18%	58%	2.3	-2.2%

Source: FactSet, Morgan Stanley Research. Note: Data as of Oct 5, 2026.

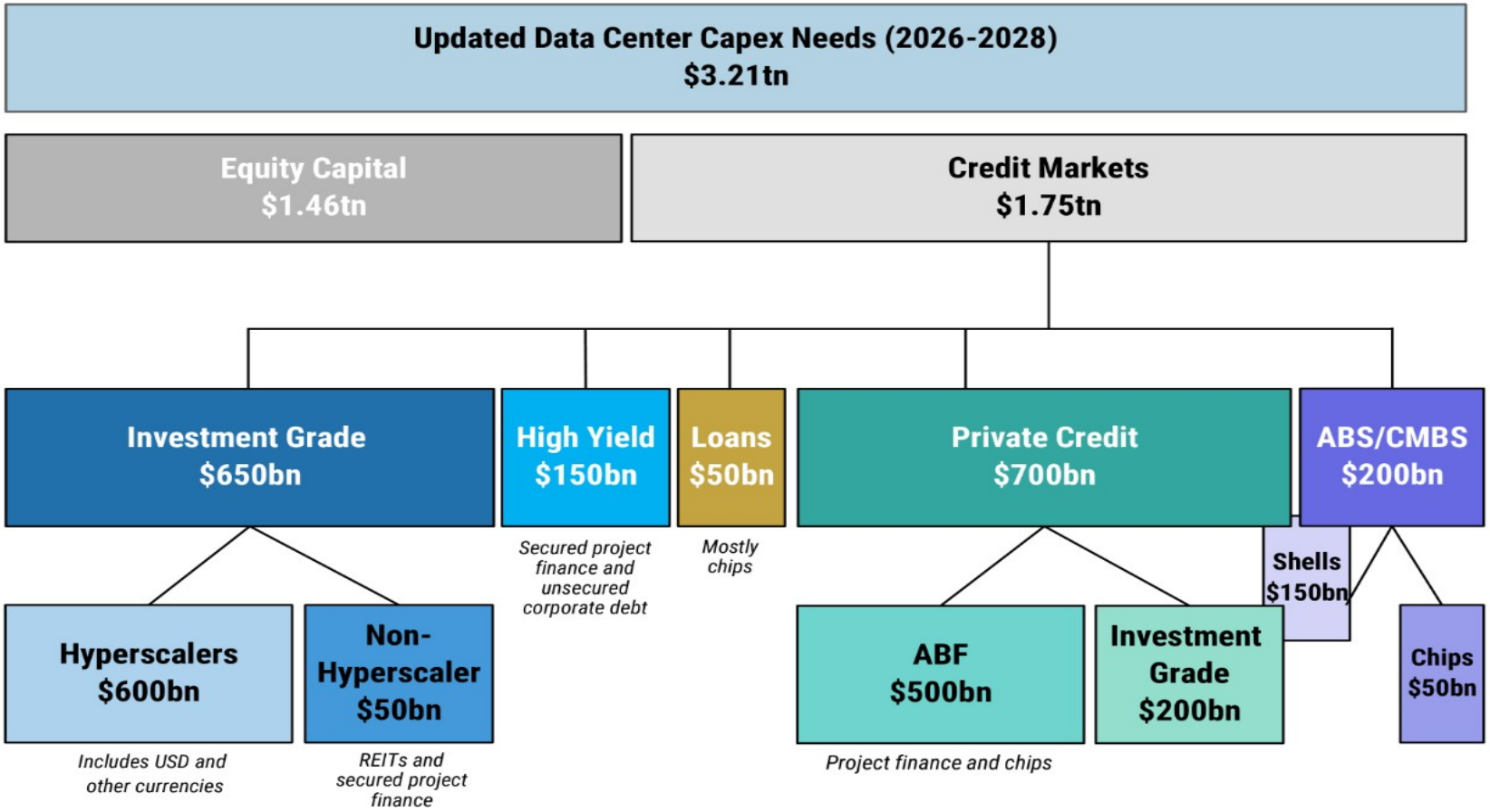
Three Frameworks Detailing GenAI ROIC of 25-50% for US AI ecosystem

Estimated ROIC across 3 different monetization vectors including: 1) Hyperscaler renting out GPU/compute capacity; 2) model builders serving their API through their own, internal infrastructure; and 3) model builders serving their API through 3P infrastructure



Source: Company data, Morgan Stanley Research estimates.

Financing AI Infrastructure Capex: Growing Role of Credit Markets



In ISD. Source: Morgan Stanley Research

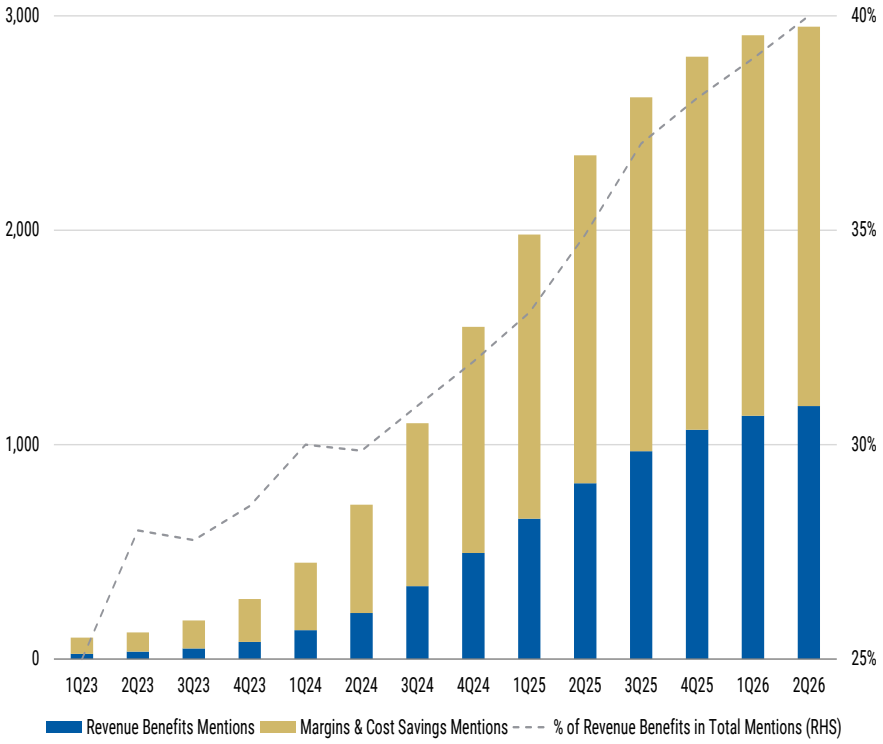
AI Closed Model vs. Open Weight – Stocks We Like Across Our "3 States of the World"

	Scenario 1 (Closed Models Win)	Scenario 2 (Hybrid)	Scenario 3 (Open Models Win)
	Small number of frontier labs win. Prefer names levered towards hyperscale data centers or custom chips for frontier labs.	*Many model architectures win and workloads run both on-prem/cloud. Prefer names exposed to multi-model workflows, orchestration, observability, and/or distributed workflows.*	*Open models proliferate, driving down token costs and driving faster enterprise adoption. More workloads are run on-prem or at the edge, benefitting hardware names.*
Biggest Beneficiaries	**Cloud Providers:** GOOGL, AMZN **Model Providers:** GOOGL, META **Security Software:** PANW, CRWD, ZS, NTSK, OKTA **Optical/Networking:** ANET, LITE, COHR **On-Site Power Providers:** BE, INIO, SEI, WMB, LBRT **Semis:** NVDA, AVGO	**Cloud Providers:** AMZN, GOOGL, MSFT **Infrastructure Software:** DDOG, PLTR, APPN **Security Software:** PANW, CRWD, FTNT, ZS, NTSK, OKTA, SAIL, VRNS **SaaS:** SAP, NOW **Optical/Networking:** CSCO, FFIV **On-Site Power Providers:** BE, INIO, SEI, WMB, LBRT **Semis:** NVDA	**Cloud Providers:** MSFT **Model Providers:** MiniMax, Knowledge Atlas, BABA, Tencent **Infrastructure Software:** PLTR **Security Software:** PANW, CRWD, FTNT, OKTA, SAIL **SaaS:** SAP, NOW, SHOP **On-Prem Infrastructure:** DELL, HPE, NTAP, P **Edge Devices:** DELL, HPQ, AAPL **VARs/Distributors:** SNX, INGM, CDW **On-Site Power Providers:** BE, INIO, SEI, WMB, LBRT **Semis:** NVDA
Other Beneficiaries	**Cloud Providers:** MSFT **Colocation Data Centers:** DLR **Neoclouds:** CRVW, NBIS **Security Software:** SAIL	**Model Providers:** MiniMax, Knowledge Atlas, BABA, Tencent **Colocation Data Centers:** EQIX, DLR **Neoclouds:** CRVW, NBIS **SaaS:** SHOP, WDAY, CRM, INTU **On-Prem Infrastructure:** DELL, HPE, NTAP, P **Edge Devices:** DELL, HPQ, AAPL **VARs/Distributors:** SNX, INGM, CDW	**Cloud Providers:** AMZN, GOOGL **Colocation Data Centers:** EQIX **Neoclouds:** CRVW, NBIS **SaaS:** WDAY, CRM, INTU

For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures. Source: Morgan Stanley Research

Asia/EM AI Adoption Leaders

Transcript Mentions of Quantifiable AI Benefits in Asia/EM: Revenue vs. Margin & Cost Savings — margin benefits still dominate, but the revenue contribution is broadening



Source: AlphaSense, Morgan Stanley Research

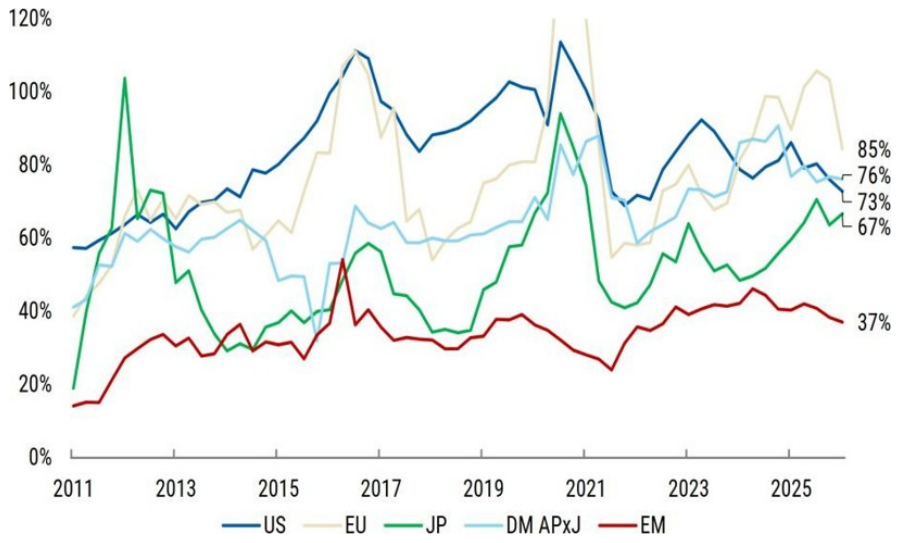
We shortlist 22 companies ahead of peers in AI adoption and well positioned to monetize AI, and update our list of Asia/EM AI Adoption Leaders

Ticker	Materiality	Company Name	Market	MS Analyst	Category
0700.HK	Core To Thesis	Tencent Holdings Ltd.	China	Yu, Gary	Media & Entertainment
DBSM.SI	Significant	DBS Group Holdings	Singapore	Lord, Nick	Banks
6501.T	Significant	Hitachi	Japan	Yoshikawa, Kazuo	Capital Goods
9983.T	Moderate	Fast Retailing	Japan	Koba, Hiroshi	Consumer Discretionary Distribution & Retail
6758.T	Moderate	Sony Group	Japan	Yoshikawa, Kazuo	Consumer Durables & Apparel
6098.T	Significant	Recruit Holdings	Japan	Tsusaka, Tetsuro	Commercial & Professional Services
1299.HK	Moderate	AIA Group Ltd	Hong Kong	Xu, Richard	Insurance
MELI.O	Significant	Mercadolibre Inc.	Argentina	Ruben, Andrew	Consumer Discretionary Distribution & Retail
1810.HK	Significant	Xiaomi Corp	China	Meng, Andy	Technology Hardware & Equipment
SE.N	Moderate	Sea Ltd	Singapore	Gangahar Kothiyal, Divya	Consumer Discretionary Distribution & Retail
NU.N	Core To Thesis	Nu Holdings Ltd.	Brazil	Kuri, Jorge	Banks
BJFN.NS	Significant	Bajaj Finance Limited	India	Iyer, Subramanian	Financial Services
2888.HK	Significant	Standard Chartered	Hong Kong	Lord, Nick	Banks
6702.T	Significant	Fujitsu	Japan	Tsusaka, Tetsuro	Software & Services
6701.T	Significant	NEC	Japan	Tsusaka, Tetsuro	Software & Services
4689.T	Moderate	LY Corporation	Japan	Tsusaka, Tetsuro	Media & Entertainment
BEKE.N	Significant	KE Holdings Inc	China	Wang, Eddy	Real Estate Management & Development
REA.AX	Significant	REA Group Limited	Australia	McLeod, Andrew	Media & Entertainment
DSYJ.J	Significant	Discovery Limited	South Africa	Bam, Warwick	Insurance
2359.HK	Moderate	WuXi AppTec Co Ltd	China	Tam, Laurence	Pharmaceuticals, Biotechnology & Life Sciences
0300.HK	Significant	Midea Group Co Ltd.	China	Lou, Lillian	Consumer Durables & Apparel
5838.T	Significant	Rakuten Bank	Japan	Nagasaka, Mia	Banks

Source: FactSet, Morgan Stanley Research.

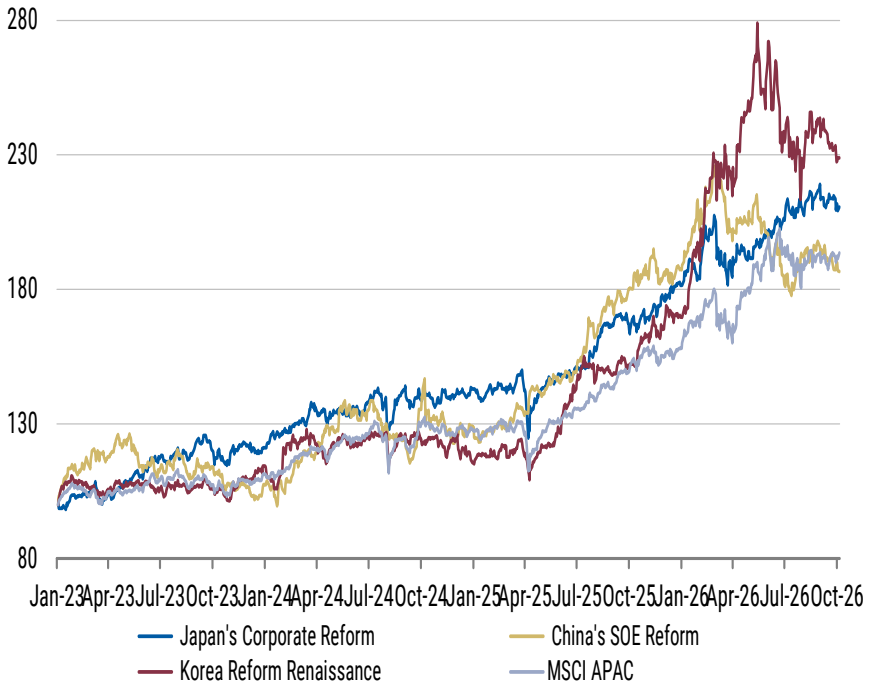
Asia's Competitive Reinvention and Reform Beneficiaries

Total payout ratio trends (dividends + net buybacks) – Japan has more than doubled since Abenomics; EM continues to lag at 37% given high investment



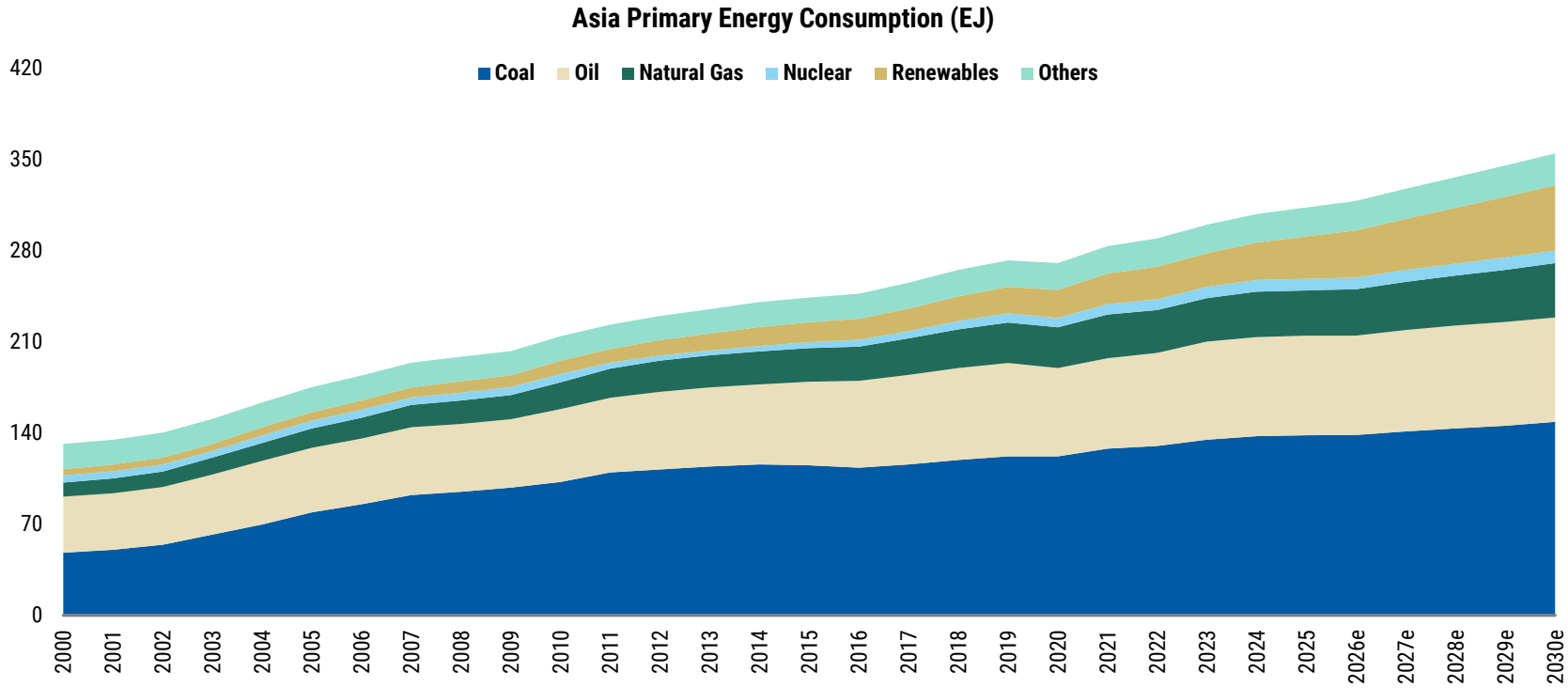
Source: Bloomberg, Morgan Stanley Research.

Corporate reform opportunities have been outperforming across Asia, even in a strong market



Source: FactSet, Morgan Stanley Research; Data as of Oct 5, 2026.

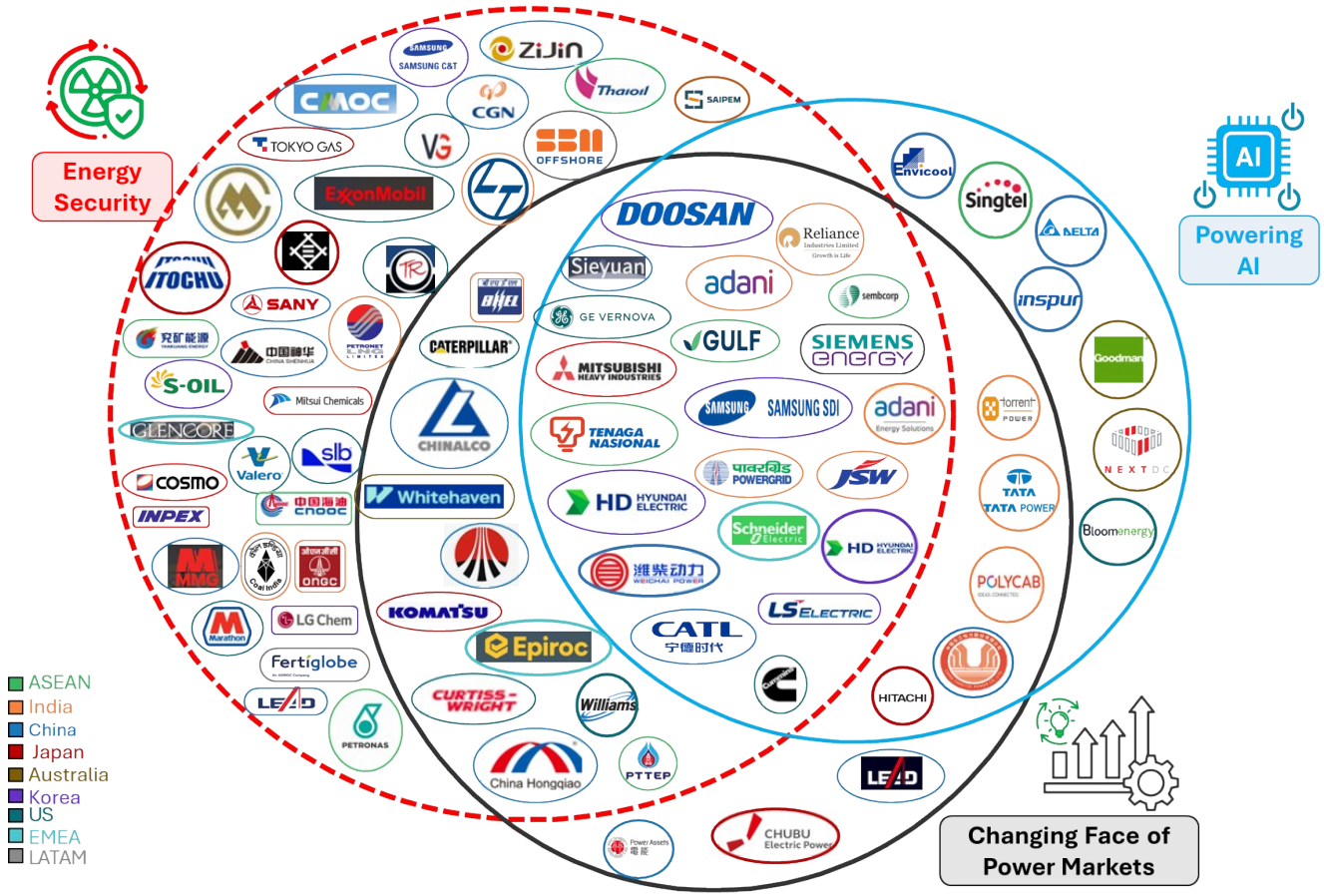
Asia's Energy Consumption: Steady Growth with AI and Industrial Demand Tailwinds



Asia's primary energy consumption CAGR of 2.7% through 2030 with AI's power usage becoming 5% of the energy mix.

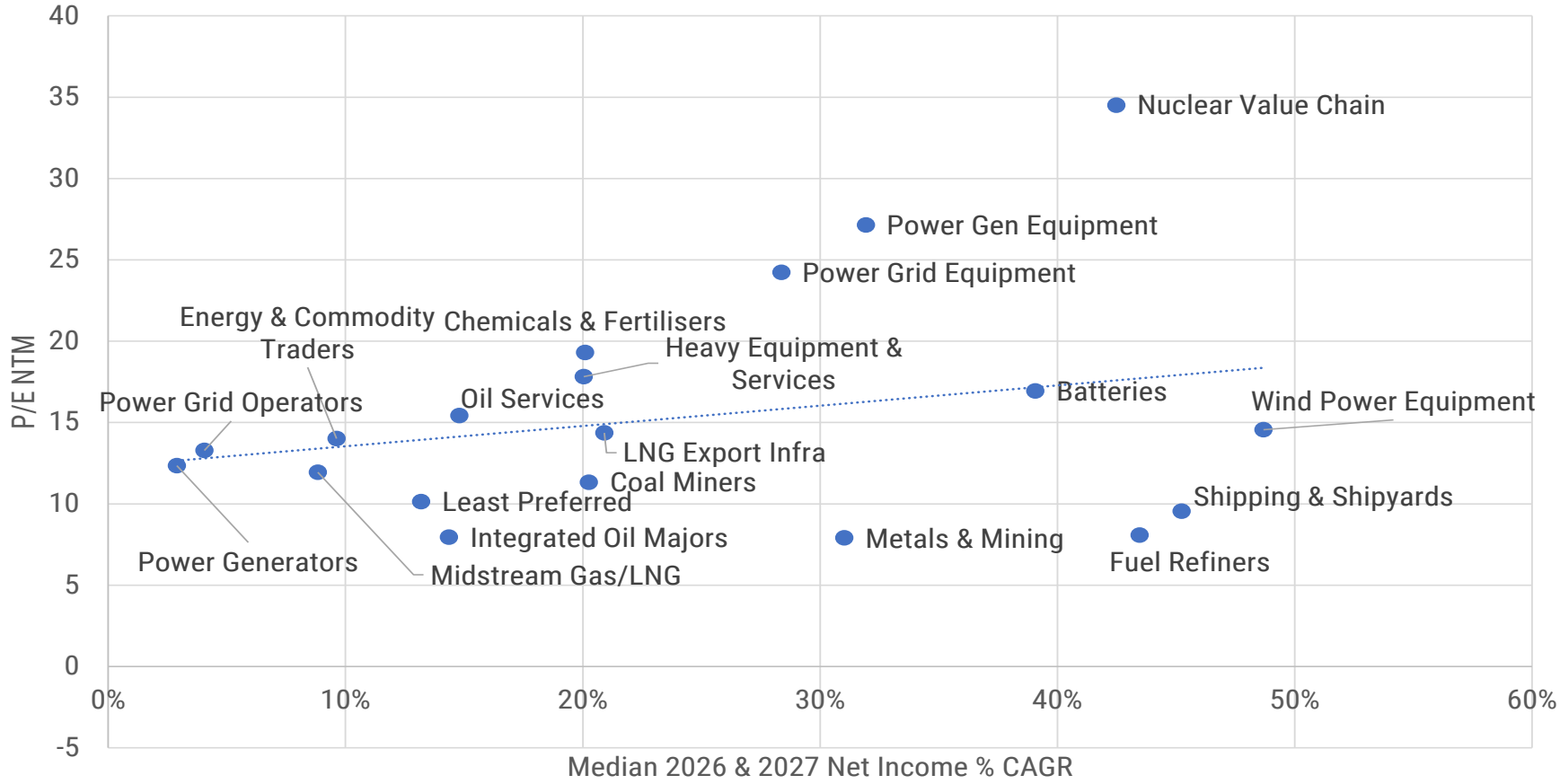
Source: Statistical Review of World Energy, Morgan Stanley Research estimates.

Buy “Dependable” Energy Supply Chain



Source: Morgan Stanley Research.

APAC Energy Security N12M P/E Ratio vs Net Income Growth – Attractive Valuations for Metals & Mining, Shipping/Shipyards, Coal Miners, Fuel Refiners & Oil Majors



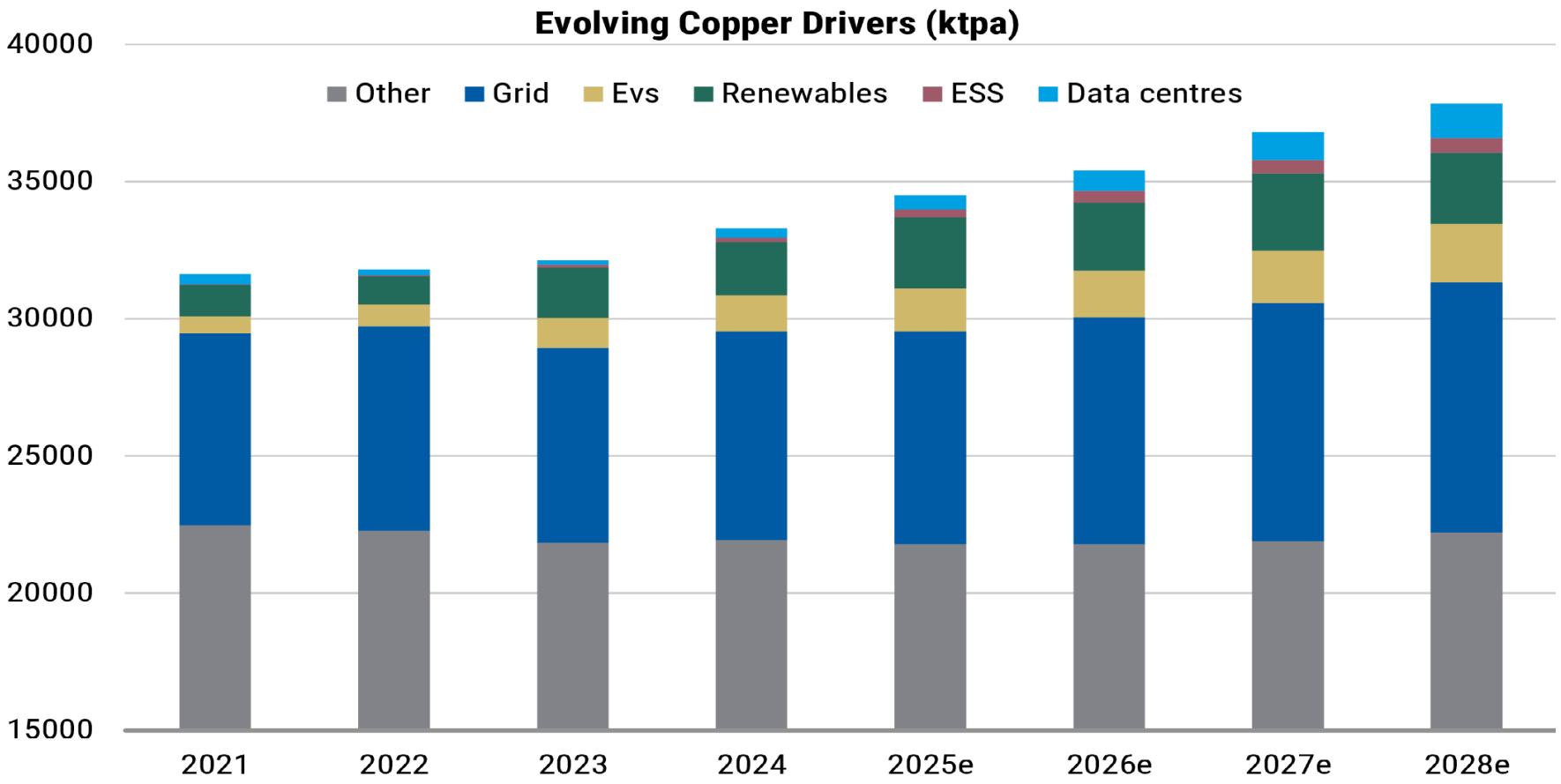
Source: FactSet, Morgan Stanley Research. Data as of Oct 6, 2026

El Niño Stock Implications

Ticker	Company Name	Analyst	Sector	Market	Stock Rating	Last Price	Price Target	Potential Impact from El Nino
Potential Beneficiaries								
EXID.NS	Exide Industries	Singh, Binay	Consumer Discretionar	India	OW	405.75	391.00	Hotter weather could drive demand for home power back up solutions
WHC.AX	Whitehaven Coal Ltd	Anand, Rahul	Energy	Australia	OW	7.64	8.45	Relevant Product / Service & Resilience Function
STO.AX	Santos	Koh, Rob	Energy	Australia	OW	8.56 AUD	8.30 AUD	Lower cyclone risk can be a positive for northern regions
QAN.AX	Qantas Airways Ltd	Michael, Joseph	Industrials	Australia	OW	8.99	12.80	The tourism headwind can sometimes be offset by higher international tourism
REH.AX	Reece Ltd	Michael, Joseph	Industrials	Australia	OW	16.84	19.20	Lower rainfall can support building activity
600900.SS	China Yangtze Power Co.	Hou, Eva	Utilities	China	OW	28.54	34.98	The El Nino event might increase the possibility of strong water inflow in 2027, which could be good for Yangtze's power generation
WDS.AX	Woodside Energy Group Ltd	Koh, Rob	Energy	Australia	EW	31.24 AUD	30.00 AUD	Lower cyclone risk can be a positive for northern regions
TCL.AX	Transurban Group	Koh, Rob	Industrials	Australia	EW	13.04	13.88	Lower rainfall in populated areas can be a tailwind for motoring
UPLL.NS	UPL Ltd	Rajamani, Vivek	Materials	India	EW	509.55	658.00	Difficult conditions elevate pest and disease pressure, increasing demand for climate-resilience technologies and pest-control solutions
BJEL.NS	Bajaj Electricals Ltd.	Achhipalia, Girish	Consumer Discretionar	India	UW	300.25	335.00	Hotter, drier conditions ahead are expected to intensify demand for fans and cooling appliances
AZJ.AX	Aurizon Holdings	Koh, Rob	Industrials	Australia	UW	3.71	3.51	Lower Queensland rainfall can be positive for coal mining and logistics
FBU.NZ	Fletcher Building Limited	Michael, Joseph	Industrials	Australia	UW	3.39	3.10	Lower rainfall can support building activity
AGL.AX	AGL Energy Ltd	Koh, Rob	Utilities	Australia	UW	8.32	8.28	We see the FY27 El Nino as a positive for AGL (-ve for gas +ve for elec)
ORG.AX	Origin Energy Ltd.	Koh, Rob	Utilities	Australia	UW	11.01	10.33	We see the FY27 El Nino as a positive for ORG (-ve for gas +ve for elec)
Potential Names at Risk								
EVT.AX	EVT Ltd	Sutcliffe, Angela	Communication Servic	Australia	OW	14.00	16.50	Coral bleaching and lower snowfall are localized tourism headwinds, though we note that this represents only ~5-7% of Group EBITDA on our estimate
PFP.AX	Propel Funeral Partners Ltd	Bales, James	Consumer Discretionar	Australia	OW	2.72	4.45	Temperature extremes are associated with excess morbidity
MAHM.NS	Mahindra & Mahindra	Singh, Binay	Consumer Discretionar	India	OW	2,855.00	4,370.00	The relationship between rainfall and tractor sales has weakened over time but it remains a risk to tractor demand
A2M.AX	A2 Milk Company Ltd	de Sterke, Julia	Consumer Staples	Australia	OW	6.46 AUD	8.50 AUD	Dairy volumes exposed to below-trend rainfall and pasture conditions
BGA.AX	Bega Cheese Ltd	de Sterke, Julia	Consumer Staples	Australia	OW	6.35	7.10	Dairy exposed to below-trend rainfall and milk supply
TWE.AX	Treasury Wine Estates LTD	Baxter, Melinda	Consumer Staples	Australia	EW	5.57	5.80	Wine grape yields and quality exposed to below-trend rainfall
BPT.AX	Beach Energy Ltd	Koh, Rob	Energy	Australia	EW	0.84	0.87	El Niño is negative for domestic gas usage
MYNLD.PS	Maynilad Water Services, Inc.	Maheshwari, Mayan	Utilities	Philippines	EW	15.90	21.00	Tail risks are rising of a calibrated recovery of costs and upfronting of capex to reduce water leakages
APA.AX	APA Group	Koh, Rob	Utilities	Australia	EW	10.61	10.46	El Niño is negative for gas usage and hence pipelines
MMFS.NS	Mahindra and Mahindra Financial Servi	Iyer, Subramanian	Financials	India	EW	327.75	395.00	MMFS has significant lending exposure to rural customers (via tractors, utility vehicles, car finance) which could be negatively impacted by El-Nino led monsoon disruptions Historically, we have seen loan growth and asset quality get impacted materially in periods of deficient rainfall
0916.HK	China Longyuan Power Group	Hou, Eva	Utilities	China	EW	5.30 HKD	6.00 HKD	Lower wind speed means wind power generation will be negatively affected
LTFL.NS	L&T Finance Ltd	Parikh, Kushan	Financials	India	UW	264.40	210.00	LTFL has significant lending exposure to rural customers (via tractor finance, microfinance and to some extent two-wheeler finance) which could be negatively impacted by El-Nino led monsoon disruptions
Direction Uncertain / Limited Impact								
8766.T	Tokio Marine Holdings	Takemura, Atsuro	Financials	Japan	OW	522.30	605.00	Domestic claims could rise due to typhoons Overseas, the Americas account for about 80% of premiums, which could benefit from lower hurricane losses
8630.T	Sompo Holdings	Takemura, Atsuro	Financials	Japan	OW	6,652.00	8,460.00	Domestic claims could rise due to typhoons. Overseas, the Americas account for just over 40% of premiums and could benefit from lower hurricane losses, while reinsurance, which accounts for nearly 30%, may face pricing pressure.
000810.KS	Samsung Fire & Marine	Choi, Heewon	Financials	S. Korea	OW	635,000.00	740,000.00	El Niño is unlikely to be a material earnings or share-price driver given long-term insurance-led profit mix and limited contribution from auto and general P&C, although unusually severe floods or typhoons could temporarily increase claims volatility and reduce earnings visibility.
005830.KS	DB Insurance Co Ltd	Choi, Heewon	Financials	S. Korea	OW	182,900.00	212,000.00	El Niño is unlikely to be a material earnings or share-price driver, although unusually severe floods or typhoons could temporarily increase claims volatility and reduce earnings visibility. DBI could have higher exposure to P&C lines given recentl acquisition of US-based insurer Fortegra, but it's still early to determine earnings impact.
2328.HK	PICC P&C Company Ltd	Zhao, Rick	Financials	China	OW	16.02 HKD	21.60 HKD	El Nino could potentially bring more cat losses in China. However, insurers are taking effective actions to better prepare for increased natural disasters through active risk mitigation management and we believe PICC P&C can maintain healthy CoR amid El Nino.
8725.T	MS&AD Insurance Group Holdings	Takemura, Atsuro	Financials	Japan	UW	4,883.00	4,990.00	Domestic claims could rise due to typhoons. Overseas, the Americas account for just under 30% of premiums and could benefit from lower hurricane losses, while reinsurance, which accounts for nearly 40%, may face pricing pressure.

Prices are as of the close, Oct 5, 2026. Source: Morgan Stanley Research

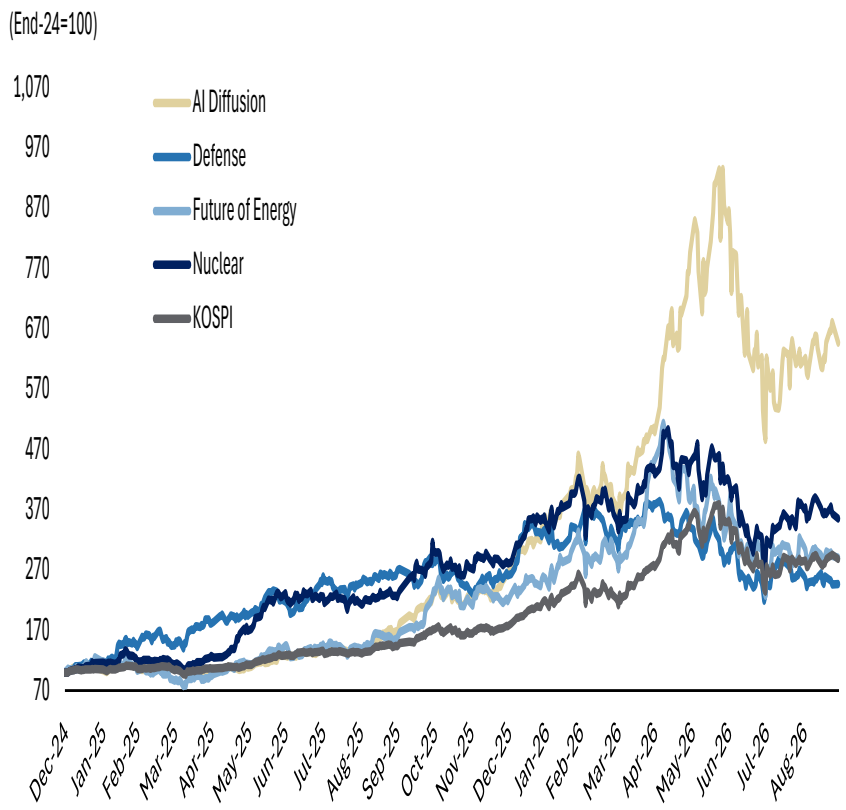
Copper Demand Growth Coming From New Drivers vs. Stabilisation in More Traditional Sectors



Source: Wood Mackenzie, Morgan Stanley Research estimates (e). Moran Stanley Research, Copper: Stockpiling, Supply and Substitution (February 6,2026)

Korea – Opportunities to Play Multiple Super-cycles

Share Price Performance for Super-Cycle Stocks Sub-sectors



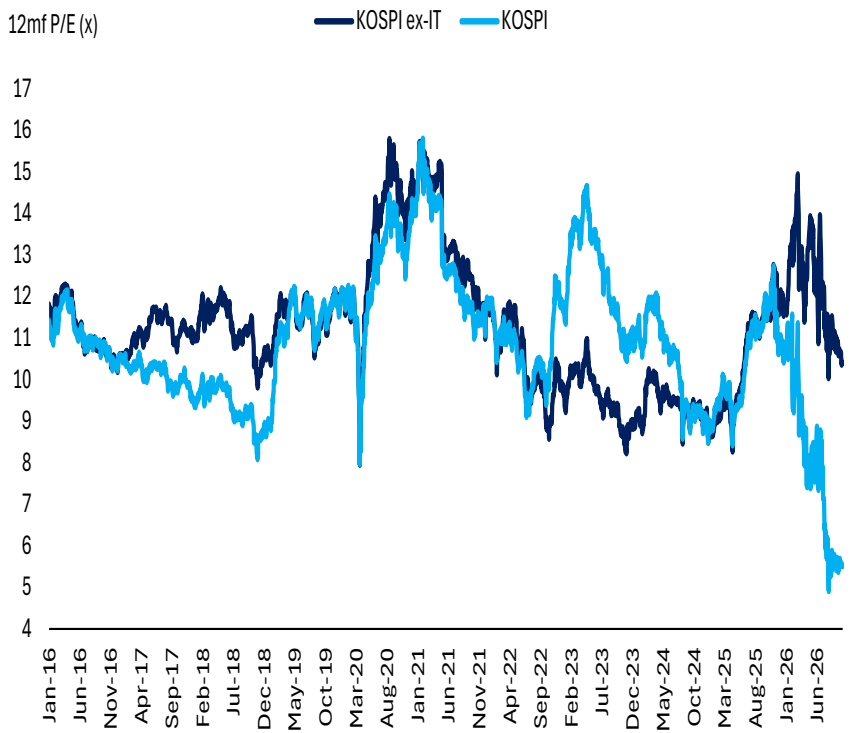
S. Korea: Super-cycle Stocks

	Company Name	Ticker	Rating	TP	Close	Mkt. Cap (Wtn)
	KOSPI				6,890	5,496.3
AI Tech Diffusion	Samsung Electronics	005930.KS	Overweight	381,000	270,000	1,578.5
	SK Hynix	000660.KS	Overweight	2,600,000	1,768,000	1,291.5
	Samsung Electro-Mechanics	009150.KS	Overweight	2,620,000	1,499,000	112.0
	Leeno Industrial Inc.	058470.KQ	Overweight	77,000	71,200	5.4
	Hanmi Semiconductor	042700.KS	Equal-Weight	230,000	234,500	22.4
	FADU	440110.KQ	Overweight	150,000	80,900	4.1
	Wonik IPS	240810.KQ	Overweight	160,000	123,200	6.0
	Isupetasys	007660.KS	Overweight	140,000	112,300	8.2
Defense	Hanwha Aerospace	012450.KS	Overweight	1,400,000	1,034,000	53.3
	LIG Defense&Aerospace	079550.KS	Overweight	850,000	693,000	15.2
	Korea Aerospace Industries	047810.KS	Equal-Weight	165,000	129,600	12.6
	Hyundai Rotem	064350.KS	Not Covered		115,700	12.6
	Poongsan	103140.KS			77,900	2.2
	HANWHA SYSTEMS	272210.KS			72,400	13.7
	Hanwha Ocean	042660.KS			80,000	24.5
	HD HYUNDAI HEAVY INDUSTRIES	329180.KS			442,000	46.4
Future of Energy	Sung Kwang Bend	014620.KQ	Overweight	37,000	31,150	0.8
	T.K.	023160.KQ	Equal-Weight	26,000	27,650	0.7
	LS ELECTRIC	010120.KS	Overweight	270,000	204,500	30.7
	HD HYUNDAI ELECTRIC	267260.KS	Overweight	1,500,000	693,000	25.0
Nuclear	Doosan Enerbility	034020.KS	Overweight	120,000	82,000	52.5
	Samsung C&T Corporation	028260.KS	Overweight	400,000	345,500	56.0
	Hyundai Eng. & Constr.	000720.KS	Not Covered		124,600	13.9

Past performance is no guarantee of future results. Results shown do not include transaction costs. For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures. Source: WiseFN, Morgan Stanley Research. Data as of Sep 28, 2026

Korea 12mf P/E Valuations – KOSPI at 5.5x, While KOSPI ex-IT Is Trading at 10.4x, Having De-rated by 30% from the Recent Peak of 14.8x

12mf P/E Valuations – KOSPI vs. KOSPI ex-IT



Source: WiseFN, Morgan Stanley Korea Equity Strategy Research. Data as of Oct 6, 2026

12mf 3mma ERB of MSCI Korea and MSCI EM – revision breadth has been on an upward trend since 2025 and the trend continues in July, while EM remains choppy



Source: FactSet, IBES consensus, Morgan Stanley Research. Data as of September 2026

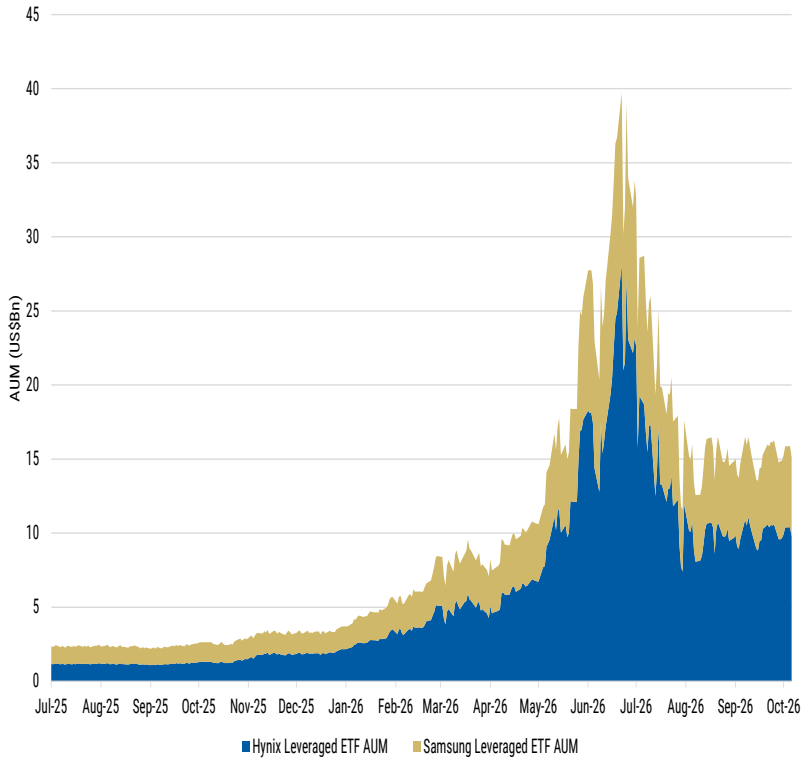
Korea Exposure in Global Hedge Funds and Leveraged ETFs Is Down, But Not Out

Sharp decline in Korea HF exposure but still elevated - Gross stands at 2.8% (peak 3.8%); net to 5.5% (peak of 8.8%)



Source: Morgan Stanley Prime Brokerage; Data as of Oct 2, 2026

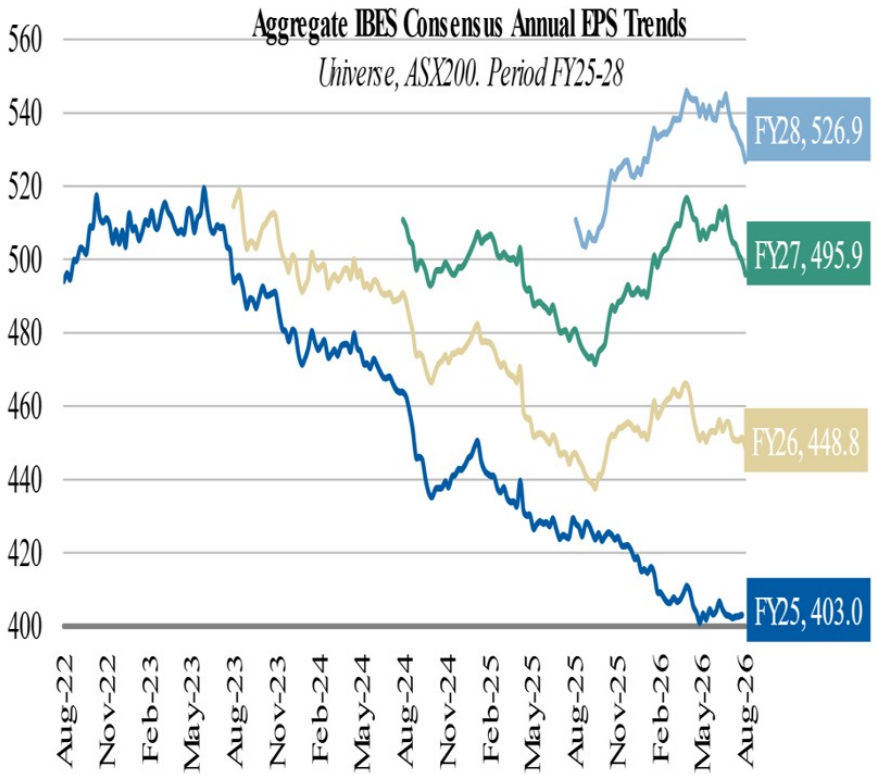
Leveraged ETFs were also a key factor, but AUM has fallen meaningfully



Source: Bloomberg, MS QDS Asia, Data as of Oct 6, 2026.

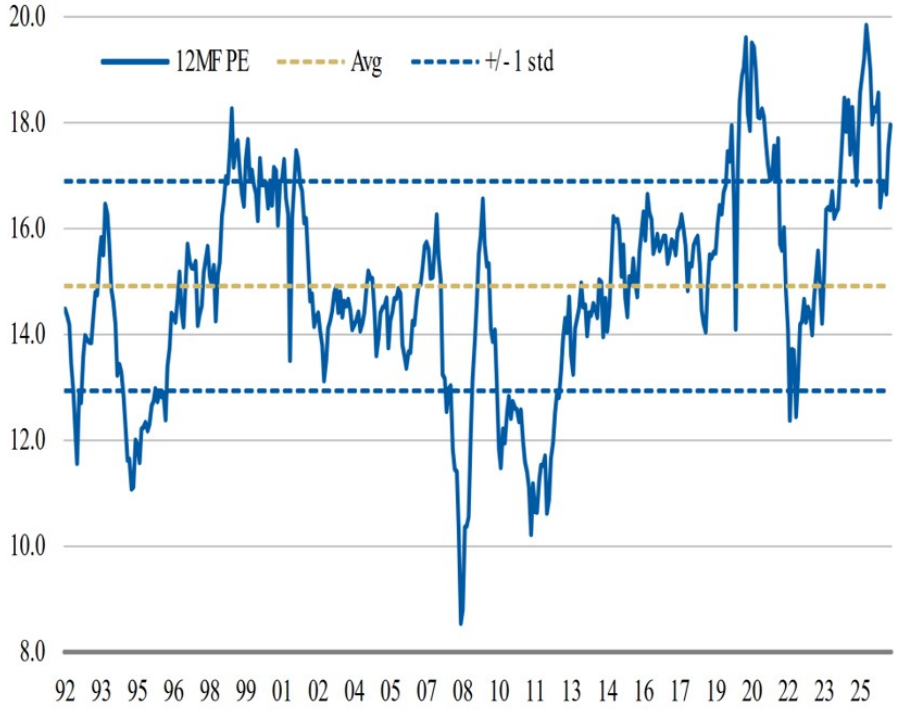
Australia – Cautious as Investment Case Shifts

Aggregate consensus EPS trends



Source: FactSet, IBES, Morgan Stanley Research.

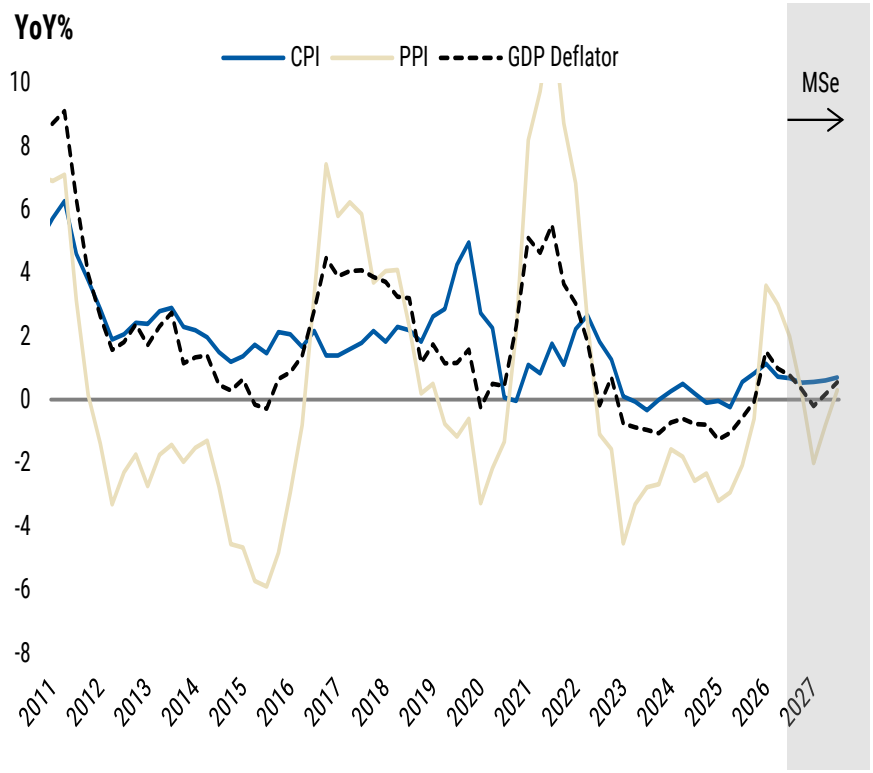
ASX200 12MF P/E now at 18x, above the long-term average of 14.9x



Source: FactSet, IBES, Morgan Stanley Research.

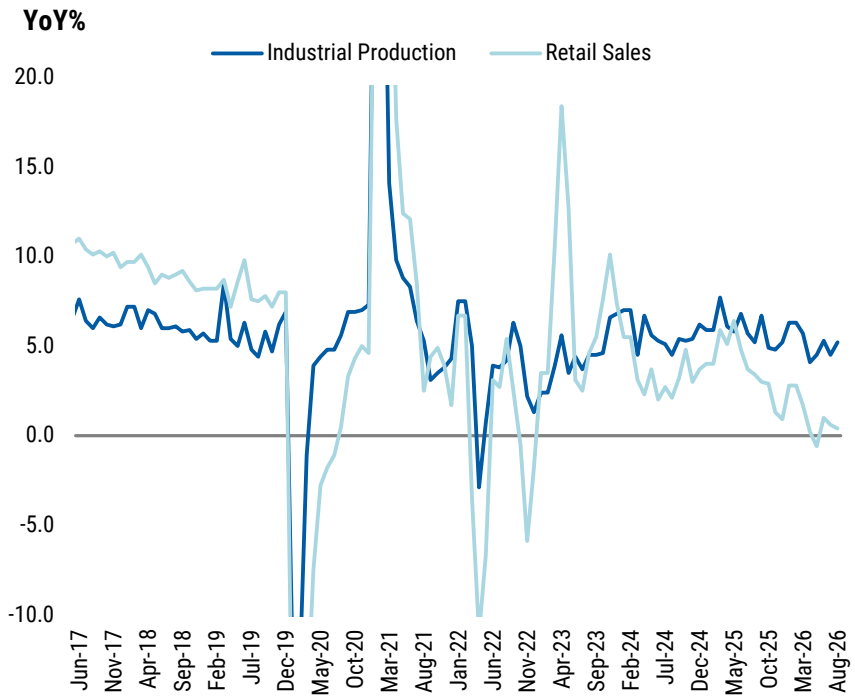
China – Imported Inflation, Not Sustained Reflation

GDP deflator turned positive given imported inflation, but not out of the woods



Source: CEIC, Morgan Stanley Research.

China's reflation journey remains choppy



Source: CEIC, Morgan Stanley Research. Data as of September 2026.

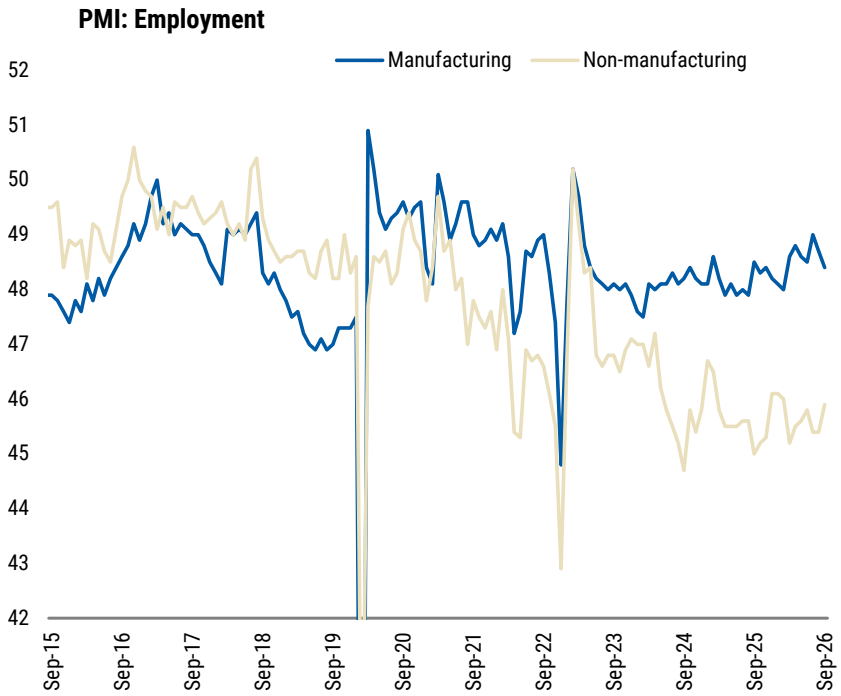
China's "5R" Reflation Strategy

Progress by End-2025	Policy Measures	Best Scenario
Reflation (20-25%)	• 0.6ppt of GDP **widening in the augmented fiscal deficit** in 2025 • PBoC cut policy rate by 10bp and RRR by 50bp in 2025.	• A consumption-focused Rmb10trn fiscal package over the next two years. • More meaningful monetary easing measures to lower elevated real interest rates.
Rebalancing (25-30%)	• **Consumption support**: consumer goods trade-in; wage hike for civil servants. • **Social welfare**: national fertility subsidies; free pre-school education. • **Anti-involution**: current measures mainly center around capacity consolidation and verbal guidance.	• Meaningful rise in social welfare spending to unleash elevated household savings for consumption. • Launch of "Structural Reform 2.0" to reform supply-centric incentives and curb inefficient manufacturing capacity.
Restructuring (60-80%)	• A five-year Rmb10trn **local government debt swap program.** • Wider government bond usage for **land and housing inventory buyback.** • Rmb300bn in PBoC relending for **converting housing inventory to social housing.** • **Nationwide mortgage subsidy.**	• Rmb3-4trn central government/quasi-fiscal funding to help digest housing inventory. • A comprehensive LGFV debt resolution plan to evenly share the burden among central government, local governments, PBoC and banks.
Reform (25%)	• Start of equity market reforms with "**Nine-Point Guideline"** to promote investment returns.	• SOE reforms to improve public sector productivity. • Fiscal and tax reforms revamp local government incentives and improve the efficiency of resource allocation.
Rekindle (60-70%)	• President Xi held a **symposium with private firms**, with **Jack Ma included.** • New **swap and relending facilities** to support stock market.	• Clearer signals to end the regulatory reset since 2021. • More efforts to invigorate the capital markets. • Further service sector opening up.

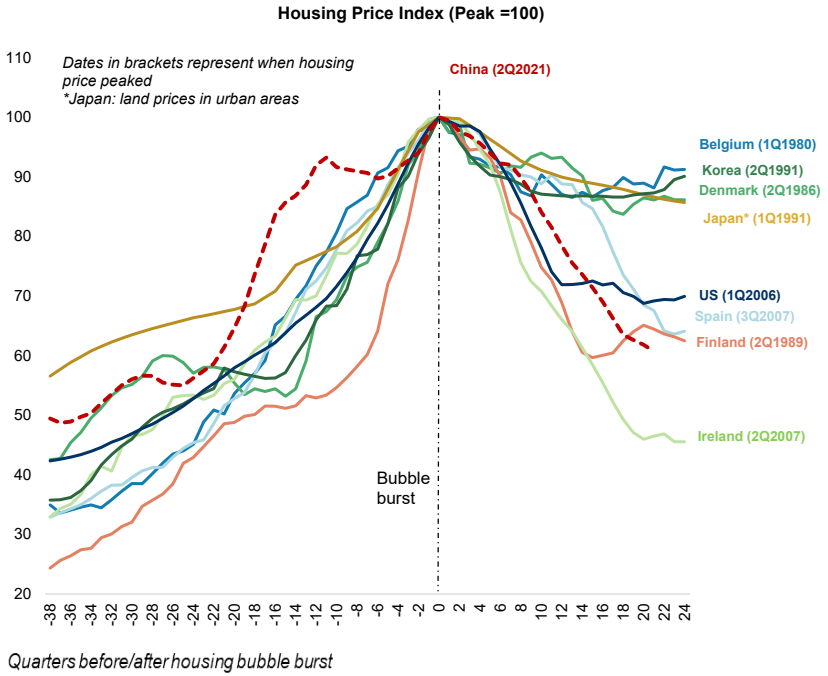
Source: Government websites, Morgan Stanley Research.

China — Housing and Consumption Weakness Remain the Key Constraints

Labor market slack is the key binding constraint



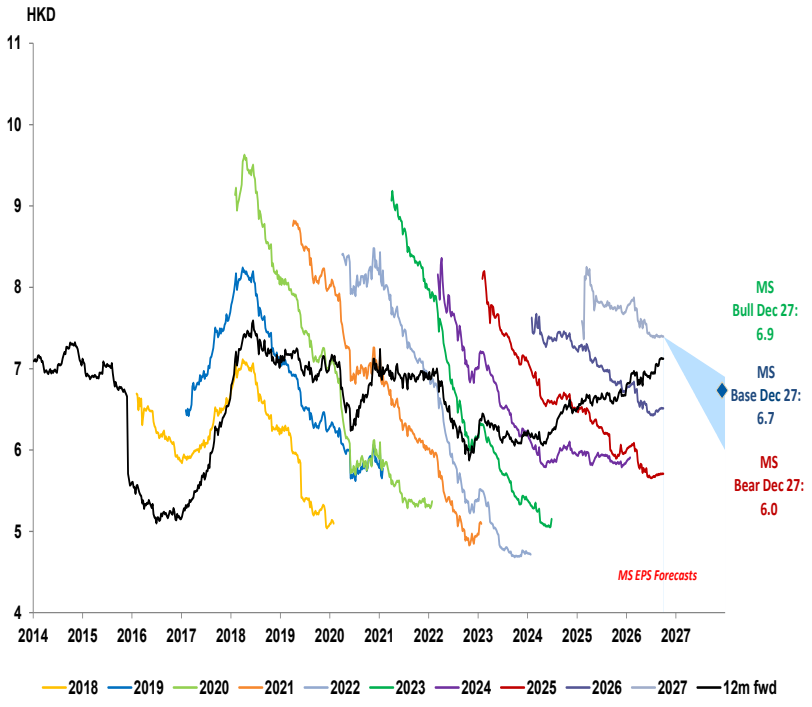
Broad housing prices still face headwinds



Source: BIS, Centaline Property, Haver, Morgan Stanley Research. Data as of September 2026

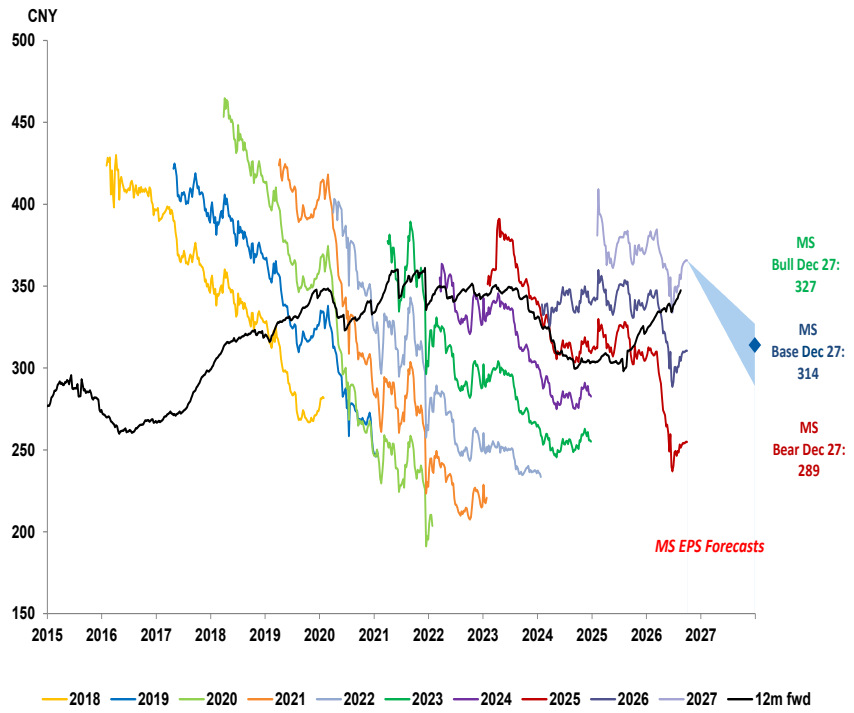
Consensus Earnings Estimates for MSCI China and CSI300 – We Expect Further Downward Revisions for 2026 EPS But at a Decelerating Pace

MS EPS base-case forecasts for MSCI China at Dec-26 and Dec-27



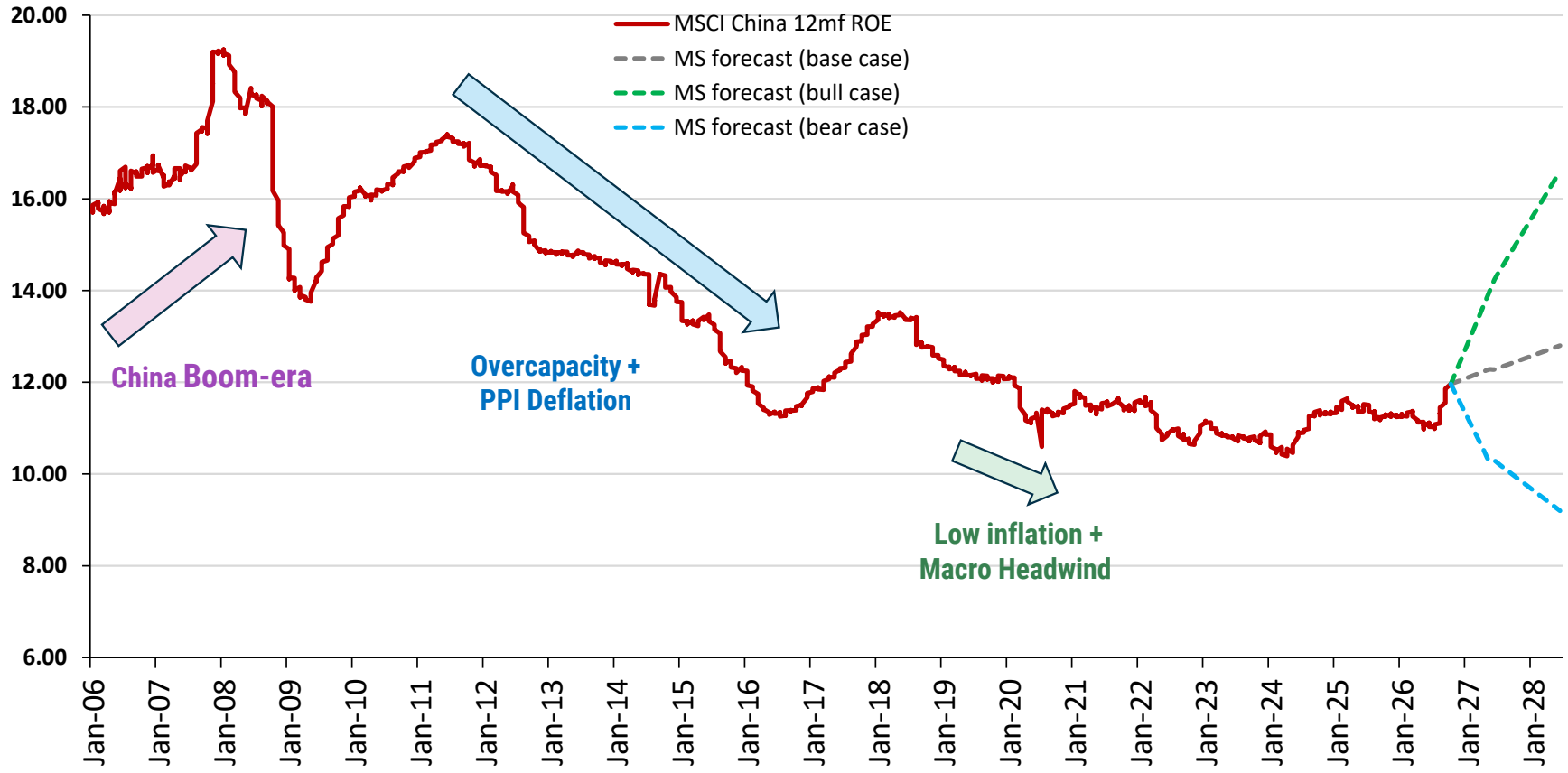
Source: IBES, Datastream, Morgan Stanley Research. Note: Weekly data as of Oct 1, 2026.

MS EPS base-case forecasts for CSI 300 at Dec-26 and Dec-27



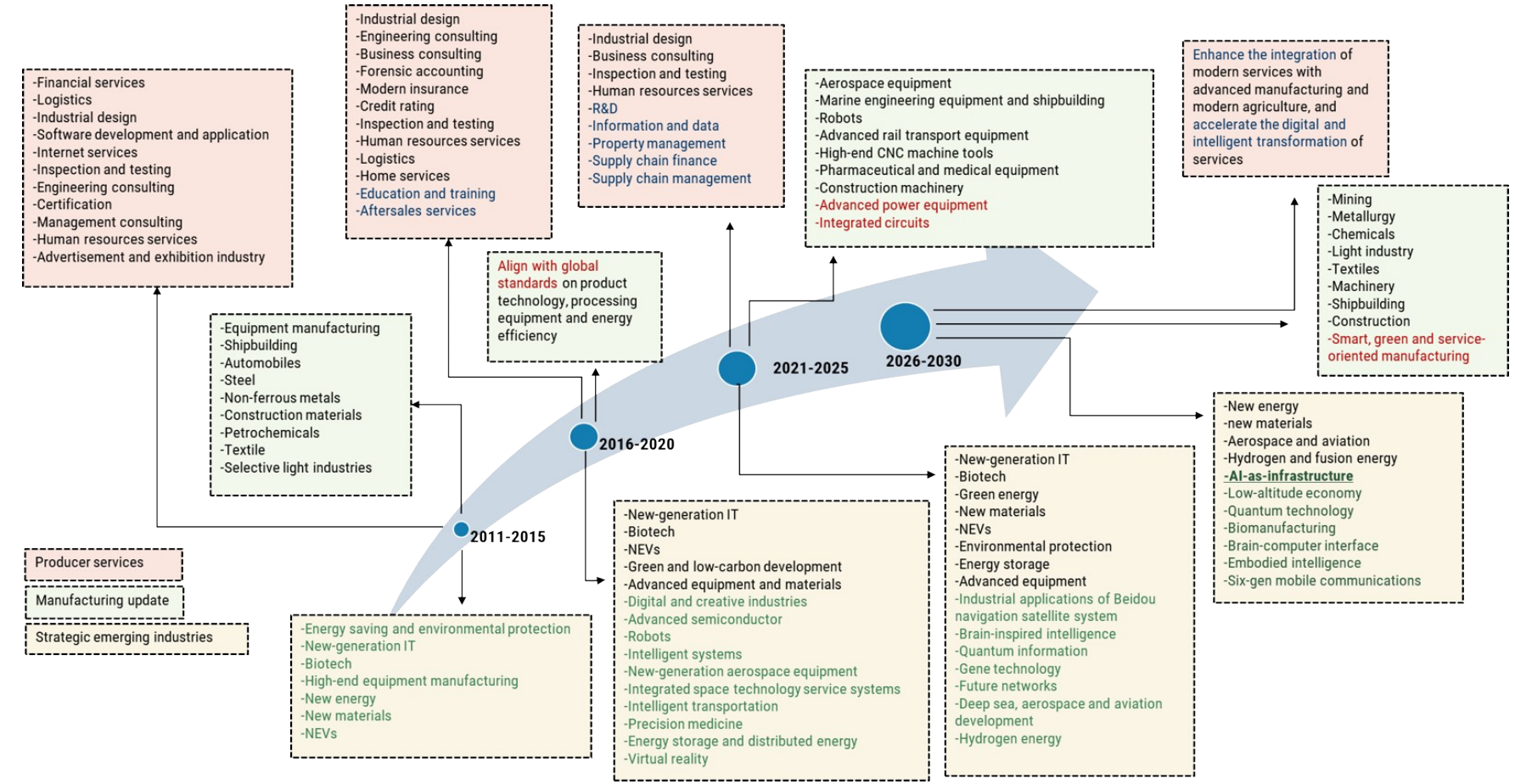
Source: IBES, Datastream, Morgan Stanley Research. Note: Weekly data as of Oct 1, 2026.

MSCI China ROE Starts to Dip Again Despite Bottom-up Progress



Source: Bloomberg, Morgan Stanley Research. Note: Historical data are weekly as of Oct 2, 2026.

China Has Implemented a Systemic Framework on Industrial Upgrade and Innovation



Source: Government website, Morgan Stanley Research.

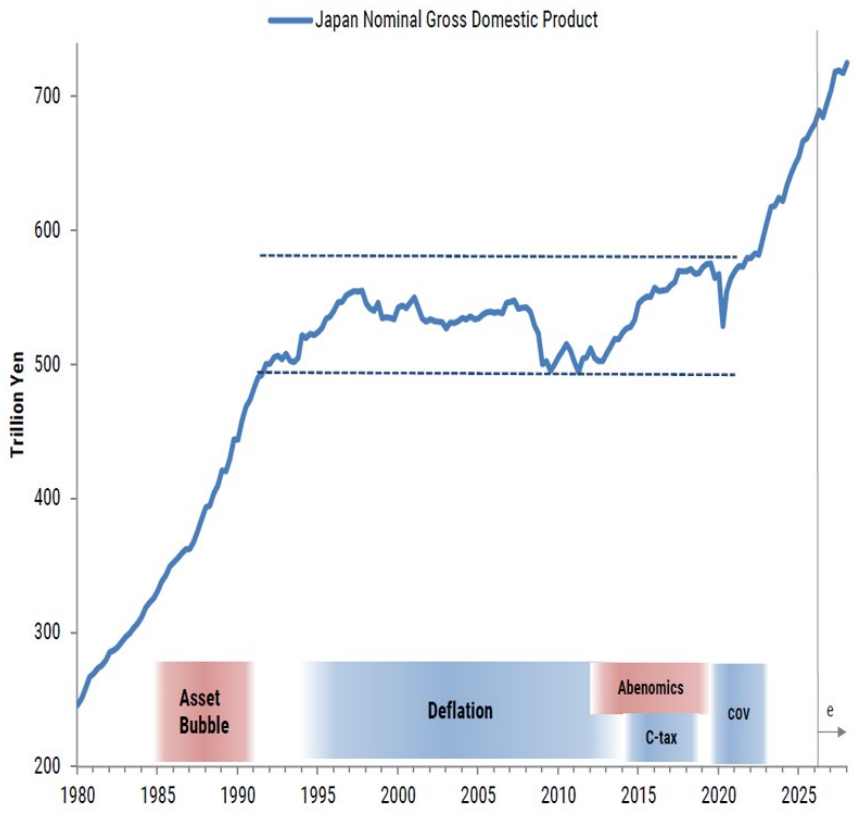
Morgan Stanley China/HK Focus List

Company Name	Ticker	Rating	Market	GICS Sector	Mkt Cap (US$bn)	Date Added	Total US$ Returns Since Added	12M Total Return Perf.		Last Price (US $)	Upside to Target Price	MS P/E 2026E	MS P/E 2027E	MS P/B 2026E	MS ROE 2026E	MS Div. Yld 2026E	MS P/Sales 2026E	Analyst
Alibaba Group Holding	BABA.N	OW	China	Consumer Discretionary	274.2	24-Feb-25	-11.8%	-40.5%	✓	110.8	62.5%	23.0x	23.8x	1.6x	7.0%	-	2.0x	Yu, Gary
Bank of China Limited	3988.HK	OW	China	Financials	275.7	21-Sep-26	-2.3%	46.0%	✓	0.8	11.4%	6.9x	6.6x	0.6x	8.5%	4.9%	2.6x	Xu, Richard
China Petroleum & Chemical Corp.	0386.HK	OW	China	Energy	89.5	2-Mar-26	-17.2%	14.1%	✓	0.6	59.0%	7.8x	5.6x	0.5x	6.8%	9.4%	0.2x	Lu, Jack
China Shenhua Energy	1088.HK	OW	China	Energy	139.4	25-Mar-26	-5.4%	20.4%	✓	5.5	11.9%	12.2x	12.7x	1.7x	13.8%	6.2%	2.3x	Yang, Hannah
Contemporary Amperex Technology Co. Ltd.	300750.SZ	OW	China	Industrials	209.2	10-Mar-24	97.0%	-25.5%		43.4	104.4%	14.0x	10.8x	3.6x	26.0%	3.6%	2.3x	Lu, Jack
GigaDevice Semiconductor Beijing Inc	603986.SS	OW	China	Information Technology	35.2	2-Mar-26	21.0%	66.3%	✓	52.8	112.0%	10.2x	7.8x	5.5x	53.8%	2.9%	6.1x	Yen, Daniel
HK Exchanges & Clearing	0388.HK	OW	Hong Kong	Financials	61.6	24-Feb-25	16.6%	-12.9%	✓	48.4	41.6%	24.0x	22.6x	7.9x	32.8%	3.7%	14.8x	Xu, Richard
HKT Trust and HKT Ltd.	6823.HK	OW	Hong Kong	Communication Services	11.5	24-Mar-21	51.6%	8.4%	✓	1.5	17.7%	16.2x	15.6x	2.5x	15.4%	7.1%	2.4x	Tang, Tom
Jiangsu Hengrui	1276.HK	OW	China	Health Care	46.5	7-Oct-26	NA	-48.2%	✓	6.2	69.4%	30.9x	30.3x	3.9x	13.6%	0.3%	9.6x	Yan, Alexis
Jiangsu Zhongtian Technology Co. Ltd.	600522.SS	OW	China	Industrials	15.8	25-Mar-26	13.4%	65.9%	✓	4.6	71.0%	16.5x	12.8x	2.5x	15.1%	1.9%	1.7x	Hou, Eva
NARI Technology	600406.SS	OW	China	Industrials	27.0	13-Jun-19	149.2%	0.8%	✓	3.4	43.2%	19.2x	16.9x	3.2x	16.4%	2.8%	2.5x	Hou, Eva
Ping An Insurance Group Co of China Ltd	2318.HK	OW	China	Financials	29.3	2-Dec-25	-4.3%	3.7%	✓	6.6	64.9%	5.3x	4.9x	0.7x	15.0%	6.5%	0.8x	Xu, Richard
Sinoma Science & Technology Co. Ltd.	002080.SZ	OW	China	Materials	13.6	12-Jan-26	48.3%	60.4%	✓	8.1	3.5%	40.1x	29.6x	4.2x	10.5%	0.7%	2.5x	Hou, Eva
Zijin Mining Group	2899.HK	OW	China	Materials	116.3	14-Nov-22	238.9%	-0.8%		4.2	87.2%	9.7x	8.6x	3.0x	30.6%	2.6%	1.6x	Zhang, Rachel

Source: ModelWare, RIMES, FactSet, Morgan Stanley Research. Note: OW = Overweight. Data as of Oct 6, 2026. The US$ total return of the Morgan Stanley China/HK Equity Strategy Focus List since inception on September 3, 2014 is +112.1% (vs MSCI China Index total return of +45.1%). This assumes the Focus List constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute return (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. The tick mark indicates stock has outperformed MSCI EM Index since inclusion in the Focus List. For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures. [++] indicates the data for this company have been removed from consideration because under Morgan Stanley policy and/or applicable regulations, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

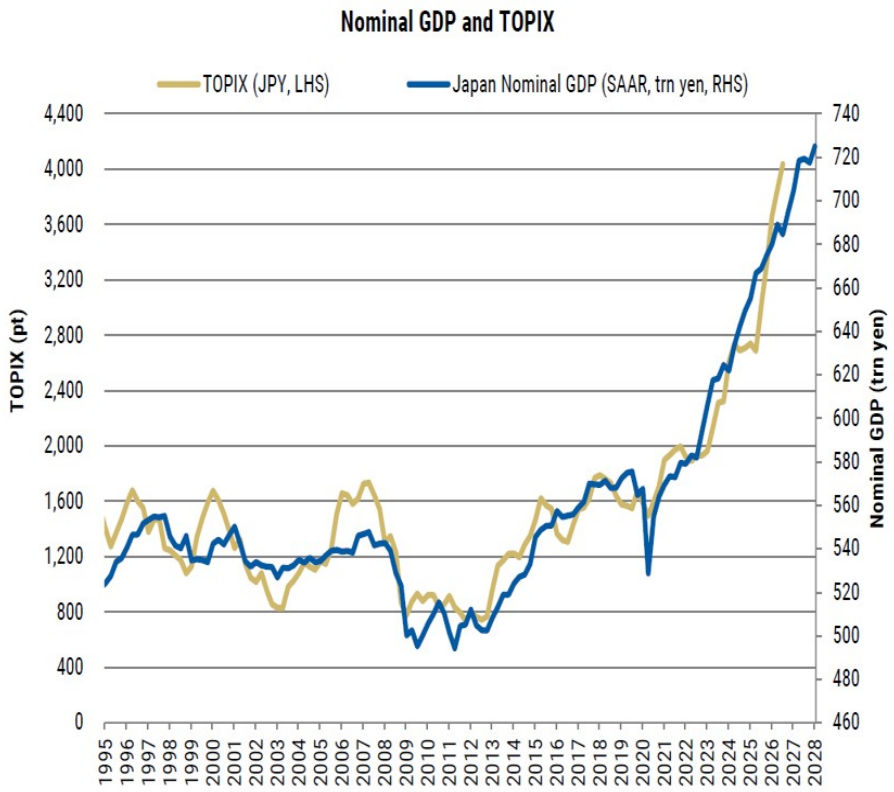
Japan — A Momentous Shift to Sustained Nominal Growth

Japan's Nominal GDP levels and Our Forecasts (SAAR, trn yen)



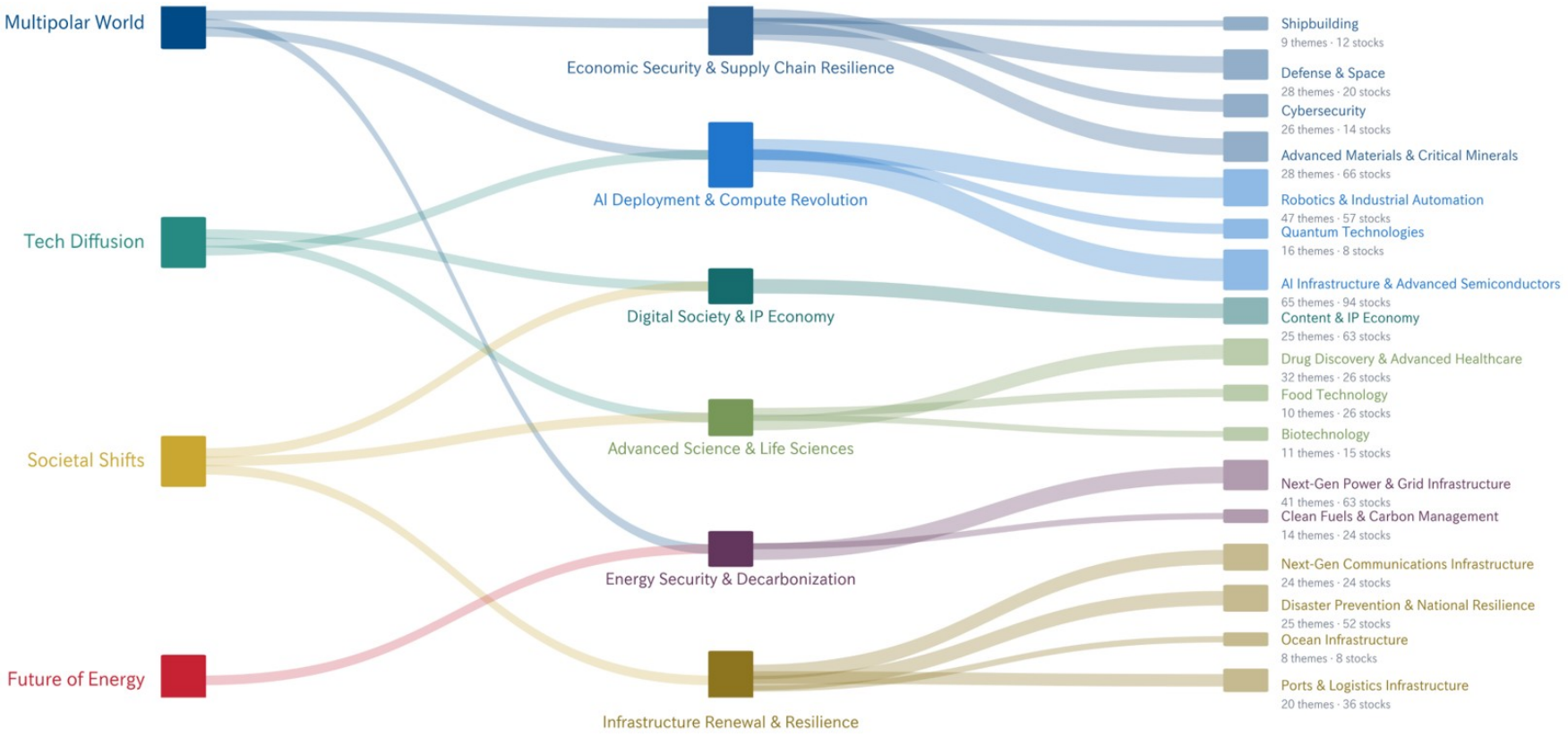
Source: Cabinet Office, Morgan Stanley Japan Economics Research.

Japan's Nominal GDP (trn yen) and TOPIX



e= Morgan Stanley Research estimates. Note: Nominal GDP from 3Q2026 and beyond shows our forecast. Source: FAME, Morgan Stanley Research

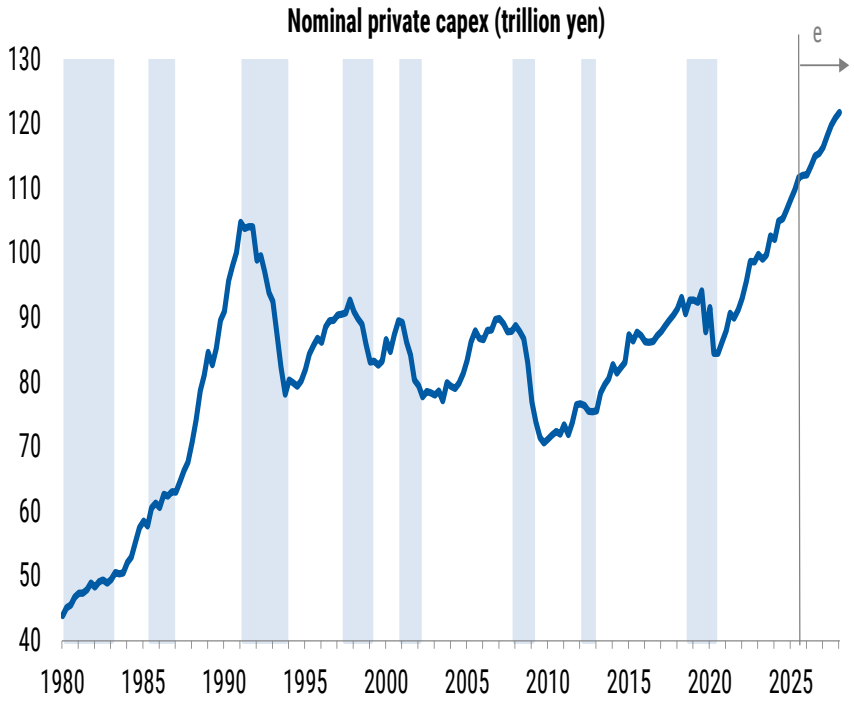
Japan — PM Takaichi's 17 Strategic Domains Converge into a Set of Concepts



Note: MS's four Big Themes are defined as the top-level investment concepts (L0). L1 comprises six investment narratives derived from L0. L2 is defined as the 17 strategic domains under the Takaichi administration (Defense and Space" are consolidated into single category. "Energy security and GX" are split into "Next-Gen Power & Grid Infra" and "Clean Fuels & Carbon Management," with fusion energy included in the former. Robotics is treated as a standalone theme.). L3 contains L4, the stock-selection categories. The universe is Prime-listed companies plus Astroscale.
Source: Morgan Stanley Research

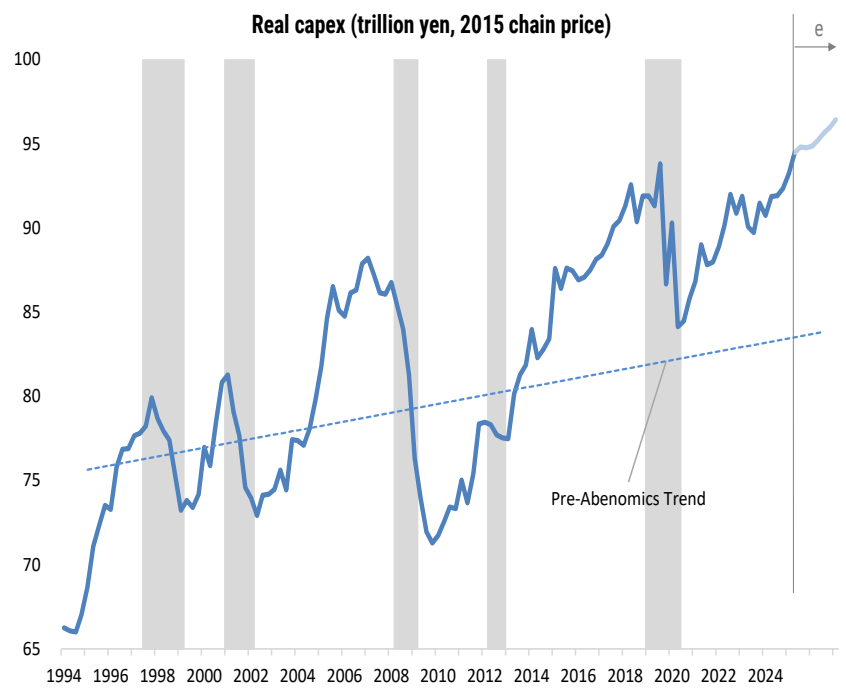
Japan — Private Capex to Moderate on Global Slowdown, But Uptrend to Remain Intact

Nominal private capex and our forecasts (trn yen) – Nominal private capex already exceeds 1991 peak



e=Morgan Stanley Research estimates. Shaded bars indicate recession periods.
Source: Cabinet Office, Morgan Stanley Japan Economics Research.

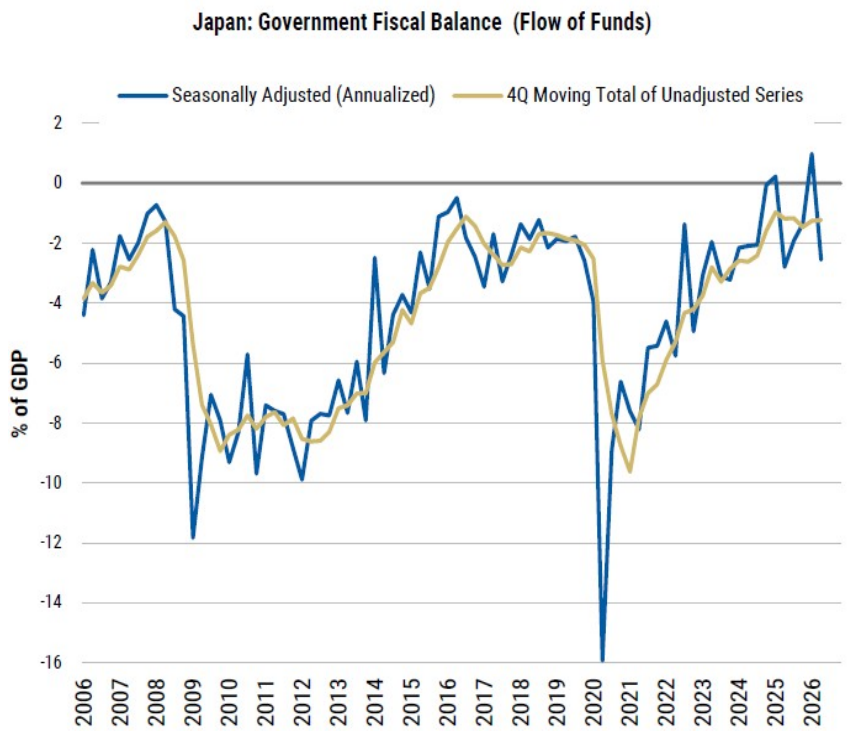
Real capex and our forecasts (2015 chain price, trn yen) – Capex trend has shifted up even on an inflation-adjusted basis



e=Morgan Stanley Research estimates. Shaded bars indicate recession periods.
Source: Cabinet Office, Morgan Stanley Japan Economics Research.

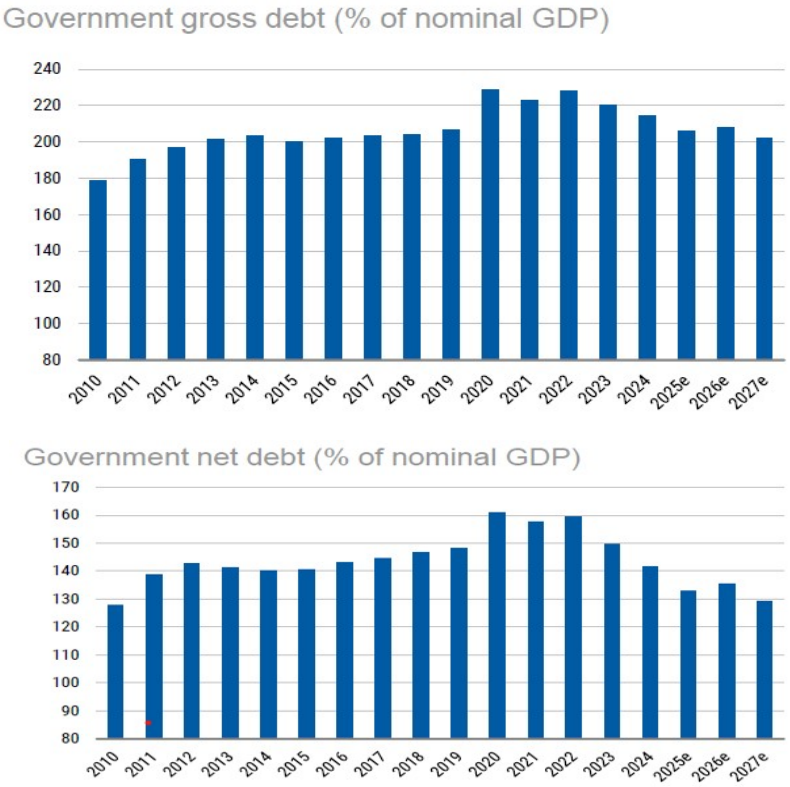
Japan — Drastic Improvement in Japan's Fiscal Balance Is Underappreciated

Sectoral balances in the flow-of-funds data (% of GDP)



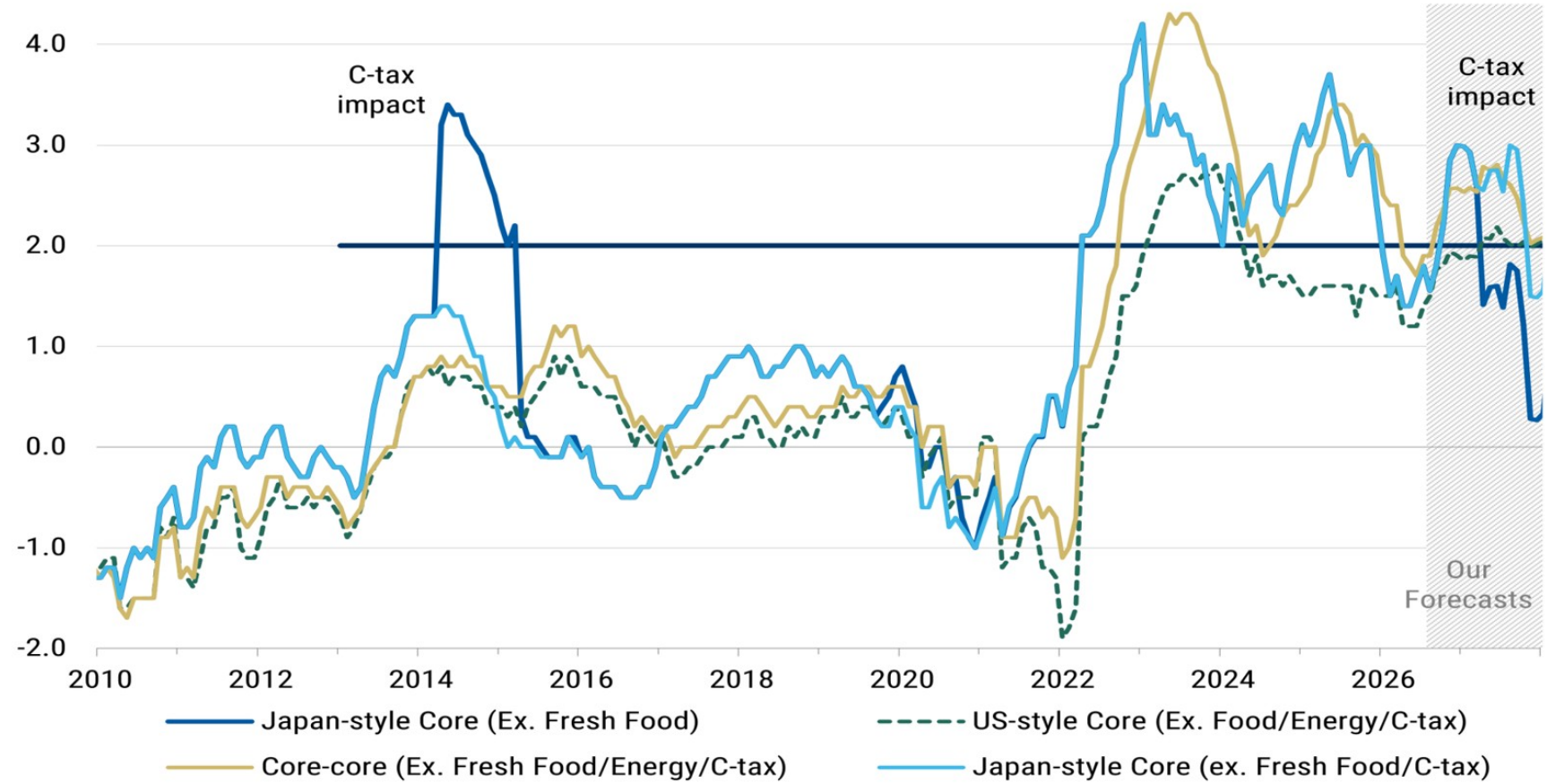
Source: BOJ, Morgan Stanley Japan Economics Research .

General government gross/net debt (% of GDP)



e= Morgan Stanley Research estimates.
Source: IMF, Morgan Stanley Japan Economics Research.

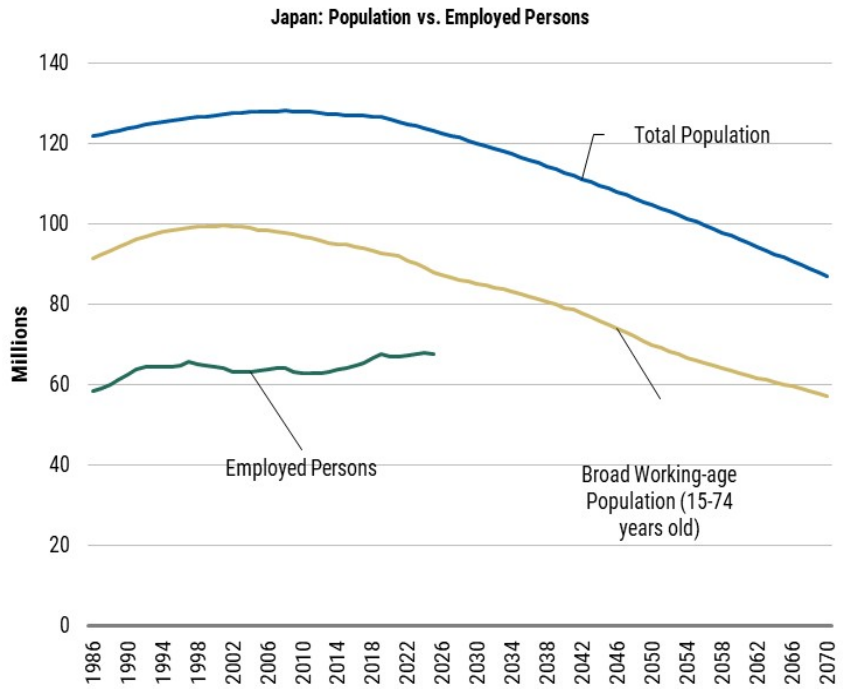
Japan — Japan-style Core CPI To Approach 3% in 2H 2026



Source: MIC, Morgan Stanley Japan Economics Research.

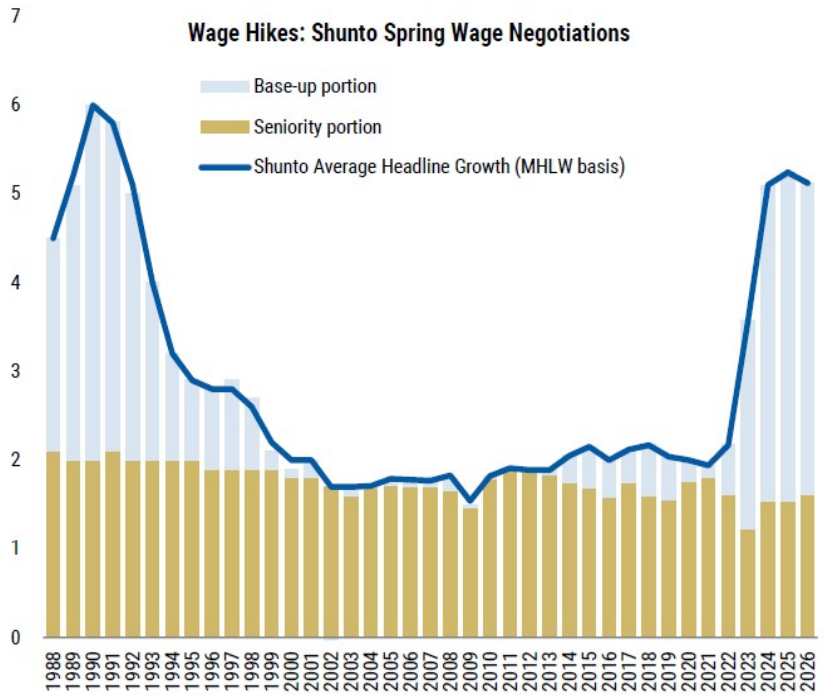
Japan — Structurally Tight Labor Market to Support Wage Increases

Japan's Population vs. Employed Persons (millions)



Source: MHLW, Morgan Stanley Japan Economics Research.

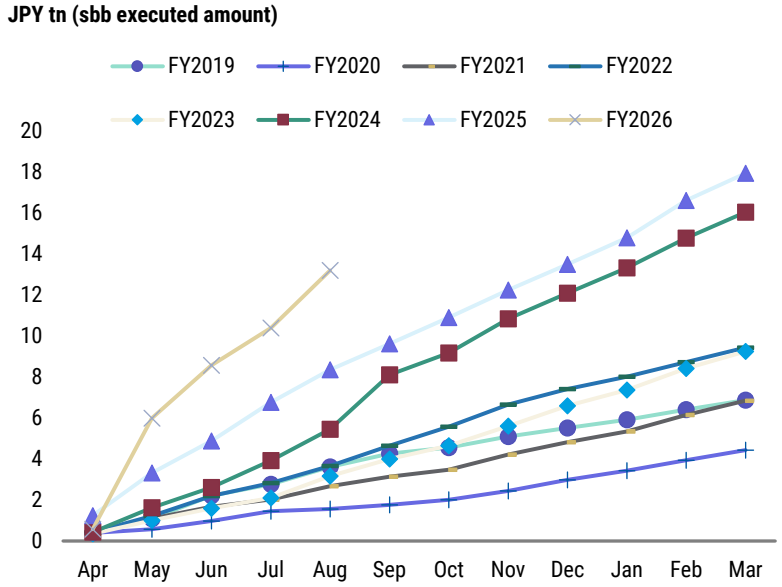
Spring Wage (Shunto) Negotiations (%)



e=Morgan Stanley Research estimates
Source: MHLW, Rengo, Morgan Stanley Japan Economics Research.

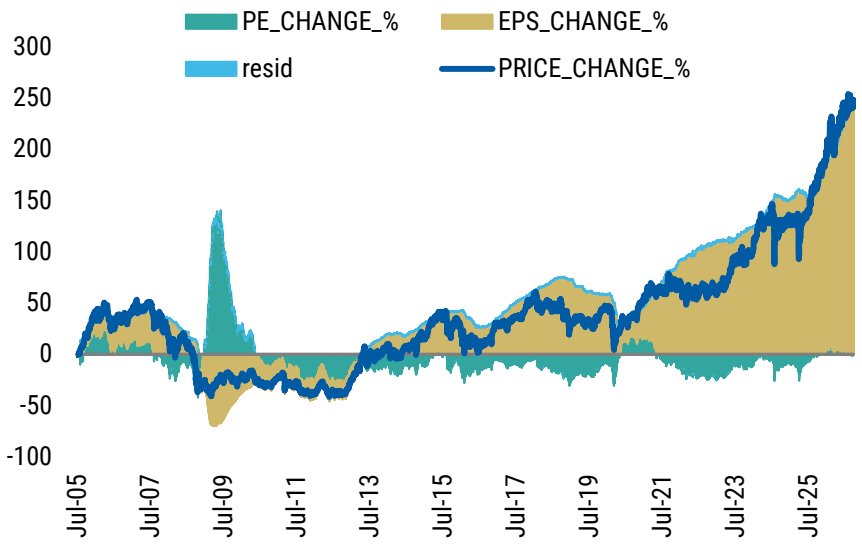
Corporate Governance Reform Continues, with a Focus on Excess Cash in 2026

Total share buybacks executed in Japan



Note: The universe consists of TOPIX. The table shows the total amount of share buybacks executed, and the dates are based on official authorized dates. The market data is as of Oct 2, 2026. Please note that the figures for July are still preliminary.
Source: Bloomberg, FactSet, QUICK Workstation, INDB, Morgan Stanley Research

Cumulative P/B change in TSE Prime since April 2022 market reform



Note: P/E is based on market capitalization-weighted 12-month forward estimates. P/B is based on market capitalization-weighted averages. ROE is calculated as P/B divided by PER. The market data is as of Oct 2, 2026.
Source: Bloomberg, FactSet, QUICK Workstation, INDB, Morgan Stanley Research

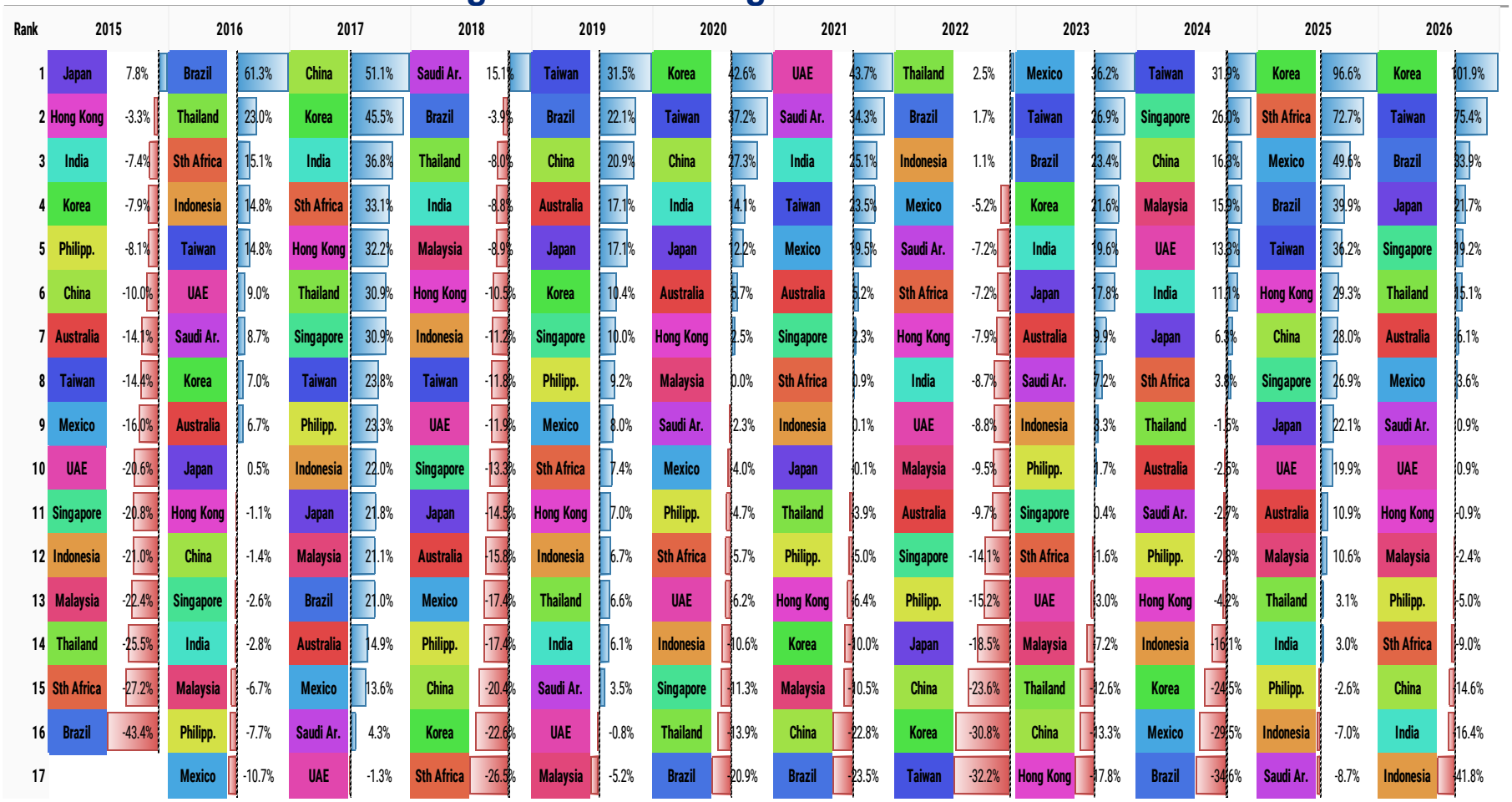
Morgan Stanley Japan Focus List

Company Name	Ticker	Rating	TOPIX 17 Sector	Mkt Cap (JPYbn) 10/6/2026	Date added (dd-mm-yy)	Total JPY Returns Since Added	12M Total Return Perf.		Last Price (JPY)	Target Price (JPY)	Upside to TP (%)	MS P/E (CY) 2026E (x)	MS P/E (CY) 2027E (x)	MS P/B (CY) 2026E (x)	MS ROE (CY) 2026E (%)	MS DY (CY) 2026E (%)	MS P/S (CY) 2026E (x)	Analyst
KAJIMA	1812.T	OW	Const&Mat	2,318.2	15-Jun-23	152.4%	17.0%	✓	4,793	9,200	91.9%	13.0x	10.4x	1.5x	12.0%	3.6%	0.8x	Yagi, Ryo
PENTA-OCEAN CONSTRUCTION	1893.T	OW	Const&Mat	406.7	5-Nov-25	0.7%	32.6%		1,422	2,600	82.8%	9.4x	8.5x	1.8x	20.3%	3.4%	0.5x	Yagi, Ryo
MORINAGA MILK INDUSTRY	2264.T	OW	Foods	363.0	23-Jun-26	-13.0%	27.1%		1,053	1,500	42.5%	14.2x	13.0x	1.2x	8.7%	2.6%	0.6x	Tsunoyama, Tomonobu
KIOXIA HOLDINGS	285A.T	OW	Elec&Prec	30,836.3	8-Sep-26	-2.1%	809.5%		18,735	37,000	97.5%	6.2x	5.3x	6.0x	356.4%	1.6%	3.4x	Yoshikawa, Kazuo
TORAY INDUSTRIES	3402.T	OW	Raw Mat&Chem	1,886.6	8-Sep-26	4.5%	32.9%	✓	1,254	1,700	35.6%	15.8x	12.2x	1.0x	6.3%	2.1%	0.7x	Watabe, Takato
TISI	3626.T	EW	IT&Serv&Oth	861.2	8-Sep-26	5.1%	-14.2%	✓	4,011	4,000	-0.3%	14.8x	13.6x	2.8x	17.3%	2.2%	1.4x	Yang, Luyuan
RESONAC HOLDINGS	4004.T	OW	Raw Mat&Chem	3,429.3	4-Mar-26	54.7%	232.2%	✓	17,940	18,500	3.1%	33.8x	21.3x	4.6x	15.8%	0.4%	3.2x	Watanabe, Ryoichi
SUMITOMO ELECTRIC INDUSTRIES	5802.T	EW	Steel&Nonfer	8,052.1	4-Mar-26	3.6%	145.4%		2,536	2,700	6.5%	22.5x	18.1x	2.7x	12.8%	1.8%	1.5x	Shirakawa, Yu
OMRON	6645.T	UW	Elec&Prec	1,338.1	1-Jul-26	9.0%	59.4%	✓	6,488	4,900	-24.5%	34.0x	24.3x	1.5x	4.5%	1.7%	1.6x	Jiang, Lisa
PANASONIC HOLDINGS	6752.T	EW	Elec&Prec	11,706.6	5-Nov-25	183.9%	184.9%	✓	4,769	4,700	-1.4%	22.9x	19.9x	2.0x	9.3%	1.3%	1.4x	Yoshikawa, Kazuo
SONY GROUP	6758.T	OW	Elec&Prec	22,477.3	8-Sep-26	3.6%	-9.6%		3,768	5,000	32.7%	15.9x	14.4x	2.5x	17.3%	0.9%	1.7x	Yoshikawa, Kazuo
MICRONICS JAPAN	6871.T	OW	Elec&Prec	616.8	11-May-26	11.3%	142.8%	✓	15,410	16,000	3.8%	26.3x	19.3x	7.0x	34.4%	1.2%	5.7x	Hasegawa, Yoshihito
MURATA MANUFACTURING	6981.T	OW	Elec&Prec	17,331.3	10-Dec-25	162.6%	216.7%	✓	8,829	11,000	24.6%	41.7x	29.2x	5.6x	14.1%	0.8%	7.3x	Sato, Shoji
MITSUBISHI HEAVY INDUSTRIES	7011.T	OW	Machinery	12,776.0	11-May-26	-13.3%	3.3%		3,787	5,900	55.8%	29.4x	25.4x	3.6x	14.0%	1.1%	2.2x	Kitaura, Takeshi
SUMITOMO MITSUI FINANCIAL GROU	8316.T	OW	Banks	26,068.1	19-Jan-23	334.2%	74.4%	✓	3,429	4,600	34.1%	13.6x	11.9x	1.5x	12.1%	2.9%	5.2x	Nagasaka, Mia

Note: OW = Overweight, EW = Equal-weight, UW = Underweight. Market data as of October 6th. A ✓ indicates stocks that have outperformed TOPIX since being added. Returns assume the Focus List is constructed as an equal-weighted portfolio and rebalanced upon additions or deletions. Results shown represent total absolute returns including dividends and exclude brokerage commissions. Figures are unaudited and past performance is not indicative of future results. E = Morgan Stanley Research estimates. Cumulative excess return vs TOPIX since Jan. 24 is -3.2%. Sources: ModelWare, Morgan Stanley Research.

Appendix

Market Performance Ranking for Our Coverage Universe Over the Years



Source: FactSet, Morgan Stanley Research. Note: Data as of Oct 5, 2026.

GDP Forecast

Real GDP (%Y)	Quarterly					Annual			
	2026 4QE	2027 1QE	2QE	3QE	4QE	2024	2025	2026E	2027E
Global (%Y)	**3.4**	**3.5**	**3.5**	**3.5**	**3.3**	**3.5**	**3.5**	**3.4**	**3.5**
Global ex US (%Y)	**3.6**	**3.8**	**3.8**	**3.7**	**3.6**	**3.6**	**3.8**	**3.7**	**3.7**
G10 (%Y)	**1.7**	**1.7**	**1.6**	**1.7**	**1.8**	**1.8**	**1.8**	**1.6**	**1.7**
US	2.4	2.3	2.3	2.3	2.3	3.0	2.3	2.3	2.3
Euro Area	1.2	1.5	1.2	1.2	1.3	1.1	1.3	1.0	1.3
Japan	0.6	0.2	0.5	0.6	1.2	0.1	1.2	0.8	0.7
UK	1.5	1.3	1.3	1.3	1.7	1.0	1.3	1.3	1.4
Canada	1.7	1.7	1.7	1.7	1.7	2.0	1.7	1.0	1.7
Norway	1.2	1.5	1.6	1.7	1.7	0.7	1.7	0.9	1.6
Sweden	1.8	2.4	1.3	1.8	1.6	1.9	1.6	2.4	1.8
Australia	1.2	1.3	1.3	1.4	1.7	1.0	2.0	1.9	1.4
Global (%Q, SAAR)^	**4.0**	**3.4**	**3.0**	**3.4**	**3.4**	**3.7**	**3.4**	**3.4**	**3.3**
G10 (%Q, SAAR)^	**1.5**	**1.6**	**1.9**	**1.9**	**1.8**	**2.1**	**1.5**	**1.7**	**1.8**
US	2.5	2.1	2.3	2.4	2.4	2.6	2.0	2.4	2.3
Euro Area	1.2	1.2	1.2	1.3	1.3	1.5	1.1	1.2	1.3
Japan	-1.2	0.2	2.8	1.7	1.2	0.9	0.4	0.6	1.2
UK	0.0	1.9	1.7	1.6	1.6	2.0	0.9	1.5	1.7
Canada	1.9	1.6	1.6	1.7	1.9	3.1	0.7	1.7	1.7
Norway	1.8	1.5	1.7	1.9	1.8	0.9	1.7	1.2	1.7
Sweden	2.0	2.0	1.6	1.4	1.3	3.6	2.0	1.8	1.6
Australia	0.8	1.6	1.5	1.7	1.9	1.2	2.6	1.2	1.7
EM (%Y)	**4.7**	**4.7**	**4.9**	**4.8**	**4.4**	**4.8**	**4.8**	**4.8**	**4.7**
EM ex China (%Y)	**4.6**	**4.9**	**5.1**	**4.8**	**4.4**	**4.6**	**4.7**	**4.9**	**4.8**
AXJ (%Y)	**5.1**	**5.2**	**5.2**	**5.2**	**5.0**	**5.4**	**5.4**	**5.4**	**5.1**
China	4.7	4.6	4.7	4.7	4.5	5.0	5.0	4.6	4.6
India	7.0	7.0	6.9	7.2	7.0	7.4	7.3	7.7	7.0
Hong Kong	3.1	1.6	3.2	3.9	5.2	2.6	3.6	4.3	3.5
Korea	2.9	2.2	3.7	1.6	1.5	2.1	1.1	3.4	2.7
Taiwan	6.2	9.2	8.0	7.6	5.2	5.3	8.6	11.5	7.6
Singapore	3.5	3.5	3.4	3.2	3.4	5.3	5.0	5.0	3.4
Indonesia	5.0	5.1	5.0	5.0	5.2	5.0	5.1	5.2	5.1
Malaysia	4.7	5.6	5.1	4.9	5.0	5.1	5.1	5.3	5.1
Thailand	2.6	2.4	2.8	3.0	3.0	3.0	2.4	2.4	2.8
Philippines	3.5	4.5	3.8	4.1	3.7	5.7	4.5	2.8	4.0
CEEMEA (%Y)	**3.7**	**4.4**	**6.4**	**4.6**	**2.3**	**2.2**	**3.2**	**2.1**	**4.4**
Poland	2.4	2.5	2.1	2.8	2.9	3.2	3.4	3.0	2.6
Czech Rep	1.3	1.5	1.9	2.2	2.5	1.3	2.6	1.8	2.0
Hungary	2.6	2.5	2.8	3.3	3.7	0.7	0.5	1.9	3.1
Turkey	3.2	3.9	4.0	4.6	4.6	3.5	3.7	2.6	4.3
South Africa	1.0	0.5	1.5	1.9	2.1	0.5	1.1	1.0	1.6
Saudi Arabia	6.3	7.8	13.7	8.0	1.2	2.6	4.5	1.4	7.5
Egypt	3.7	3.4	4.5	5.6	6.8	2.4	4.4	4.8	5.0
Israel	4.7	6.1	3.4	3.7	3.8	1.4	3.5	4.6	4.2
LatAm (%Y)	**2.0**	**1.9**	**1.7**	**1.7**	**1.9**	**2.5**	**1.9**	**1.9**	**1.8**
Brazil	1.9	1.5	1.0	0.9	1.4	3.4	2.3	2.0	1.2
Mexico	1.5	1.8	1.7	1.9	2.1	1.4	0.5	1.4	1.9
Chile	2.4	3.1	3.1	3.2	2.9	2.8	2.5	1.1	3.1
Colombia	2.6	2.4	2.4	2.4	2.4	1.5	2.6	2.5	2.4
Peru	4.3	3.9	3.7	3.6	3.4	3.5	3.5	3.4	3.7
Argentina	3.8	3.2	4.3	2.1	1.0	-1.4	4.5	2.8	2.7

Source: IMF, Haver, Morgan Stanley Research forecasts
Note: Global and regional aggregates for GDP growth are GDP-weighted averages, using PPP weights. ^ Annual values are 4Q/4Q.
Turkey, Egypt and Argentina are excluded when calculating Global, EM, CEEMEA and LatAm GDP aggregates. Egypt represents fiscal year from July 1 to June 30.

Policy Forecast

Policy Rates	2026	2027			
	4QE	1QE	2QE	3QE	4QE
US	4.125	4.375	4.375	4.375	4.375
Euro Area*	2.75	2.75	2.75	2.75	2.50
Japan**	1.50	1.75	1.75	1.75	1.75
UK	4.00	4.25	4.25	4.25	4.25
Canada	2.25	2.25	2.25	2.25	2.25
Norway	4.50	4.50	4.25	4.00	4.00
Sweden	2.00	2.00	2.00	2.00	2.00
Australia	4.60	4.60	4.60	4.35	4.10
China^	1.40	1.40	1.40	1.40	1.40
India	5.75	6.00	6.25	6.25	6.25
Hong Kong	4.50	4.75	4.75	4.75	4.75
S. Korea	3.25	3.50	3.50	3.50	3.50
Taiwan	2.13	2.13	2.25	2.25	2.25
Indonesia	5.75	5.75	5.75	5.75	5.75
Malaysia	3.00	3.00	3.00	3.00	3.00
Thailand	1.00	1.00	1.00	1.00	1.00
Philippines	5.50	5.50	5.50	5.50	5.50
Poland	3.75	3.75	3.50	3.25	3.25
Czech Republic	3.75	3.75	3.75	3.50	3.50
Hungary	5.25	5.00	4.75	4.75	4.75
Turkey	35.00	33.00	30.50	28.50	27.50
South Africa	7.25	7.25	7.25	7.00	6.75
Saudi Arabia	4.75	5.00	5.00	5.00	5.00
Egypt	19.00	19.00	19.00	17.00	14.00
Israel	3.00	3.00	3.00	3.00	3.00
Brazil	13.25	12.75	12.25	11.75	11.25
Mexico	6.50	6.50	6.50	6.50	6.50
Chile	4.50	4.50	4.50	4.50	4.50
Colombia	12.00	12.00	12.00	12.00	12.00
Peru	4.75	4.75	4.75	4.75	4.75
Argentina^^	20.00	18.00	18.00	24.00	18.00

Source: Haver, Morgan Stanley Reseach forecasts

Note: *ECB Deposit Facility rate; **Uncollateralized Overnight Call Rate Upper Limit; ^7-day reverse repo rate;^^TAMAR is used as a proxy. It refers to Argentina's wholesale interest rate, defined as the weighted average rate on 30 to 35 days peso deposits of ARS 1 billion or more at private banks. Egypt represents fiscal year from July 1 to June 30. .

Commodity Forecast

	Commodity	Type	Unit	4Q26	1Q27	2Q27	3Q27	4Q27
BULL CASE	Brent	OIL AND GAS	US$/bbl	120.0	120.0	120.0	120.0	120.0
	Natural Gas	OIL AND GAS	US$/MMBtu	4.75	-	-	-	-
	WTI	OIL AND GAS	US$/bbl	115.0	115.0	115.0	115.0	115.0
	TTF	OIL AND GAS	US$/MMBtu	45	45	45	45	45
	Aluminium	BASE METALS	US$/lb	1.63	1.58	1.58	1.52	1.52
	Copper	BASE METALS	US$/lb	8.08	7.54	7.37	7.26	7.09
	Nickel	BASE METALS	US$/lb	9.36	9.92	9.92	9.92	9.36
	Zinc	BASE METALS	US$/lb	1.85	1.80	1.77	1.69	1.58
	Gold	PRECIOUS METALS	US$/oz	5562	5875	6125	6375	6500
	Silver	PRECIOUS METALS	US$/oz	98.16	94.00	98.00	102.00	104.00
	Palladium	PRECIOUS METALS	US$/oz	1380	1560	1625	1657	1690
	Platinum	PRECIOUS METALS	US$/oz	1896	1932	1992	2052	2112
	Iron Ore	BULKS	US$/t	119	124	124	124	128
	Hard Coking Coal	BULKS	US$/t	317	310	303	303	310
	Thermal Coal	BULKS	US$/t	189	182	175	162	162
	Cobalt	BATTERY RAW MATERIALS	US$/lb	32.4	36.5	36.5	-	-
	Lithium	BATTERY RAW MATERIALS	US$/lb	28750	32000	32000	-	-
	EUA	CARBON	€/ton	100	-	-	-	-
	Soybeans	AGRICULTURAL CROPS	US$/bu	14.0	-	-	-	-
	Corn	AGRICULTURAL CROPS	US$/bu	5.3	-	-	-	-
	Hard Cooking Coal	DEFAULT	US$/t	299	-	-	-	-
BASE CASE	Brent	OIL AND GAS	US$/bbl	100.0	95.0	90.0	80.0	75.0
	Natural Gas	OIL AND GAS	US$/MMBtu	3.25	-	-	-	-
	WTI	OIL AND GAS	US$/bbl	96.0	91.0	86.0	76.0	71.0
	TTF	OIL AND GAS	US$/MMBtu	30	28	18	13	13
	Aluminium	BASE METALS	US$/lb	1.36	1.32	1.32	1.27	1.27
	Copper	BASE METALS	US$/lb	6.46	6.03	5.90	5.81	5.67
	Nickel	BASE METALS	US$/lb	7.48	7.94	7.94	7.94	7.48
	Zinc	BASE METALS	US$/lb	1.61	1.50	1.47	1.41	1.32
	Gold	PRECIOUS METALS	US$/oz	4450	4700	4900	5100	5200
	Silver	PRECIOUS METALS	US$/oz	65.44	67.14	70.00	72.86	74.29
	Palladium	PRECIOUS METALS	US$/oz	1150	1200	1250	1275	1300
	Platinum	PRECIOUS METALS	US$/oz	1580	1610	1660	1710	1760
	Iron Ore	BULKS	US$/t	92	92	92	92	95
	Hard Coking Coal	BULKS	US$/t	235	230	225	225	230
	Thermal Coal	BULKS	US$/t	140	140	135	125	125
	Cobalt	BATTERY RAW MATERIALS	US$/lb	27.0	27.0	27.0	-	-
	Lithium	BATTERY RAW MATERIALS	US$/lb	23000	20000	20000	-	-
	EUA	CARBON	€/ton	97	-	-	-	-
	Soybeans	AGRICULTURAL CROPS	US$/bu	11.7	-	-	-	-
	Corn	AGRICULTURAL CROPS	US$/bu	4.7	-	-	-	-
	Hard Cooking Coal	DEFAULT	US$/t	230	-	-	-	-
BEAR CASE	Brent	OIL AND GAS	US$/bbl	60.0	60.0	60.0	60.0	60.0
	Natural Gas	OIL AND GAS	US$/MMBtu	1.75	-	-	-	-
	WTI	OIL AND GAS	US$/bbl	55.0	55.0	55.0	55.0	55.0
	TTF	OIL AND GAS	US$/MMBtu	17	17	17	17	17
	Aluminium	BASE METALS	US$/lb	1.02	1.05	1.05	1.02	1.02
	Copper	BASE METALS	US$/lb	5.17	4.95	4.84	4.76	4.65
	Nickel	BASE METALS	US$/lb	6.36	6.35	6.35	6.35	5.99
	Zinc	BASE METALS	US$/lb	1.29	1.27	1.25	1.20	1.12
	Gold	PRECIOUS METALS	US$/oz	3560	3760	3920	4080	4160
	Silver	PRECIOUS METALS	US$/oz	39.26	53.71	56.00	58.29	59.43
	Palladium	PRECIOUS METALS	US$/oz	920	840	875	892	909
	Platinum	PRECIOUS METALS	US$/oz	1264	1288	1328	1368	1408
	Iron Ore	BULKS	US$/t	78	73	73	73	76
	Hard Coking Coal	BULKS	US$/t	188	184	180	180	184
	Thermal Coal	BULKS	US$/t	98	112	108	100	100
	Cobalt	BATTERY RAW MATERIALS	US$/lb	21.6	18.9	18.9	-	-
	Lithium	BATTERY RAW MATERIALS	US$/lb	16099	12000	12000	-	-
	EUA	CARBON	€/ton	53	-	-	-	-
	Soybeans	AGRICULTURAL CROPS	US$/bu	9.0	-	-	-	-
	Corn	AGRICULTURAL CROPS	US$/bu	3.6	-	-	-	-
	Hard Cooking Coal	DEFAULT	US$/t	184	-	-	-	-

Source: Morgan Stanley Research estimates

US-China Relations in a Multipolar World – Managed Competition Near Term, But Longer Arc Remains Back Toward Competitive Confrontation



Source: Morgan Stanley Research

How Governments Are Framing AI Sovereignty

Market	Government direction	Implication
China	The 2025 "AI+" action plan calls for coordinated intelligent-compute capacity, stronger data supply, model capability and infrastructure security as part of a broad state-led AI push.	Domestic compute and cloud capacity are strategic infrastructure.
Japan	Japan's AI Basic Plan invokes state autonomy and national security. The first plan (Dec 2025) was revised by a Second AI Basic Plan (14 Jul 2026) that explicitly calls for "open AI sovereignty" — strategic autonomy across compute, data centers, models, semiconductors, communications and stable power, without excessive dependence on any single vendor or country.	Most explicit sovereignty framing among open APAC markets.
India	The IndiaAI Mission is designed to democratize access to compute, improve data quality and develop indigenous AI capabilities through public-private programs; in mid-2026 the government signalled it may pursue dedicated, risk-based AI legislation.	Domestic compute access is a policy objective even as foreign hyperscalers fund most expansion.
Singapore	The May 2026 update to the National AI Strategy (NAIS) sets 10 refreshed priorities — including compute, data, trust and international partnerships — alongside a National AI Council chaired by the PM (Feb 2026), sector AI Missions, and a planned Digital Infrastructure Act for data centers.	Sovereignty expressed as resilience, trusted governance and hub control rather than self-sufficiency.
Australia	The National AI Plan (Dec 2025) seeks sovereign AI capability while attracting global partnerships and investment in advanced data centers, backed by a March 2026 set of national-interest "expectations" for data-center and AI-infrastructure developers.	A partnership-led sovereignty model, especially with U.S. technology providers.
Malaysia	The 13th Malaysia Plan seeks an AI-based nation and a regional producer of "Made by Malaysia" digital technology; the Silicon Vision agenda emphasizes local AI server-chip/IP capability.	Foreign data-center capital is being paired with an effort to move up the AI hardware and IP stack.
South Korea	Korea's AI policy emphasizes building domestic AI compute capacity, strengthening semiconductor and cloud competitiveness, and reducing dependence on overseas infrastructure while maintaining close links with allied technology ecosystems.	A relatively strong sovereignty position, supported by domestic semiconductor, cloud and platform champions, though advanced AI infrastructure remains tied to global supply chains.
Indonesia	Indonesia's National AI Roadmap emphasizes investment and financing, local research and technology capabilities, talent, and reliable and secure digital/data infrastructure, alongside a national AI governance framework.	Policy supports greater domestic capability and secure infrastructure, but near-term expansion is likely to remain reliant on foreign hyperscalers, regional operators and external capital.

Source: Government announcements, Morgan Stanley Research

Potential US Restrictions Under Consideration Amid AI Competition

Value Chain Segment	Policy Tool	Description	Authority
AI Models (usage/hosting in US)	Informal pressure/advisories	Public warnings, security advisories, or memos casting doubt on Chinese models' safety/reliability without legally prohibiting use (no enforcement, but discouragement of usage)	Executive
	Federal procurement bans	Bars federal agencies/contractors from using or purchasing Chinese AI models	Executive; possibly enforced by Congress
	Entity List expansion	BIS (under Commerce Dept) adds a specific Chinese AI lab to the List, barring US-origin exports to it. That could force US cloud providers to de-host its models, enterprise software firms to end licensing, and marketplaces to delist it	Executive
	ICTS Rule ("connected software applications" review)	Commerce's Information and Communications Technology and Services (ICTS) regime could review/prohibit transactions involving foreign-linked software or AI apps deemed a national security risk. Potentially bans US firms from using Chinese models domestically	Executive (Commerce, under IEEPA, with potential carve-outs for open-weight models)
	OFAC/IEEPA Sanctions	President designates a Chinese AI lab under IEEPA, blocking its US property and barring US commercial transactions with it. May not stop a US company from freely downloading an open-weight model	Executive (Treasury/OFAC, under IEEPA)
	New IEEPA-derived deployment restrictions	A more flexible use of IEEPA to directly bar US companies from using/deploying Chinese models, or bar US hyperscalers from making them available	Executive (under IEEPA)
	New legislation banning use/deployment	Congress passes a standalone law restricting Chinese AI model use	Legislative
	Deterring American AI Model Theft Act (DAAMTA)	Advanced by House Foreign Affairs Committee (April 2026); would mandate government assessments of model-extraction/distillation attacks, create a public list of responsible entities, and authorize sanctions against them	Legislative
	Sanctions	In response to stolen US IP	Executive (Treasury/OFAC)
	DOJ bulk sensitive data transaction restrictions	Restrict transactions that would expose Americans' bulk sensitive personal data (health, financial, biometric, geolocation) to China	Executive (DOJ)
	FTC "algorithmic disgorgement"	FTC enforcement action requiring deletion of models found to be trained on unlawfully obtained (e.g., stolen or improperly scraped) data	Executive (FTC)
	BIS Affiliates Rule	Automatically extends Entity List restrictions to any entity ≥50% owned by a listed party, closing the loophole where sanctioned firms create new unrestricted subsidiaries. Currently suspended through November 2026 as part of the US-China trade truce.	Executive (Commerce/BIS)
Chipmaking equipment (SME)	MATCH Act	Tightens restrictions on semiconductor manufacturing equipment sales to China (especially DUV lithography) and pushes allied alignment (Netherlands, Japan) via a Foreign Direct Product Rule mechanism	Legislative (possibly FY27 NDAA)
Chips/hardware exports	AI OVERWATCH Act	Reclassifies advanced AI chip exports as foreign-military sale-style transactions, giving Congress a review/block window before Commerce-approved export licenses to countries of concern take effect; also codifies the current H200 rule restrictions and extends the highest-end chip export ban. Advanced out of HFAC 42-2 and included in the Senate NDAA	Legislative (possibly FY27 NDAA)
	Chip Security Act	Requires location-verification ("geotracking") on exported chips to prevent smuggling/diversion	Legislative
	Entity List	Expanding BIS authority on case-by-case review based on chip performance thresholds (the tool already used to permit H200/MI325X sales)	Executive (Commerce/BIS)
	Section 232 tariffs	25% tariff on qualifying advanced computing semiconductors	Executive
Cloud/compute services	"Know Your Customer" rules	Requires US cloud providers to screen for restricted end users and prevent diversion of compute or resulting model weights to China	Executive (Commerce/BIS guidance)
Capital & investment	Outbound investment screening / CFIUS	Restrict or screen US investment into Chinese AI/semiconductor firms	Executive (Treasury, under IEEPA/FIRRMA)

Source: Morgan Stanley Research

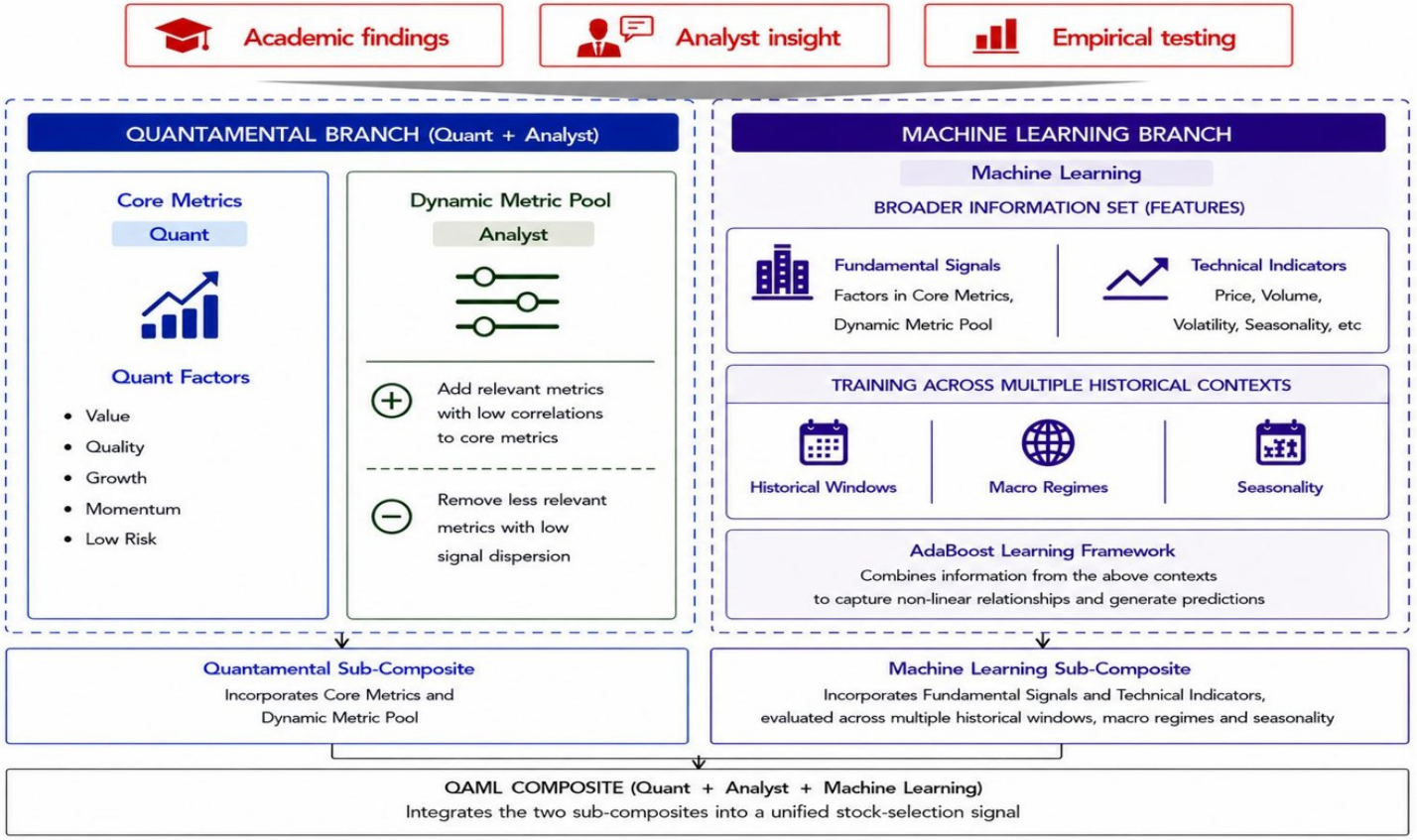
AI Sovereignty – Catalysts to Watch

Date	Event / Catalyst	Description	In scope
August 26, 2026	Korea's sovereign-AI foundation model consortium applications due	Only one will be selected to receive government-backed GPU access	NAVER Cloud, LG AI Research, SK Telecom, Upstage
September 24, 2026	President Xi's planned Washington visit / US-China summit	Range of trade issues; "tech dialogue" on AI	Range of AI-exposed stocks
Fall 2026 (ongoing)	Possible executive-branch restrictions on Chinese AI model usage (Entity List, ICTS review, OFAC/IEEPA sanctions, or new EO)	Base case "middle path" likely puts specific Chinese model developers on a restricted list rather than a blanket ban	(+) US near-frontier, lower-cost providers &open-source like Meta, Amazon, Microsoft, Alphabet (-) Alibaba, Tencent, MiniMax if access is lost or restricted
Nov 9–10, 2026	Fall 2025 truce expiration	BIS Affiliates Rule snap-back + China's rare-earth/entity-list truce expiration	Companies dependent on Chinese rare earths/critical minerals
November 27, 2026	MOFCOM Announcement 46 suspension expires	Additional truce sunset tied to the same November window; outcome hinges on the September summit	US importers of gallium, germanium, antimony, superhard materials, and graphite
December 2026	FY27 NDAA passage	We see scope for partial inclusion of AI OVERWATCH/MATCH Act/chip security provisions	US chipmakers, semi equipment manufacturers, Chinese firms targeted by passage

Source: Morgan Stanley Research, publicly available reporting

QAML Asia: Quant + Analyst + Machine Learning for Stock Selection

QAML combines an analyst-informed Quantamental branch with an AdaBoost Machine Learning branch, integrating both into one stock-selection signal.

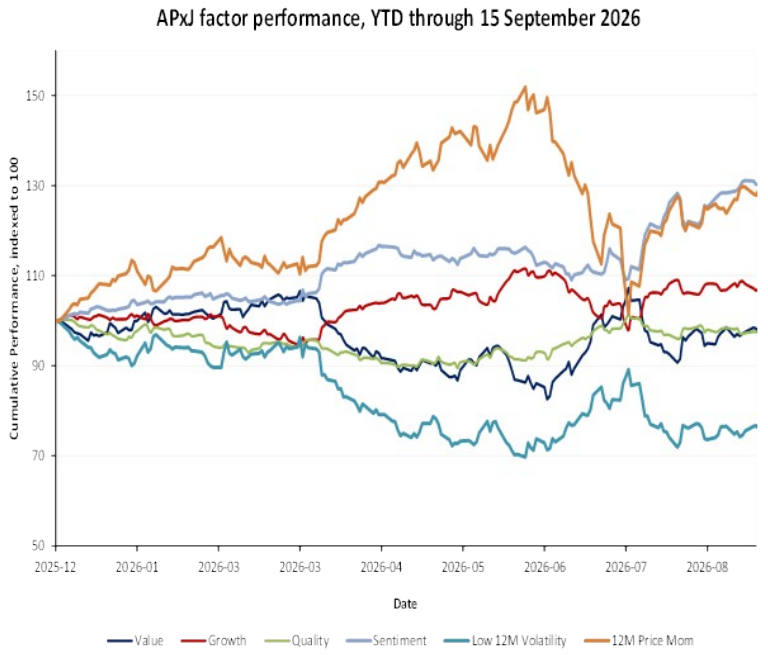


Source: Morgan Stanley Research.

APxJ Factor Trends

Momentum's unwinding is a transition rather than an endpoint. We favor strengthening Momentum, improving revisions and resilient Quality, broadening exposure only once a re-entry signal is confirmed, and we don't assume prior leaders regain leadership.





Source: FactSet, Morgan Stanley Research.

Catalyst Calendar

Date	Market	Event
25 October	Brazil	General Elections (2 round)
27 October	Israel	Legislative elections
26-29 October	Saudi Arabia	The 27th World Energy Congress
October	China	Deadline of US-China one-year trade truce
October	Czech Republic	Municipal elections
November	Asia Pacific	APEC Meeting (Shenzhen, China)
Nov 2026/Jan 2027	South Africa	Local government elections
Early Dec	China	Politburo meeting
14-15 December	Global	G20 summit (Miami, USA)
Mid Dec	China	China Central Economic Working Conference
2027		
March	China	Two Sessions: NPC and CPPCC
Late April	China	Politburo meeting on the economy
6 June	Mexico	Midterm Elections
Jun-Jul	Greece	Parliamentary Elections
Late July	China	Politburo meeting on the economy
August	Argentina	Primary Elections (tentative)
24 October	Argentina	General Election (1 round)
Oct - Nov	Poland	Parliamentary Elections
November	Argentina	General Election (2 round)
Early Dec	China	Politburo meeting
Mid Dec	China	China Central Economic Working Conference

Source: Morgan Stanley Research.

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

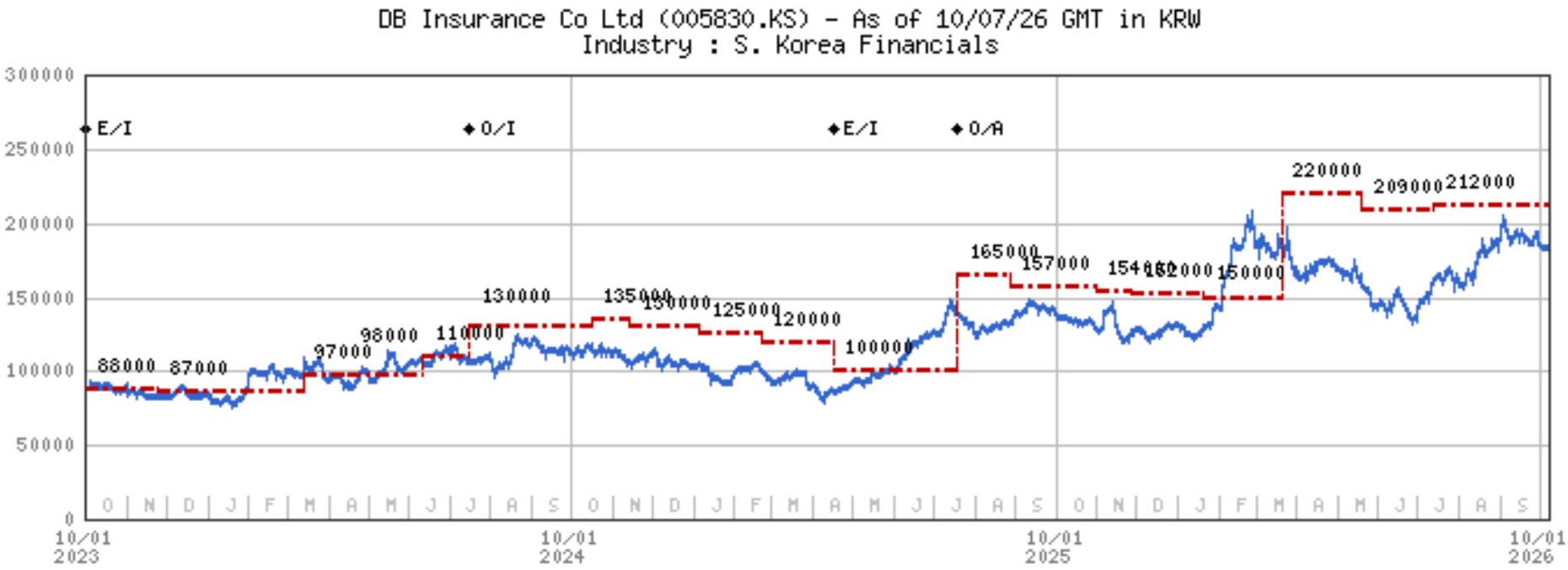
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



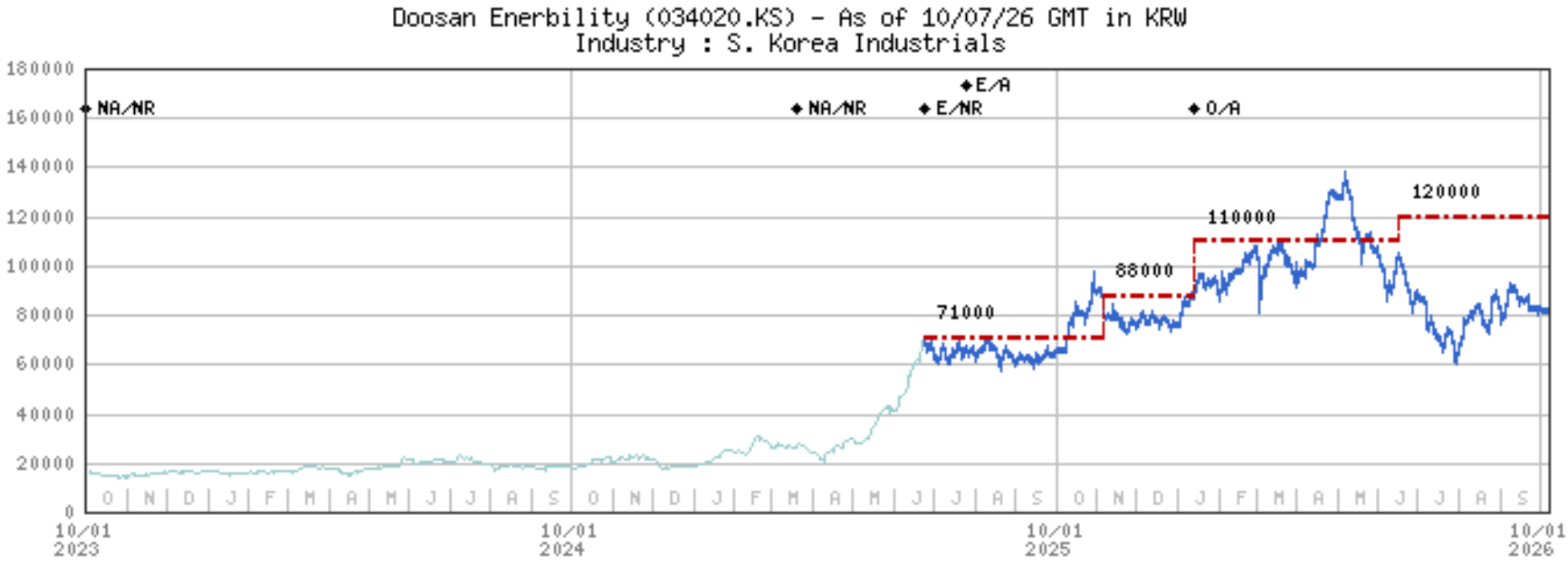
Stock Rating History: 10/1/21 : E/A; 1/4/22 : NA/A; 10/28/22 : E/A; 3/22/23 : O/A; 5/15/23 : E/A; 7/14/23 : E/I; 7/16/24 : O/I; 4/16/25 : E/I; 7/19/25 : O/A

Price Target History: 8/12/21 : 60000; 1/4/22 : NA; 10/28/22 : 60000; 12/1/22 : 65000; 1/6/23 : 70000; 3/22/23 : 84000; 5/15/23 : 82000; 7/14/23 : 81000; 8/25/23 : 88000; 11/24/23 : 87000; 3/13/24 : 97000; 4/16/24 : 98000; 6/11/24 : 110000; 7/16/24 : 130000; 10/16/24 : 135000; 11/14/24 : 130000; 1/6/25 : 125000; 2/21/25 : 120000; 4/16/25 : 100000; 7/19/25 : 165000; 8/27/25 : 157000; 10/31/25 : 154000; 11/27/25 : 152000; 1/20/26 : 150000; 3/20/26 : 220000; 5/19/26 : 209000; 7/13/26 : 212000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Stock Rating History: 10/1/21 : NA/NR; 3/20/25 : NA/NR; 6/24/25 : E/NR; 7/25/25 : E/A; 1/14/26 : O/A

Price Target History: 6/24/25 : 71000; 11/6/25 : 88000; 1/14/26 : 110000; 6/17/26 : 120000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

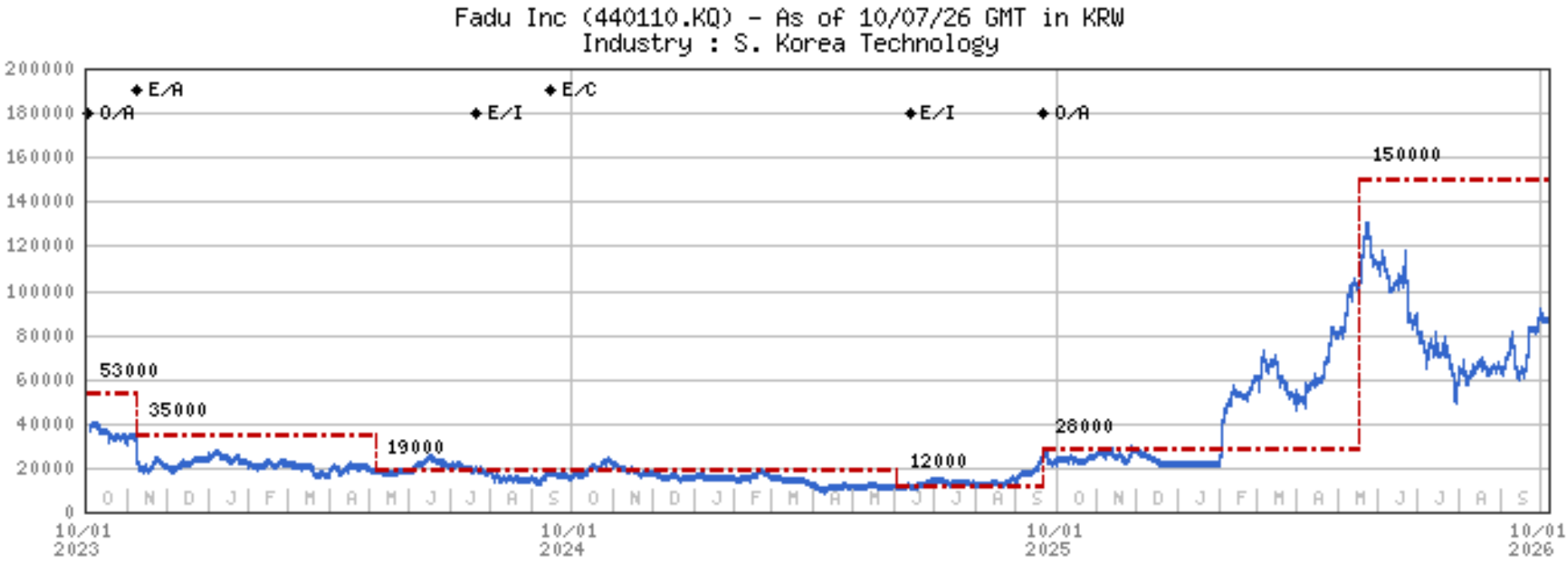
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 10/3/23 : O/A; 11/9/23 : E/A; 7/21/24 : E/I; 9/15/24 : E/C; 6/13/25 : E/I; 9/21/25 : O/A

Price Target History: 10/3/23 : 53000; 11/9/23 : 35000; 5/6/24 : 19000; 6/3/25 : 12000; 9/21/25 : 28000; 5/18/26 : 150000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

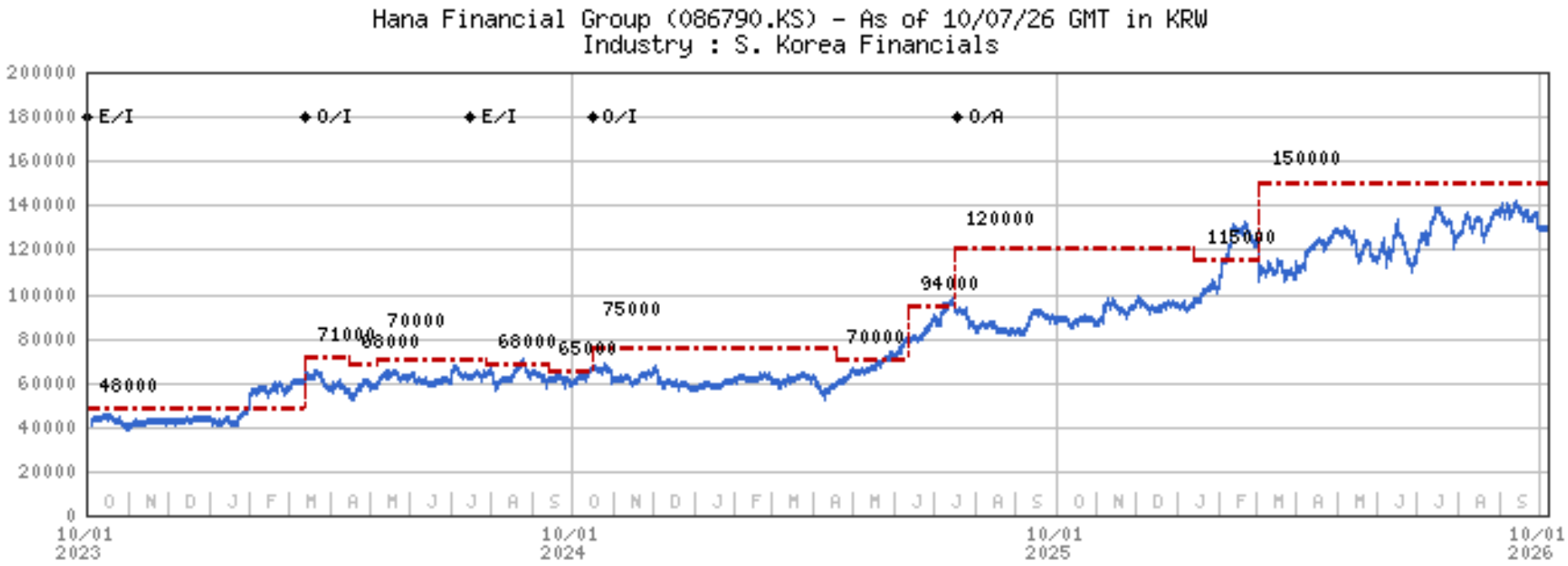
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 10/1/21 : O/A; 5/16/23 : E/A; 7/14/23 : E/I; 3/14/24 : O/I; 7/16/24 : E/I; 10/16/24 : O/I; 7/19/25 : O/A

Price Target History: 5/26/21 : 56000; 11/5/21 : 58000; 2/28/22 : 62000; 7/4/22 : 50000; 5/16/23 : 48000; 7/14/23 : 44000; 9/20/23 : 48000; 3/14/24 : 71000; 4/16/24 : 68000; 5/6/24 : 70000; 7/29/24 : 68000; 9/13/24 : 65000; 10/16/24 : 75000; 4/18/25 : 70000; 6/12/25 : 94000; 7/16/25 : 120000; 1/13/26 : 115000; 3/3/26 : 150000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

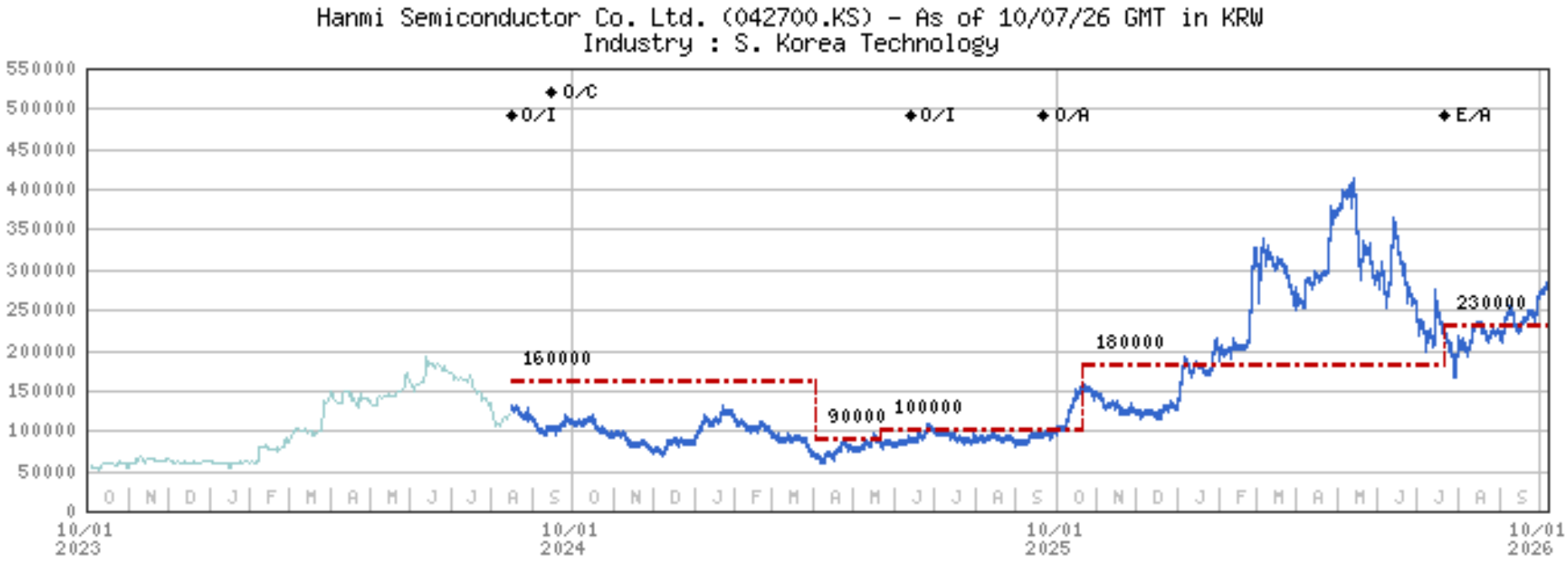
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 8/16/24 : O/I; 9/15/24 : O/C; 6/13/25 : O/I; 9/21/25 : O/A; 7/22/26 : E/A

Price Target History: 8/16/24 : 160000; 4/3/25 : 90000; 5/22/25 : 100000; 10/21/25 : 180000; 7/22/26 : 230000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

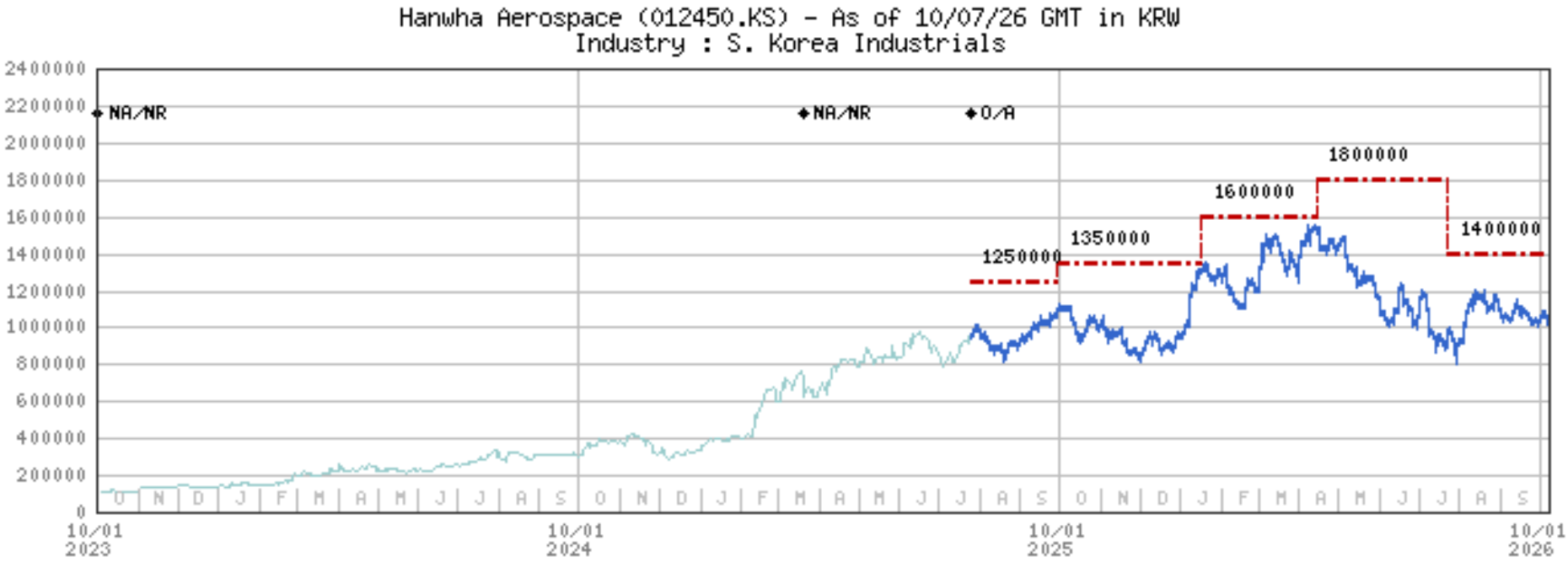
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 10/1/21 : NA/NR; 3/20/25 : NA/NR; 7/25/25 : O/A

Price Target History: 7/25/25 : 1250000; 9/29/25 : 1350000; 1/16/26 : 1600000; 4/14/26 : 1800000; 7/23/26 : 1400000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

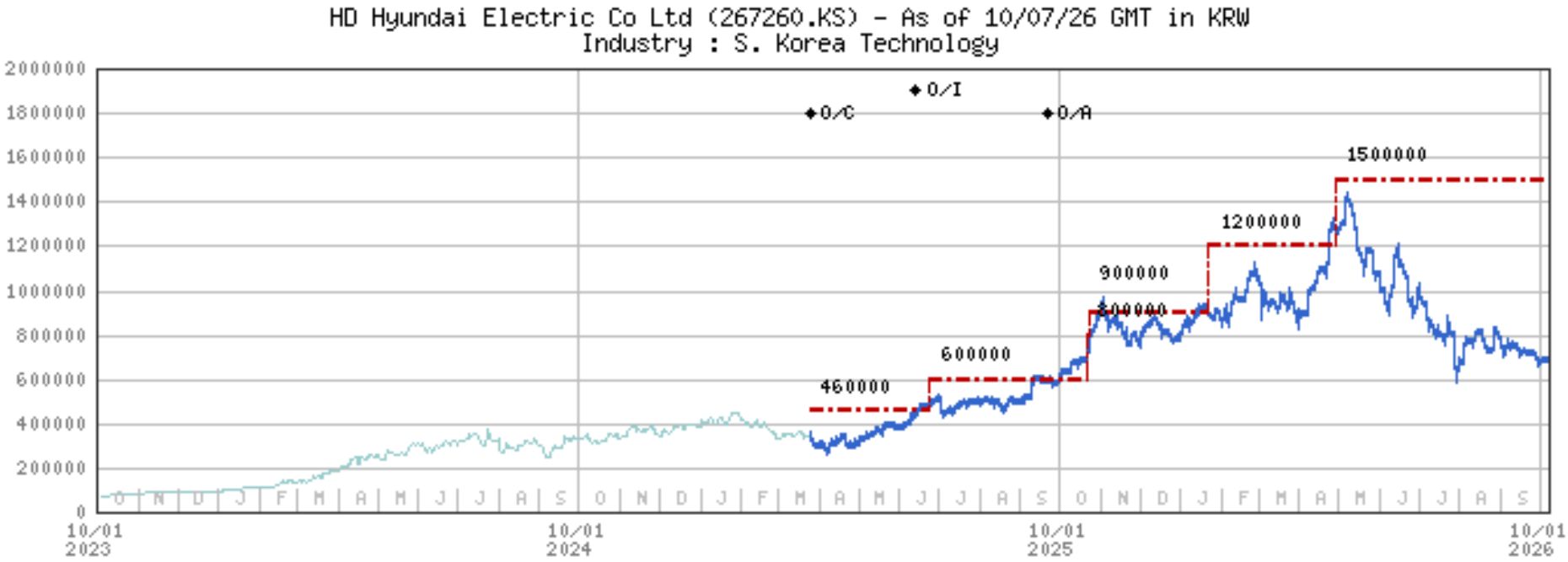
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 3/25/25 : O/C; 6/13/25 : O/I; 9/21/25 : O/A

Price Target History: 3/25/25 : 460000; 6/24/25 : 600000; 10/21/25 : 800000; 10/23/25 : 900000; 1/22/26 : 1200000; 4/28/26 : 1500000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

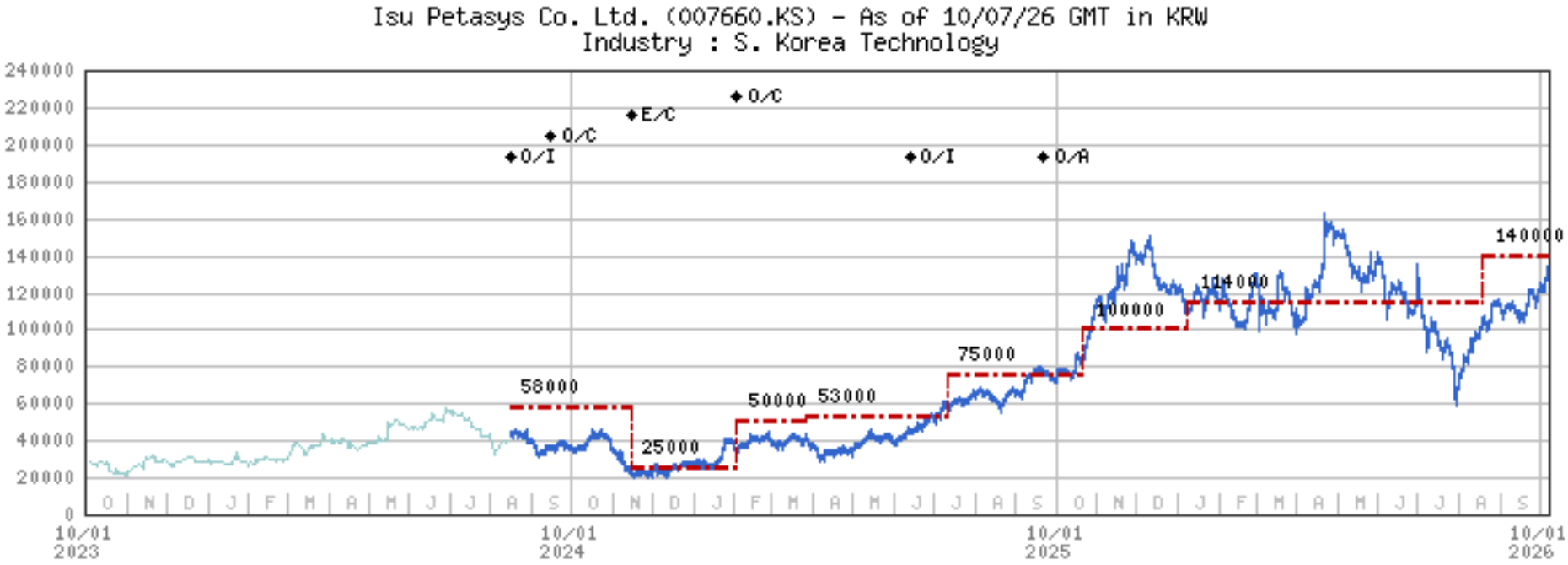
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 8/16/24 : O/I; 9/15/24 : O/C; 11/15/24 : E/C; 2/3/25 : O/C; 6/13/25 : O/I; 9/21/25 : O/A

Price Target History: 8/16/24 : 58000; 11/15/24 : 25000; 2/3/25 : 50000; 3/27/25 : 53000; 7/11/25 : 75000; 10/21/25 : 100000; 1/8/26 : 114000; 8/18/26 : 140000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 10/1/21 : NA/NR; 3/20/25 : NA/NR; 7/25/25 : O/A; 1/16/26 : E/A

Price Target History: 7/25/25 : 110000; 9/29/25 : 130000; 1/16/26 : 160000; 4/14/26 : 180000; 7/23/26 : 165000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

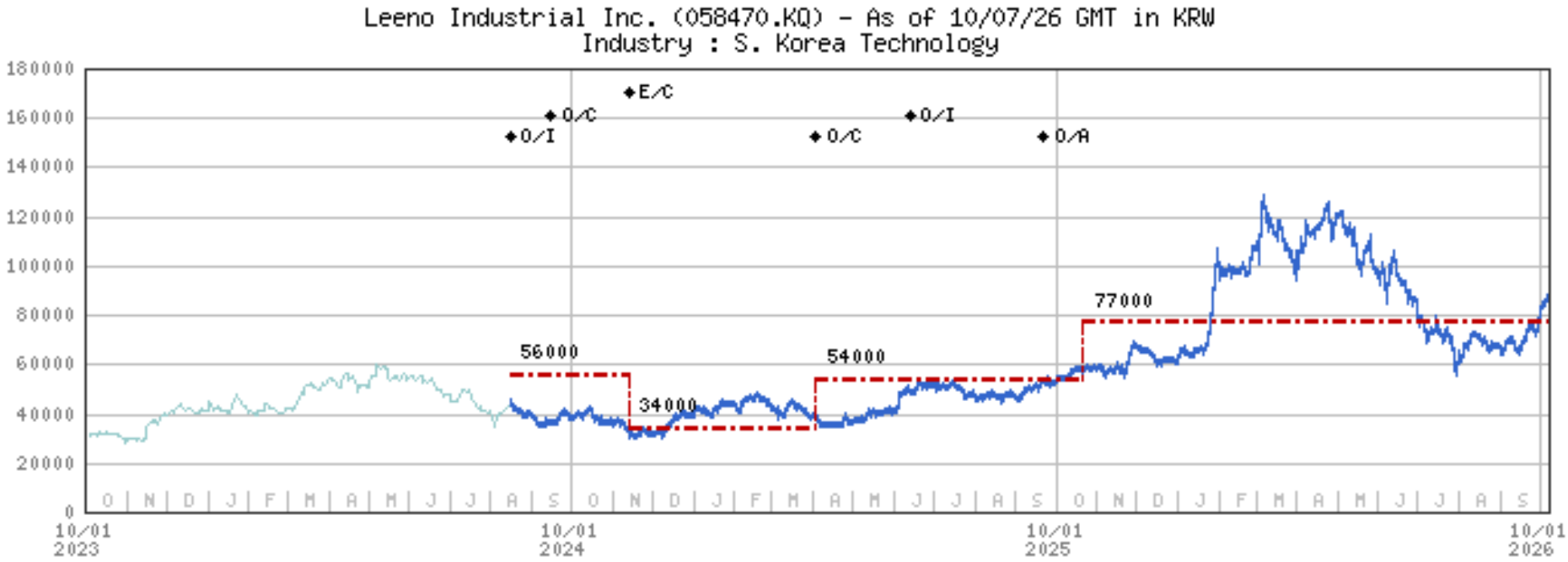
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 8/16/24 : O/I; 9/15/24 : O/C; 11/13/24 : E/C; 4/3/25 : O/C; 6/13/25 : O/I; 9/21/25 : O/A

Price Target History: 8/16/24 : 56000; 11/13/24 : 34000; 4/3/25 : 54000; 10/21/25 : 77000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 10/1/21 : NA/NR; 3/20/25 : NA/NR; 7/25/25 : E/A; 7/22/26 : O/A

Price Target History: 7/25/25 : 600000; 9/29/25 : 580000; 1/16/26 : 600000; 4/14/26 : 800000; 7/22/26 : 850000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬

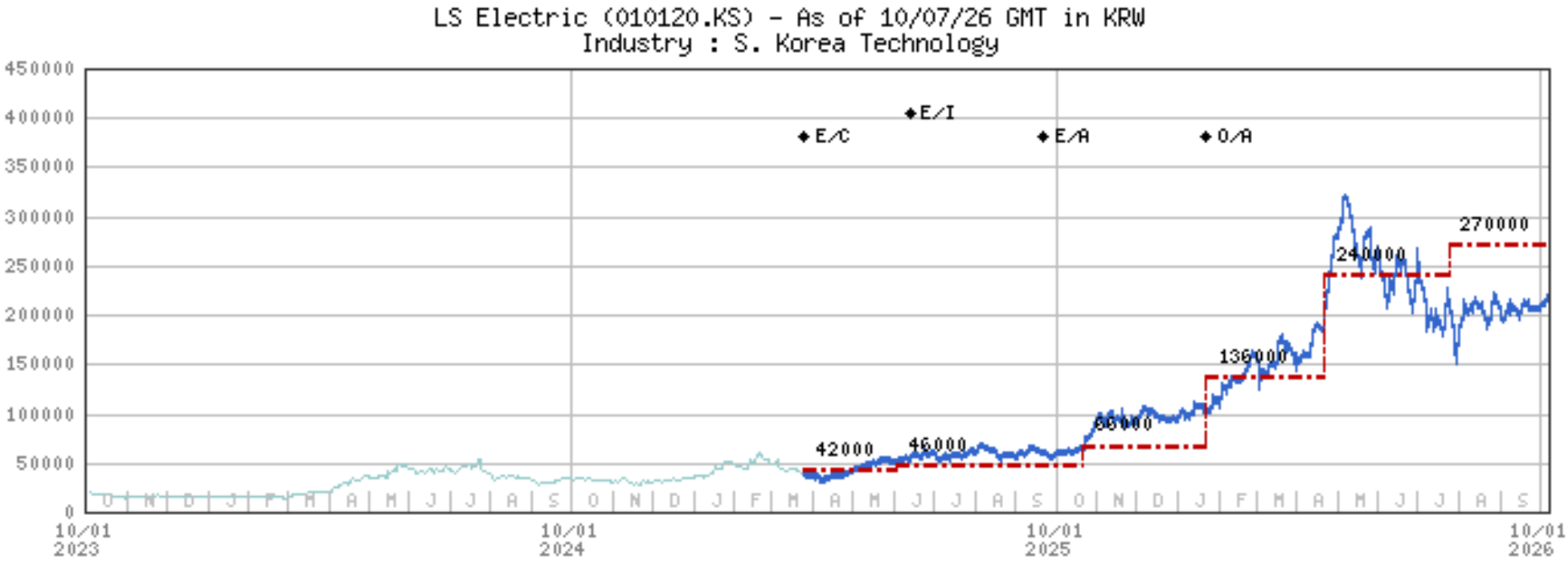
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 3/25/25 : E/C; 6/13/25 : E/I; 9/21/25 : E/A; 1/22/26 : O/A

Price Target History: 3/25/25 : 42000; 6/3/25 : 46000; 10/21/25 : 66000; 1/22/26 : 136000; 4/22/26 : 240000; 7/24/26 : 270000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬

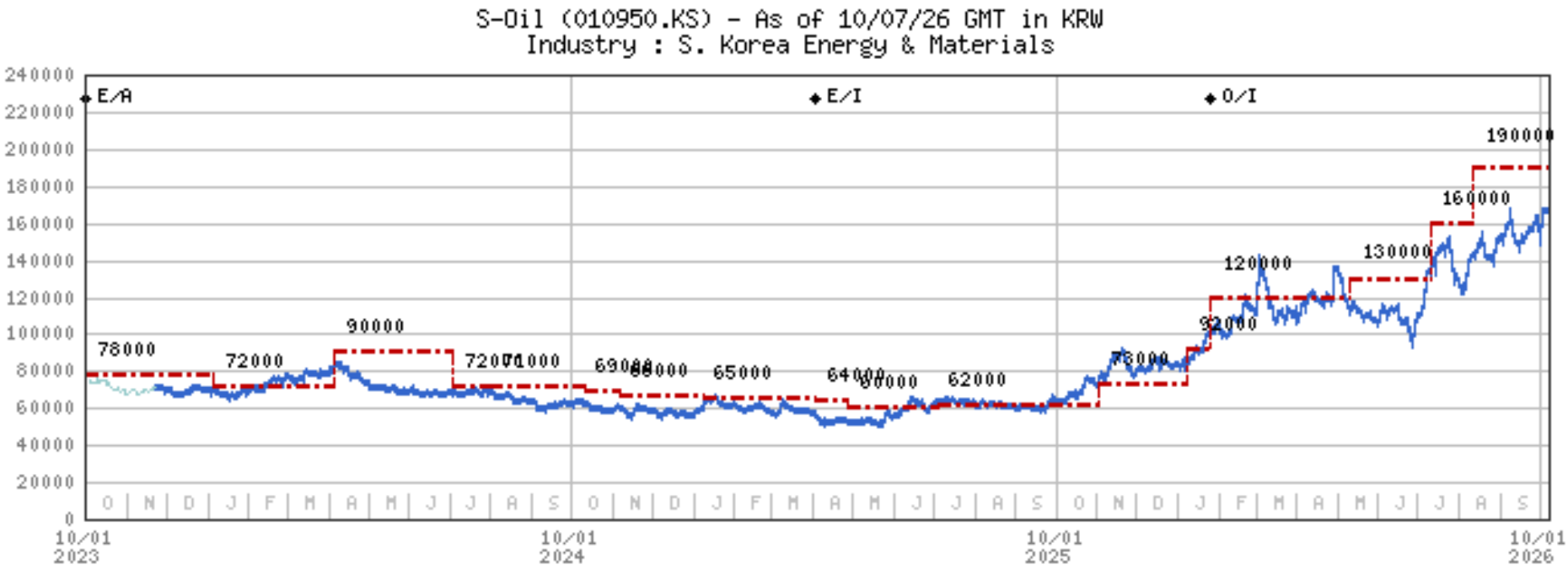
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 10/1/21 : O/A; 4/6/23 : E/A; 4/3/25 : E/I; 1/26/26 : O/I

Price Target History: 6/24/21 : 130000; 10/6/21 : 140000; 12/10/21 : 130000; 1/27/22 : 120000; 4/4/22 : 130000; 5/19/22 : 140000; 7/6/22 : 130000; 10/27/22 : 120000; 1/3/23 : 110000; 4/6/23 : 94000; 7/6/23 : 74000; 8/8/23 : 78000; 1/5/24 : 72000; 4/5/24 : 90000; 7/4/24 : 72000; 8/1/24 : 71000; 10/11/24 : 69000; 11/6/24 : 66000; 1/8/25 : 65000; 4/3/25 : 64000; 4/28/25 : 60000; 7/4/25 : 62000; 11/3/25 : 73000; 1/8/26 : 92000; 1/26/26 : 120000; 5/11/26 : 130000; 7/10/26 : 160000; 8/11/26 : 190000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 10/1/21 : O/I; 3/14/22 : E/I; 3/18/26 : O/I

Price Target History: 4/29/21 : 190000; 3/14/22 : 132500; 5/25/23 : 125000; 3/27/24 : 180000; 1/16/25 : 140000; 3/18/26 : 340000; 7/29/26 : 360000; 9/30/26 : 400000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

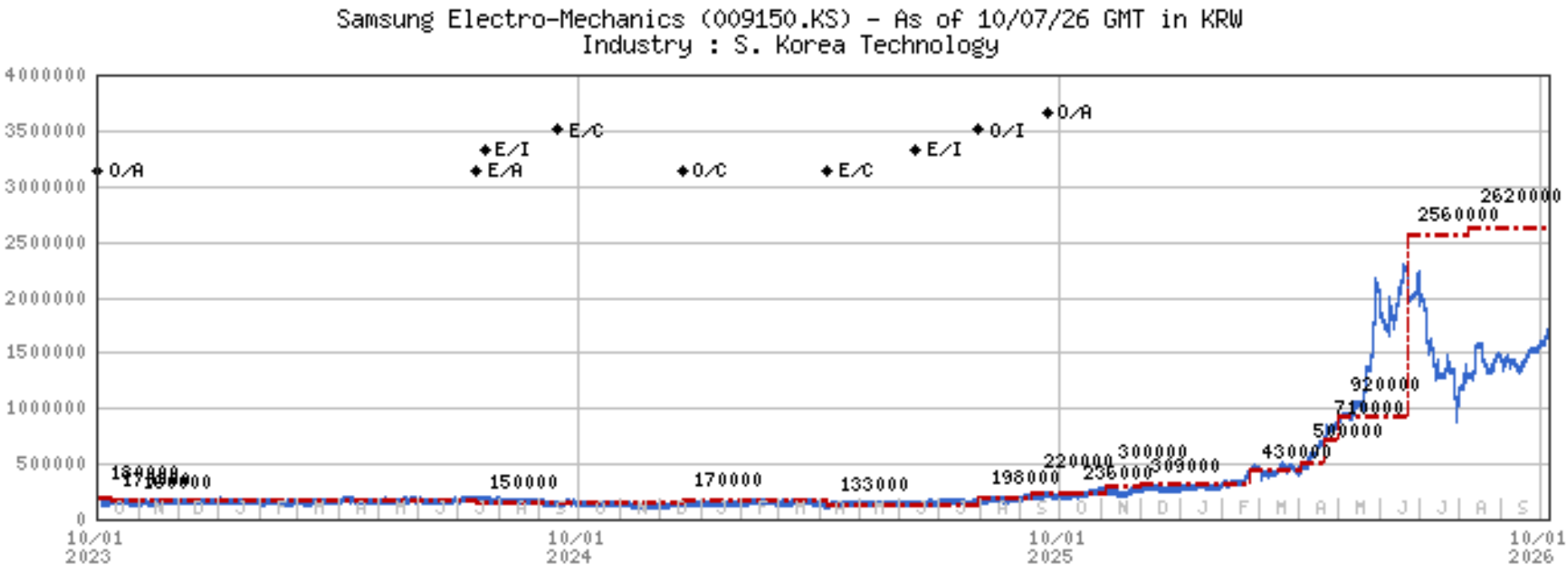
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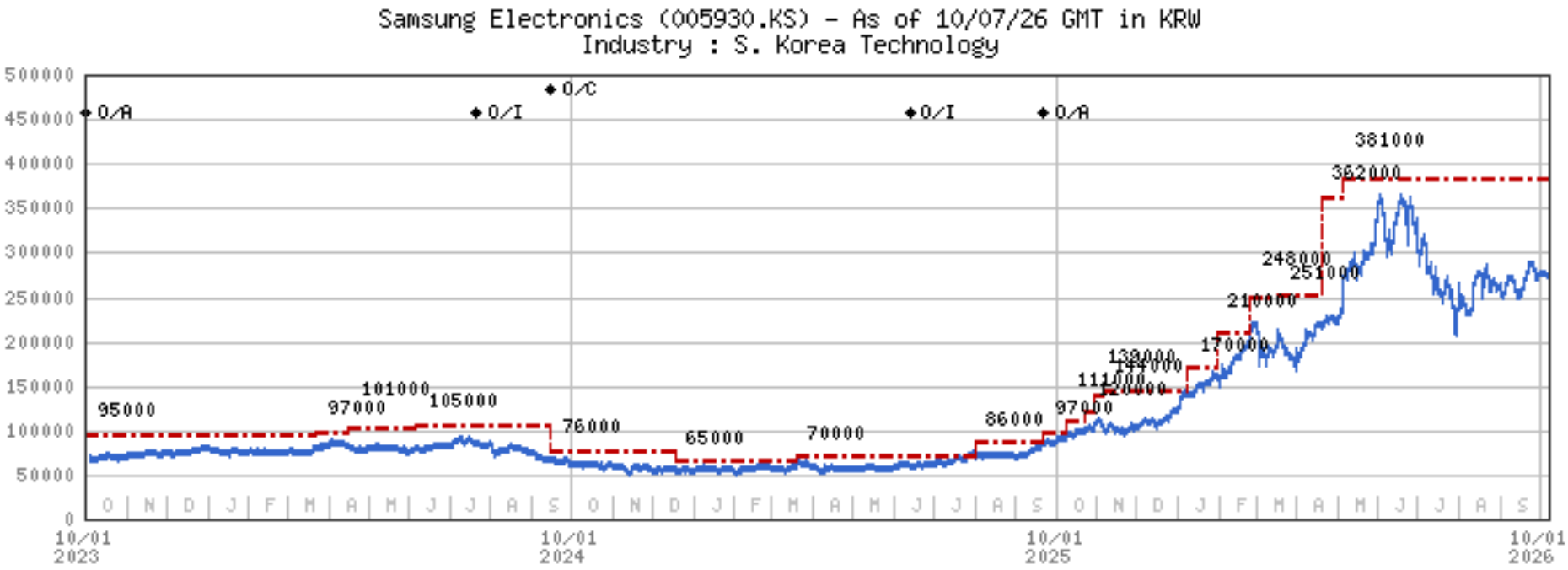
Stock Rating History: 10/1/21 : E/C; 6/1/22 : U/C; 10/4/22 : U/A; 11/9/22 : O/A; 7/15/24 : E/A; 7/21/24 : E/I; 9/15/24 : E/C; 12/18/24 : O/C; 4/7/25 : E/C; 6/13/25 : E/I; 7/31/25 : O/I; 9/21/25 : O/A

Price Target History: 5/12/21 : 180000; 10/19/21 : 170000; 10/27/21 : 160000; 1/24/22 : 180000; 3/18/22 : 170000; 6/1/22 : 140000; 11/9/22 : 180000; 10/11/23 : 170000; 10/27/23 : 160000; 7/15/24 : 150000; 12/18/24 : 170000; 4/7/25 : 133000; 7/31/25 : 198000; 9/10/25 : 220000; 10/10/25 : 236000; 11/5/25 : 300000; 12/1/25 : 309000; 2/23/26 : 430000; 4/2/26 : 500000; 4/19/26 : 710000; 5/1/26 : 920000; 6/22/26 : 2560000; 8/7/26 : 2620000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
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Stock Rating History: 10/1/21 : O/C; 10/4/22 : O/A; 7/21/24 : O/I; 9/15/24 : O/C; 6/13/25 : O/I; 9/21/25 : O/A

Price Target History: 9/15/21 : 95000; 12/3/21 : 97000; 3/18/22 : 95000; 4/28/22 : 85000; 6/10/22 : 80000; 7/5/22 : 75000; 7/22/22 : 70000; 9/17/22 : 68000; 3/21/23 : 70000; 5/30/23 : 90000; 7/7/23 : 95000; 3/22/24 : 97000; 4/16/24 : 101000; 6/6/24 : 105000; 9/15/24 : 76000; 12/18/24 : 65000; 3/19/25 : 70000; 8/1/25 : 86000; 9/21/25 : 97000; 10/8/25 : 111000; 10/23/25 : 120000; 10/30/25 : 139000; 11/5/25 : 144000; 1/8/26 : 170000; 1/30/26 : 210000; 2/24/26 : 248000; 3/18/26 : 251000; 4/19/26 : 362000; 5/6/26 : 381000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

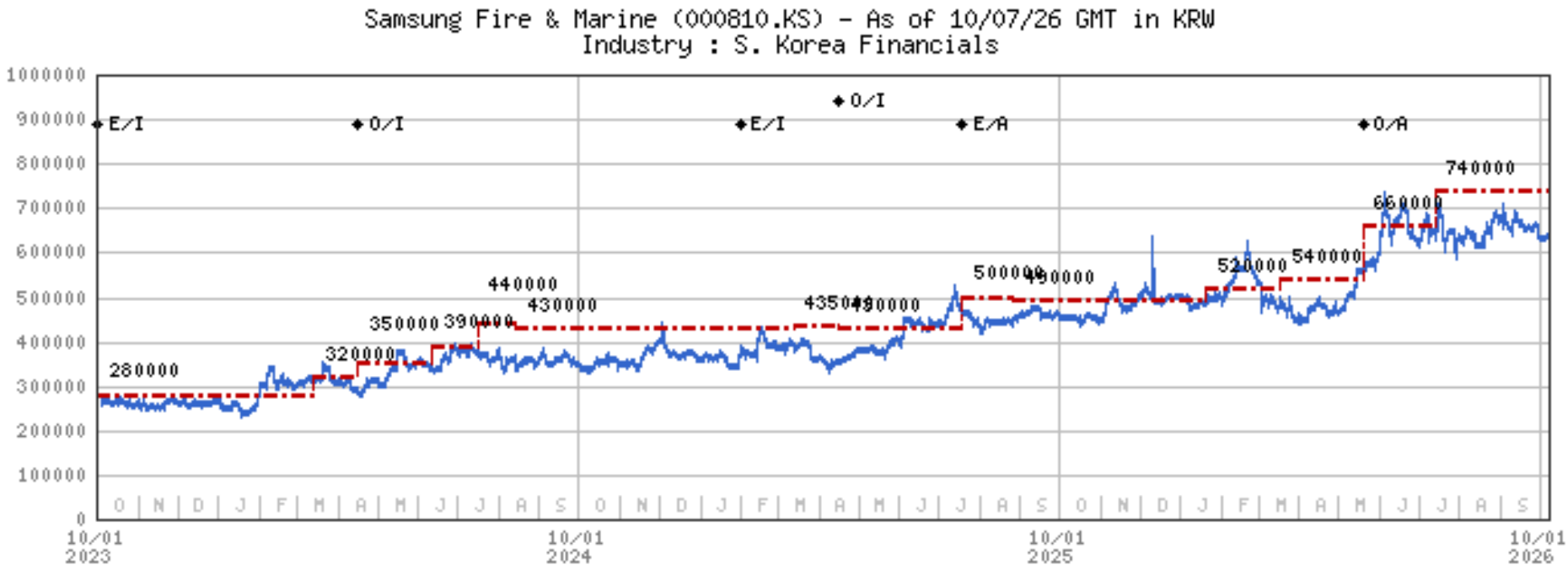
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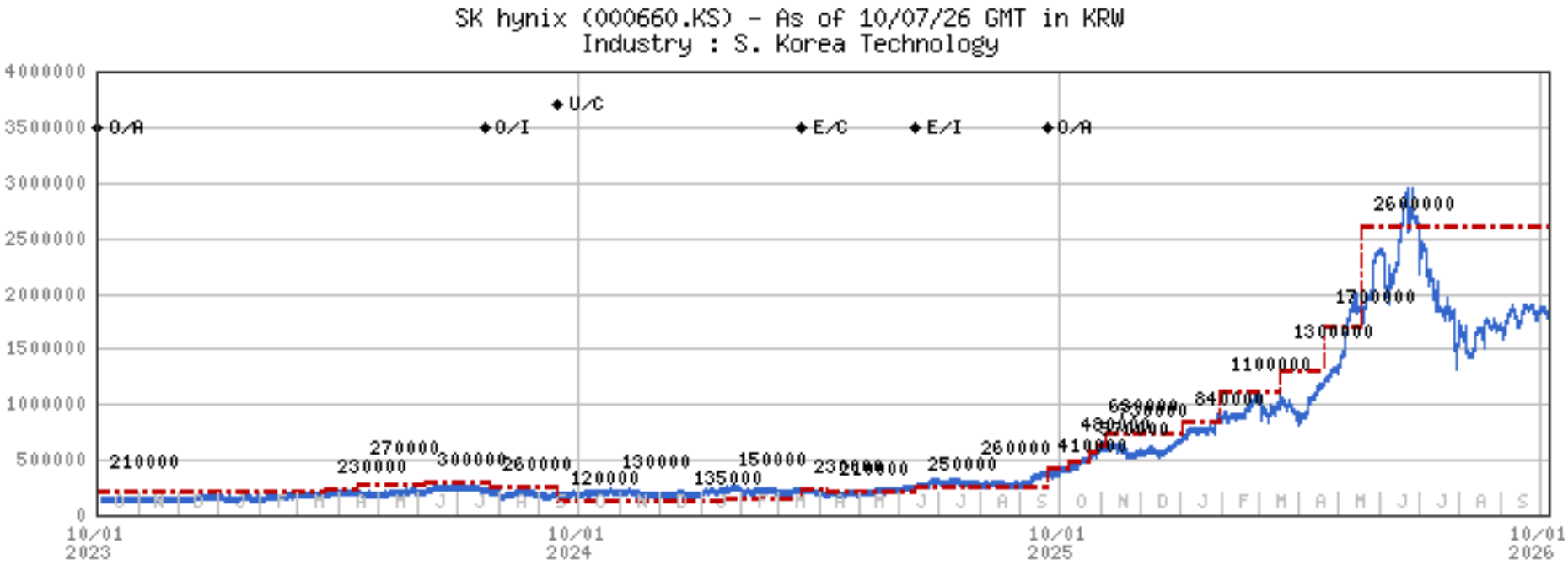
Stock Rating History: 10/1/21 : E/A; 1/4/22 : NA/A; 10/28/22 : O/A; 3/22/23 : E/A; 7/14/23 : E/I; 4/16/24 : O/I; 1/31/25 : E/I; 4/16/25 : O/I; 7/19/25 : E/A; 5/19/26 : O/A

Price Target History: 8/12/21 : 230000; 1/4/22 : NA; 10/28/22 : 230000; 12/1/22 : 240000; 3/22/23 : 225000; 7/14/23 : 260000; 8/25/23 : 280000; 3/13/24 : 320000; 4/16/24 : 350000; 6/11/24 : 390000; 7/16/24 : 440000; 8/14/24 : 430000; 3/13/25 : 435000; 4/16/25 : 430000; 7/19/25 : 500000; 8/27/25 : 490000; 1/20/26 : 520000; 3/18/26 : 540000; 5/19/26 : 660000; 7/13/26 : 740000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 10/1/21 : U/C; 12/3/21 : E/C; 2/11/22 : O/C; 7/22/22 : E/C; 10/4/22 : O/A; 7/21/24 : O/I; 9/15/24 : U/C; 3/19/25 : E/C; 6/13/25 : E/I; 9/21/25 : O/A

Price Target History: 9/15/21 : 88000; 12/3/21 : 110000; 12/23/21 : 125000; 1/24/22 : 130000; 1/28/22 : 136000; 2/11/22 : 155000; 3/18/22 : 150000; 4/27/22 : 130000; 6/10/22 : 120000; 7/5/22 : 110000; 7/22/22 : 105000; 10/4/22 : 130000; 12/7/22 : 120000; 3/21/23 : 110000; 5/30/23 : 140000; 7/7/23 : 170000; 9/21/23 : 210000; 3/22/24 : 230000; 4/16/24 : 270000; 6/6/24 : 300000; 7/25/24 : 260000; 9/15/24 : 120000; 10/24/24 : 130000; 12/18/24 : 135000; 1/20/25 : 150000; 3/19/25 : 230000; 4/7/25 : 210000; 6/13/25 : 250000; 7/24/25 : 260000; 9/21/25 : 410000; 10/8/25 : 480000; 10/23/25 : 570000; 10/29/25 : 630000; 11/5/25 : 730000; 1/2/26 : 840000; 1/30/26 : 1100000; 3/18/26 : 1300000; 4/19/26 : 1700000; 5/18/26 : 2600000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

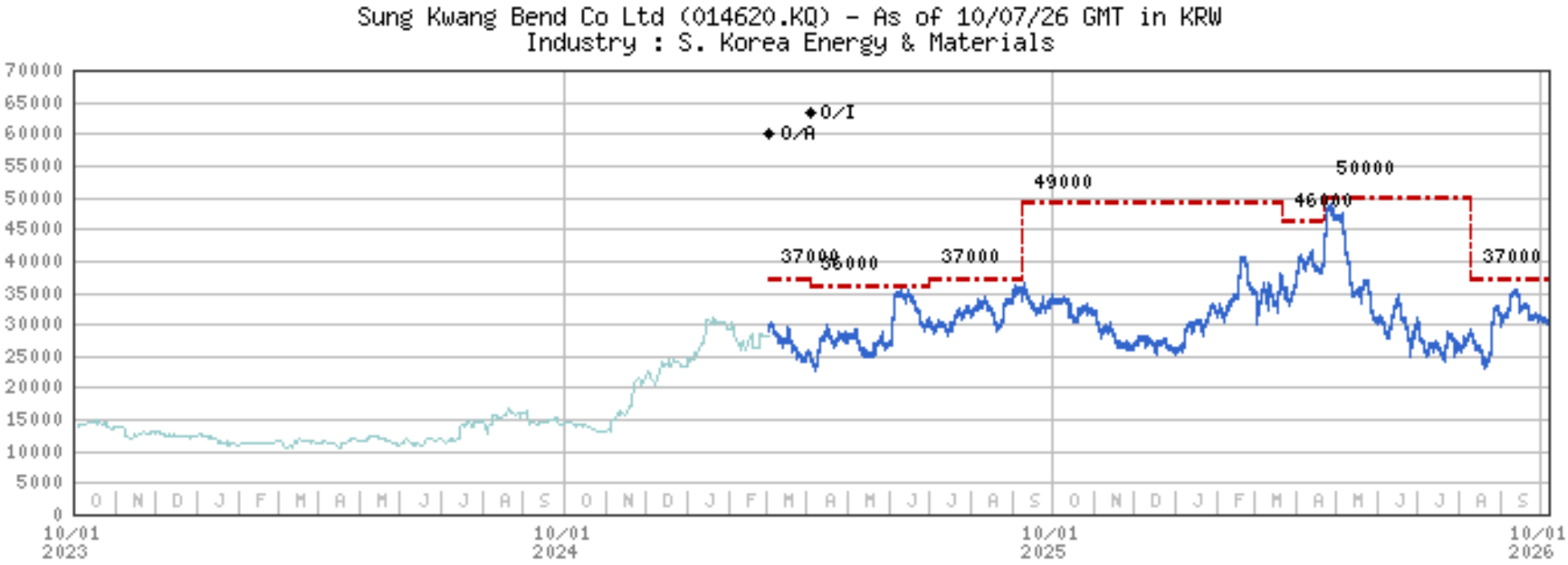
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 3/4/25 : O/A; 4/3/25 : O/I

Price Target History: 3/4/25 : 37000; 4/3/25 : 36000; 7/1/25 : 37000; 9/9/25 : 49000; 3/23/26 : 46000; 4/23/26 : 50000; 8/10/26 : 37000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 3/4/25 : O/A; 4/3/25 : O/I; 4/23/26 : E/I

Price Target History: 3/4/25 : 32000; 5/12/25 : 28500; 7/1/25 : 28000; 9/9/25 : 41000; 3/11/26 : 40000; 4/23/26 : 48000; 8/11/26 : 26000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

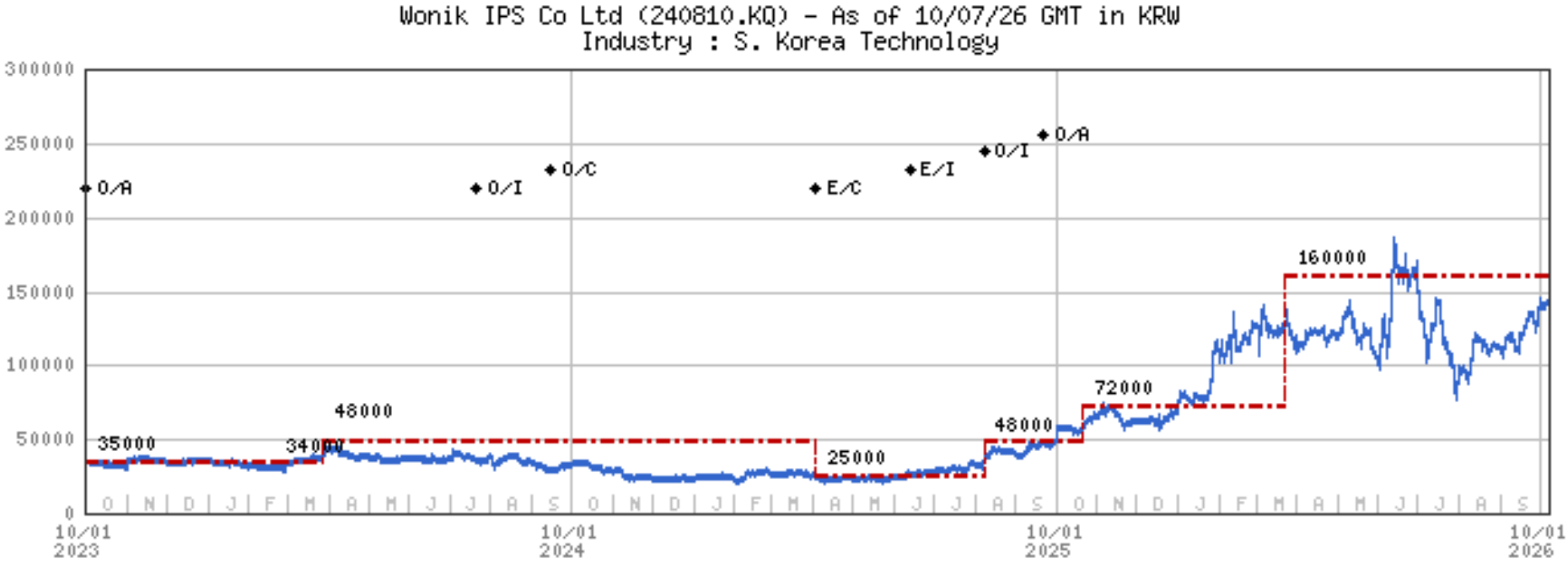
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Stock Rating History: 10/1/21 : O/C; 10/4/22 : O/A; 7/21/24 : O/I; 9/15/24 : O/C; 4/3/25 : E/C; 6/13/25 : E/I; 8/8/25 : O/I; 9/21/25 : O/A

Price Target History: 1/27/21 : 65000; 10/26/21 : 55000; 3/18/22 : 50000; 8/9/22 : 43000; 1/12/23 : 35000; 2/21/24 : 34000; 3/28/24 : 48000; 4/3/25 : 25000; 8/8/25 : 48000; 10/21/25 : 72000; 3/23/26 : 160000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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